BUSINESS & ENTREPRENEURSHIP (INDIA)

Running a Business in India: Finance, Banking & HR Ops

Banking, GST invoicing, collections, bookkeeping, cash-flow and pricing models, payroll and PF/ESIC, salary structuring under the Labour Codes, POSH, insurance, DPDP compliance and fraud controls for Indian software companies.

india · business-operations · finance · banking · invoicing · gst · payroll · hr · compliance · cash-flow · bookkeeping · insurance · dpdp · data-protection · msme · pricing

Study Pack · Comprehensive reference & interview prep · ~158 min read · 34,671 words

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Day Two — The Operating System of a Small Indian Company

Incorporation is day one. This guide is about day two onwards: the bank accounts, the invoices that get paid, the books that survive an audit, the payroll that runs on the 30th, the policies that keep you out of a labour tribunal, and the controls that stop ₹8 lakh (₹800,000) leaving on a forged email. It is written for an Indian software engineer running a consulting firm, a product company or a small SaaS business — the person who is simultaneously the CEO, the CFO, the Head of People and the person who fixes the printer.

> ✕ **This is educational material, not legal, tax, accounting or financial advice**
> Indian company law, tax law, exchange control, labour law and data protection law are statutory, fact-specific and change with every Union Budget, every notification and every state rule. Nothing here is advice on your facts. Before you structure a salary, classify a worker, claim an input tax credit, terminate an employee, sign a lease or process personal data, engage a qualified Chartered Accountant (CA), Company Secretary (CS), labour-law consultant or advocate and have them confirm the current position for your situation. Every rate, threshold, fee, form number and due date in this guide is stated as at **FY 2025-26 / early 2026** and **must be re-verified** against the official portal before you act on it.

⚠ **Five changes are in flight — verify current status before relying on anything here**

(1) Income-tax Act, 2025 is scheduled to replace the Income-tax Act, 1961 from **1 April 2026**, introducing a unified **"tax year"** concept. Section references in this guide follow the 1961 Act; map them before relying on them — **incometax.gov.in**. **(2) The four Labour Codes** — Code on Wages 2019, Industrial Relations Code 2020, Code on Social Security 2020, Occupational Safety, Health and Working Conditions Code 2020 — were brought into force from **late 2025**, but **state rules are still landing**. The "wages" definition, gratuity eligibility for fixed-term employees, and leave entitlements all change. Your obligations depend on your state. **(3) The DPDP Act 2023 Rules** were notified in **late 2025** with **phased compliance deadlines**. If you process any personal data — and you do — confirm which phase binds you at **meity.gov.in**. **(4) GST rate rationalisation of September 2025** moved the structure to principally **5% and 18%** slabs with a **40% demerit rate**. Confirm the rate for your exact SAC code. **(5) Revised MSME investment and turnover limits** took effect **1 April 2025**, changing who qualifies as micro/small/medium and therefore who benefits from the 45-day payment rule and from MSME credit schemes. Treat all five as "verify current status" items.

Official sources — bookmark these, trust nothing else

Portal	Authoritative for	You will use it for
mca.gov.in	Ministry of Corporate Affairs	AOC-4, MGT-7/7A, ADT-1, DIR-3 KYC, DPT-3, MSME-1, charge filings
incometax.gov.in	Income Tax Department / CBDT	ITR, TDS returns 24Q/26Q, Form 16, Form 26AS/AIS, advance tax
gst.gov.in	GSTN	GSTR-1, GSTR-3B, GSTR-2B, GSTR-9/9C, LUT, refunds, e-invoicing linkage
epfindia.gov.in	Employees' Provident Fund Organisation	Employer registration, ECR filing, UAN, KYC seeding, transfers, withdrawals
esic.gov.in	Employees' State Insurance Corporation	Registration, monthly contributions, IP numbers, dispensary allocation
meity.gov.in	Ministry of Electronics and IT	DPDP Act 2023 and the DPDP Rules, CERT-In directions
rbi.org.in	Reserve Bank of India	FEMA Master Directions, payment system rules, NEFT/RTGS timings, e-mandate framework
udyamregistration.gov.in / **samadhaan.msme.gov.in**	Ministry of MSME	Udyam registration; MSME Samadhaan delayed-payment complaints
irdai.gov.in	Insurance Regulatory and Development Authority	Insurer and broker verification, policyholder grievance
shramsuvidha.gov.in and your state labour portal	Ministry of Labour & Employment	Unified labour compliance, Shops & Establishment, registrations and returns
dgft.gov.in	Directorate General of Foreign Trade	IEC, e-BRC for service exports

The operating cadence

Running a small company is not a series of emergencies. It is a cadence. If you do not install one, the statutory deadlines will install one for you, badly, with penalties attached.

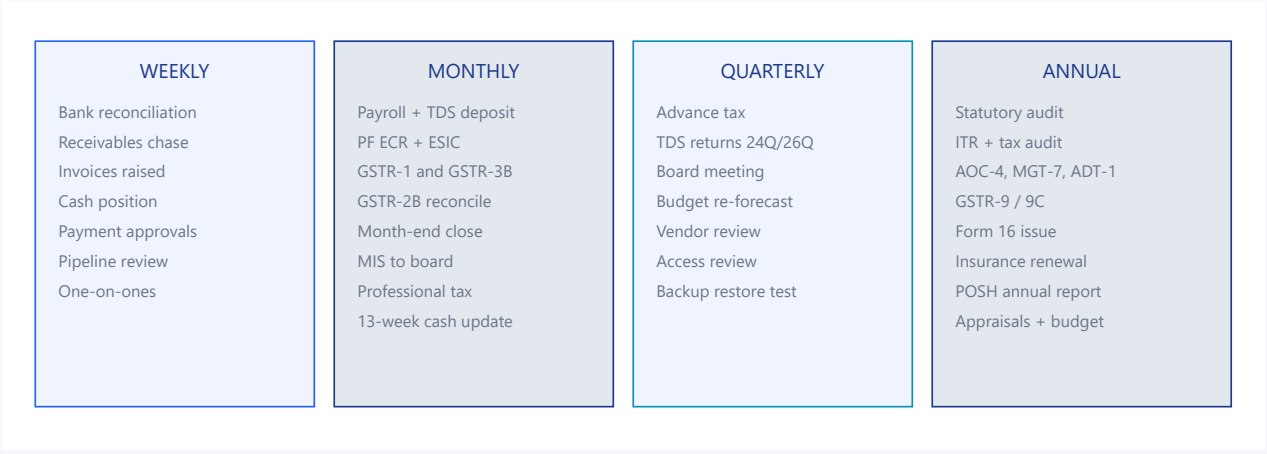
7th
TDS DEPOSIT, EVERY MONTH

15th
PF ECR AND ESIC

20th
GSTR-3B AND TAX PAYMENT

45 days
MSME PAYMENT LIMIT (SEC. 15)

2 months
MINIMUM CASH FLOOR



The operating cadence of a small Indian company. Install it as recurring calendar entries with named owners.

The five systems you need before you hit ten people

#	System	Minimum viable version	What breaks without it
1	**Banking and payments**	One current account with net banking, a maker-checker approval flow, a corporate card	Personal and business money mix; you cannot reconstruct a year of transactions; fraud has no barrier
2	**Invoicing and collections**	GST-compliant invoice template, a numbered invoice register, a weekly ageing review	Revenue is earned but never collected; GST is paid on invoices your customer never paid
3	**Bookkeeping**	Zoho Books or Tally with a chart of accounts, reconciled monthly	You discover your real margin in month 14 of the audit
4	**Payroll and statutory**	Payroll software, or a spreadsheet plus a CA, with TDS/PF/ESIC/PT paid on time	Interest and penalties; disallowed expenses under Section 40(a)(ia); employee trust gone
5	**Document and compliance calendar**	One shared drive with a fixed folder tree, one shared calendar with every statutory due date and a named owner	Missed filings compound at ₹100 per day per form with no cap, and the first you hear of it is a notice

✦ **The single highest-leverage habit**

Reconcile your bank account **every Monday**. Not monthly. Every transaction in the bank must map to an entry in the books that same week. It takes fifteen minutes when it is current and three days when it is six months stale — and almost every fraud, duplicate payment and missed receipt is caught in that fifteen minutes.

THE FOUR NUMBERS A FOUNDER SHOULD KNOW ON ANY GIVEN DAY

Cash in the bank across all accounts. Net burn for the last three months. Accounts receivable and how much of it is over 60 days. Committed payroll and statutory dues for the next 30 days. If you cannot answer all four in under two minutes, the back office is not yet installed.

THE FOUR DOCUMENTS AN ENTERPRISE CUSTOMER WILL ASK FOR

Your POSH policy and Internal Committee details. Your information security policy and a recent VAPT report. Your professional indemnity and cyber insurance certificates. Your privacy notice, sub-processor list and a signed Data Processing Agreement. Each one is a week of work and each one blocks a deal.

THE THREE ACCOUNTS THAT PREVENT A CASH CRISIS

An operating account, a tax reserve account that GST and TDS are swept into the day money lands, and a payroll account funded on the 25th. The money you collected as GST and deducted as TDS was never yours; keeping it in a separate account is the cheapest discipline available.

THE THREE FILINGS THAT COST THE MOST WHEN MISSED

TDS deposit — interest plus 30% expense disallowance under Section 40(a)(ia). The income tax return within the Section 139(1) due date — miss it and you forfeit loss carry-forward. MCA annual filings — ₹100 per day per form with no cap, and director disqualification under Section 164(2).

Banking

Your bank is infrastructure. The wrong choice costs you in minimum balance charges, failed international wires, a relationship manager who changes every eight months, and a net banking portal that cannot do a bulk payment. The right choice is boring and invisible. Pick for operational capability, not for the opening offer.

Choosing a current account

Type	Examples	Strengths	Weaknesses	Best for
Large private bank	HDFC, ICICI, Axis, Kotak	Best net banking and APIs; reliable bulk payments and salary uploads; strong forex desks; good corporate cards; branch network	High minimum balance; aggressive cross-selling; relationship managers churn	**The default for a funded or revenue-generating company**
Public sector bank	SBI, Bank of Baroda, PNB, Canara	Low or nil minimum balance options; strong for MSME lending and CGTMSE-backed credit; government tender comfort	Slower digital experience; manual processes; forex often routed through a few designated branches	Bootstrapped companies, MSME credit, government customers
Small finance / newer private	IDFC First, RBL, AU, Yes	Lower minimum balance, better onboarding experience, competitive rates on balances	Smaller branch network; forex capability varies by branch	Early-stage companies watching cash
Neobanks / business banking platforms	RazorpayX, Open, Jupiter for business and similar	Excellent payouts UX, payroll integration, vendor payment workflows, auto-reconciliation, approval chains	**They are not banks.** They sit on top of a partner bank. Regulatory changes have disrupted several. Your money's legal home is the partner bank	A layer on top of a real current account, not a replacement for it

⚠ **Understand what a "neobank" actually is**

A neobank in India is a technology platform that provides a user interface and workflow over a current account held with a licensed partner bank, often combined with a prepaid instrument or a payout API. It is not an RBI-licensed bank and your deposit relationship is with the partner bank. Several Indian fintech platforms have had to re-architect or halt services following RBI directions on prepaid instruments and on specific partner banks. **Use them for workflow, keep your primary balance in a scheduled commercial bank account, and keep the net banking credentials for the underlying account.** Verify the regulatory position at **rbi.org.in**.

Documents required to open a current account

TEXT

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CURRENT ACCOUNT – KYC DOCUMENT CHECKLIST (Private Limited Company)
Based on the RBI Master Direction on KYC. Banks add their own.
VERIFY the current list with your branch – it varies.

ENTITY DOCUMENTS
  [ ] Certificate of Incorporation
  [ ] Memorandum and Articles of Association (certified copy)
  [ ] PAN card of the company
  [ ] Board resolution for opening the account, naming the
      authorised signatories and the mode of operation
      (sole / jointly / any two)
  [ ] List of directors with DIN, signed by a director
  [ ] Latest shareholding pattern / list of beneficial owners
      holding more than 10% (Beneficial Ownership declaration)
  [ ] GST registration certificate (if registered)
  [ ] Udyam registration certificate (optional but helps)
  [ ] Proof of registered office: utility bill, rent agreement,
      or property tax receipt, not older than 2 months
  [ ] Certificate of Commencement of Business / INC-20A filing
      acknowledgement (banks increasingly ask)

INDIVIDUAL DOCUMENTS – for EVERY director and EVERY signatory
  [ ] PAN card
  [ ] Aadhaar (or passport / voter ID / driving licence)
  [ ] Recent passport-size photographs (2 each)
  [ ] Address proof if different from Aadhaar
  [ ] DIN

PRACTICAL NOTES
  - Allow 5–15 working days end to end. Chasing helps.
  - Open the account BEFORE you need to receive money. Many
    founders discover the timeline on the day a client wants
    to pay.
  - The MODE OF OPERATION in the board resolution is important.
    "Any one director" is convenient and dangerous. "Any two
    jointly above Rs 2,00,000, any one below" is the right
    default for a two-founder company.
  - Ask explicitly for: net banking with maker-checker, bulk
    payment / salary upload facility, API access if you want
    automation, a forex desk contact, and the branch's SWIFT
    code and intermediary bank details.
```

Minimum balance realities

Account tier	Typical Average Monthly / Quarterly Balance	What you get	Penalty if breached
Entry current account	₹10,000–₹25,000 (10,000–25,000)	Basic net banking, limited free NEFT/RTGS, limited free cash deposit	₹500–₹1,500 per month plus GST
Standard business	₹50,000–₹1,00,000	Higher free transaction limits, bulk payments, better forex rates	₹1,000–₹3,000 per month plus GST
Premium / corporate	₹2,00,000–₹10,00,000	Dedicated RM, sweep-in deposits, API banking, cash management	₹3,000–₹15,000 per month plus GST

✦ **Three things to negotiate that banks will actually concede**
(1) A **waiver or reduction of the minimum balance for the first 12 months** for a newly incorporated company — ask, it is routinely granted. (2) **Forex margin** on inward remittances; the card rate is not the rate you must accept, and a 25–50 paise improvement on a ₹50 lakh annual inflow is ₹12,500–₹25,000. (3) **Free NEFT/RTGS and bulk payment limits**. Get all three in writing by email from the RM, because the RM will change.

Account architecture — use more than one account

Account	Purpose	Why separate
Operating account	All receipts, all vendor payments, all day-to-day	The account everyone sees and reconciles
Tax reserve account	Sweep GST collected, TDS deducted, and an advance-tax provision here on the day you receive/deduct	**This single habit prevents the most common small-company cash crisis in India.** GST you collected is not your money. TDS you deducted is not your money. If it sits in the operating account it will be spent
Payroll account	Funded on the 25th with the full payroll plus statutory dues	Payroll becomes a non-negotiable transfer, not a decision competing with a vendor payment
Fixed deposit / sweep	Surplus above 2 months of operating need	Earns a return instead of nothing; auto sweep-in facilities make this invisible
EEFC account	Exchange Earners' Foreign Currency account — holds foreign currency receipts without immediate conversion	Lets you time your conversion and pay foreign vendors in the same currency without a double conversion. See Section 5
Escrow (if needed)	Customer funds you hold on their behalf	Legally required if you hold client money; also required if you take a private placement under Section 42 of the Companies Act

TEXT

THE TAX RESERVE DISCIPLINE - WORKED

Services company, Rs 24,00,000 invoice raised in April.

Invoice value (taxable)	Rs 24,00,000
CGST 9%	Rs 2,16,000
SGST 9%	Rs 2,16,000
TOTAL INVOICE	Rs 28,32,000
Less: client deducts TDS u/s 194J at 10% on the TAXABLE value	Rs 2,40,000
CASH RECEIVED	Rs 25,92,000

ON THE DAY THE MONEY LANDS, transfer to the tax reserve account:

GST collected (payable by the 20th of next month, net of eligible ITC) assume ITC of Rs 40,000	Rs 3,92,000
Advance tax provision (estimate: 25% of expected profit on this invoice, say Rs 9,00,000 profit x 25.17%)	Rs 2,26,530
SWEEP TO TAX RESERVE	Rs 6,18,530
AVAILABLE TO OPERATE	Rs 19,73,470

The Rs 2,40,000 of TDS is already with the government and will be claimed against your tax liability - track it in Form 26AS.

WITHOUT THIS DISCIPLINE: you see Rs 25,92,000 land, feel rich, hire someone, and then on 20 May you owe Rs 3,92,000 of GST that you no longer have. This is the single most common cash crisis in Indian small businesses.

Payment rails — mechanics and limits

Rail	Settlement	Typical limits	Cost	Use for
NEFT	Near real-time, available 24×7×365	No RBI-prescribed maximum; banks set their own per-transaction and daily caps in net banking	Often free online; small charges for branch	Vendor payments, salaries, routine transfers
RTGS	Real-time gross settlement, 24×7×365	**Minimum ₹2,00,000** (₹200,000); no upper limit prescribed by RBI	Small per-transaction charge; often free online	Large payments where immediate credit matters
IMPS	Instant, 24×7	Commonly up to ₹5,00,000 per transaction, bank-dependent	₹2–₹25 per transaction typically	Urgent payments outside RTGS/NEFT comfort
UPI	Instant, 24×7	Commonly ₹1,00,000 per transaction with higher limits for specified categories; bank and app dependent	Free for person-to-person; merchant transactions subject to the prevailing MDR regime	Small payments, reimbursements, small-ticket collections
Cheque	CTS clearing, typically same or next working day	—	Cheque book charges	Security deposits, statutory payments where required, counterparties who insist
NACH mandate	Scheduled debits	Per mandate	Setup plus per-debit charges	Recurring collections from customers, EMI payments

SWIFT wire	1–5 working days	—	₹500–₹2,500 plus intermediary bank charges plus FX margin	International payments. See Section 5

⚠ **Limits and charges as at FY 2025-26 — verify**

Transaction limits for UPI, IMPS and net banking NEFT are set by individual banks and by NPCI circulars and change frequently; RTGS has a prescribed minimum of ₹2 lakh. The MDR regime for UPI and RuPay debit cards has been the subject of repeated policy change. Verify current limits with your bank and current payment system rules at **rbi.org.in** and **npci.org.in**.

Authorised signatories and payment controls

1. **Pass a proper board resolution**
   Name the signatories, state the mode of operation and the monetary limits. Give the bank a certified copy. Update it whenever a director changes — **and remove departed signatories the same week**.

2. **Use maker-checker for every payment**
   One person creates the payment, a different person approves it. Every serious bank's net banking supports this. In a two-person company, the two founders are maker and checker. This single control stops most internal fraud and all accidental double payments.

3. **Set a joint-approval threshold**
   Below ₹50,000: single approval. ₹50,000–₹5,00,000: two approvals. Above ₹5,00,000: two approvals plus a verbal confirmation on a known phone number.

4. **Lock down beneficiary addition**
   New beneficiaries should require two approvals and a cooling-off period. Most invoice-interception fraud works by adding a new beneficiary with a slightly different name.

5. **Separate the person who reconciles from the person who pays**
   Even in a ten-person company. If the same person raises the payment and reconciles the bank, no control exists.

6. **Review access quarterly**
   Who has net banking access, at what level, with which device bound? Remove ex-employees the day they leave, not the quarter they leave.

Bank reconciliation discipline

TEXT

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WEEKLY BANK RECONCILIATION - THE 15-MINUTE ROUTINE

 1. Download the bank statement for the week (CSV or Excel).
 2. Import into Zoho Books / Tally / your tool.
 3. For every bank line, confirm it matches a book entry:
       Receipt  → matched to an invoice (full or part)
       Payment  → matched to a bill or an expense claim
       Transfer → matched to the other account
       Charge   → booked to Bank Charges with GST noted
 4. INVESTIGATE, DO NOT IGNORE:
       [ ] Any receipt you cannot attribute to a customer
       [ ] Any payment you did not expect
       [ ] Any charge you do not recognise
       [ ] Any reversal or failed transaction
       [ ] Any round-figure payment to an unfamiliar beneficiary
 5. Book the entries. Clear the "unreconciled" list to ZERO.
 6. Record the closing balance in the weekly cash sheet.

MONTH-END ADDITIONALLY:
  [ ] Reconcile the book balance to the bank's closing balance
      and document every reconciling item (cheques issued but
      not presented, deposits in transit)
  [ ] Confirm every account - operating, tax, payroll, FD, EEFC
  [ ] Save the signed/initialled reconciliation as a PDF in the
      month's folder. An auditor will ask for 12 of these.

RED FLAGS THAT MEAN STOP AND INVESTIGATE TODAY
  - A payment to a beneficiary added in the last 30 days
  - A vendor's bank account that changed recently
  - Two payments of the same amount to the same vendor
  - A salary credit to an account that is not in your payroll file
  - Any transaction initiated outside working hours
```

Corporate cards and expense management

Option	How it works	Pros	Cons
Bank corporate credit card	Issued against the company, sometimes with a collateral FD for a new company	Interest-free period improves working capital; GST input credit where the invoice is in the company's name	New companies often need a 100% collateral FD; limits are low initially
Prepaid corporate cards	Load and spend; issued by fintechs under a prepaid payment instrument licence	Fast issue, per-employee limits, instant freeze	Regulatory dependence on the issuer; no credit period
Virtual cards per vendor	A unique card number per SaaS subscription	**The best control against subscription sprawl** — cancel the card, cancel the subscription	Some vendors reject virtual cards
Founder's personal card + reimbursement	What most companies actually do in year one	Works immediately	Mixes personal and business; GST input credit is lost because the invoice is not in the company's name; makes the director's loan account messy

✕ **Never mix personal and company money**

Paying a company expense from a personal account and reimbursing later is survivable if documented. Paying a personal expense from the company account is not. It creates a director's loan, may attract **Section 2(22)(e) deemed dividend** treatment where the company has accumulated profits, is disallowed as an expense, and is a governance red flag in every audit and every diligence. If you need money from your company, take it as salary or as a declared dividend, with the correct TDS. Verify the current position on deemed dividend at **incometax.gov.in**.

Getting Paid Domestically

The gap between "work delivered" and "cash in the bank" is where small Indian companies die. It is closed by three things: an invoice that is correct the first time, payment terms that were agreed before the work started, and a collection routine that runs whether or not you feel like it.

The GST-compliant tax invoice

Field	Requirement (Rule 46, CGST Rules 2017 — verify at gst.gov.in)
Name, address, GSTIN of supplier	Mandatory
Invoice number	Consecutive serial number, not exceeding 16 characters, unique for the financial year, containing only alphabets, numerals, hyphen and slash
Date of issue	Mandatory
Name, address, GSTIN of recipient	GSTIN mandatory if registered
Place of supply with State name and code	**Mandatory for inter-State supply** — this determines IGST vs CGST+SGST
HSN / SAC code	Service Accounting Code for services. Common SACs: **998313** information technology consulting and support; **998314** IT design and development; **998315** hosting and IT infrastructure provisioning; **998316** IT infrastructure and network management. **Confirm the correct SAC for your exact service**
Description, quantity, unit, total value	Mandatory
Taxable value after discount	Mandatory
Rate and amount of CGST / SGST / IGST / cess	Mandatory, shown separately
Whether tax is payable on reverse charge	Mandatory statement
Signature or digital signature	Of the supplier or an authorised representative
For exports / SEZ supplies	Endorsement: "SUPPLY MEANT FOR EXPORT ON PAYMENT OF INTEGRATED TAX" or "...UNDER BOND OR LETTER OF UNDERTAKING WITHOUT PAYMENT OF INTEGRATED TAX", with buyer details and destination country

TEXT

SPECIMEN TAX INVOICE – DOMESTIC SERVICES (inter-State)

TAX INVOICE
(Original for Recipient)

ACME ENGINEERING LABS PRIVATE LIMITED
4th Floor, 22 MG Road, Bengaluru 560001, Karnataka
GSTIN: 29AABCA1234F1Z5 PAN: AABCA1234F CIN: U72900KA2023PTC...
Email: billing@acmelabs.in Phone: +91 80 4000 0000

Invoice No. : ACM/2026-27/0042 Date : 05-Apr-2026
Due Date : 05-May-2026 (Net 30) PO Ref : PO-9920/2026
Reverse Charge: No

BILL TO
Vertex Retail Systems Ltd
7 Senapati Bapat Marg
Mumbai 400013, Maharashtra
GSTIN: 27AADCV5678K1ZB

SHIP TO / PLACE OF SUPPLY
Same as Bill To
State : Maharashtra (27)

S No	Description	SAC	Qty	Rate (Rs)	Amount (Rs)
1	Software development services – Sprint 14 & 15, Mar 2026 – Resource: 2 Sr Engineers – As per SOW dated 01-Jan-2026	998314	160	9,000	14,40,000
2	Technical consulting – Architecture review	998313	20	12,000	2,40,000

Taxable Value	16,80,000
IGST @ 18%	3,02,400
TOTAL INVOICE VALUE	19,82,400

Amount in words: Rupees Nineteen Lakh Eighty Two Thousand Four Hundred Only.

TDS NOTE: The recipient may deduct tax at source under Section 194J of the Income-tax Act, 1961 at the applicable rate on the taxable value of Rs 16,80,000. Please share Form 16A after filing.

PAYMENT DETAILS
Account Name : Acme Engineering Labs Private Limited
Account No. : 50200012345678 Account Type : Current
Bank : HDFC Bank, MG Road Branch, Bengaluru
IFSC : HDFC0000123 MICR : 560240002

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  UPI          : acmelabs@hdfcbank

TERMS
  1. Payment due within 30 days of invoice date.
  2. Interest at 1.5% per month on overdue amounts.
  3. Disputes must be raised in writing within 7 days of receipt.
  4. Subject to Bengaluru jurisdiction.

                              For ACME ENGINEERING LABS PVT LTD


                              _____________________________
                              Authorised Signatory
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⚠ **E-invoicing — check whether it applies to you (verify at gst.gov.in / einvoice.gst.gov.in)**

Businesses above a prescribed aggregate turnover threshold must generate invoices through the **Invoice Registration Portal**, which returns an **Invoice Reference Number (IRN)** and a signed QR code. The threshold has been progressively reduced — it was ₹5 crore (₹50,000,000) of aggregate turnover in any financial year from 2017-18 onwards at the time of the last major reduction, and further reductions have been discussed. An invoice that should have been e-invoiced but was not is **not a valid tax invoice**, which means your customer cannot claim input tax credit on it. There is also a time limit for reporting invoices to the IRP for larger taxpayers. **Check your turnover against the current threshold today.**

Payment terms and billing models

Model	How it bills	Cash flow	Risk	Use when
Advance / prepaid	100% before work starts	Best	Customer bears delivery risk — hard to sell	Small projects, new customers, individuals
Milestone	30% advance, 40% on milestone, 30% on acceptance	Good	Acceptance disputes delay the final tranche	Fixed-price projects. **The default for Indian services work**
Monthly in arrears (T&M)	Bill actual hours monthly, Net 30	Medium — one month of work always outstanding	Scope creep is billable, so low commercial risk	Ongoing engineering engagements
Monthly retainer in advance	Fixed fee, billed on the 1st for that month	Good	Customer expects unlimited availability	Support, managed services, fractional CTO
Annual prepaid subscription	12 months upfront, often with a 15–20% discount	Excellent — the cheapest capital available to a software business	Deferred revenue obligation; refund risk	SaaS. **Push this hard**
Outcome / success fee	Paid on a defined result	Poor	You finance the work and carry the outcome risk	Rarely. Only with a minimum fee floor

✦ **The three contract clauses that get you paid faster**

(1) **"Payment is due within 30 days of invoice date, not of invoice approval."** Without this, a customer's internal approval cycle becomes your credit period. (2) **"Interest at 1.5% per month (18% p.a.) accrues on overdue amounts"** — you will rarely charge it, but it moves you up the queue when the customer's finance team prioritises. (3) **"The Service Provider may suspend services on 7 days' written notice if any undisputed invoice remains unpaid for more than 45 days."** This is the only clause that actually works, and it must be in the contract before you need it.

Payment gateways compared

Gateway	Typical MDR (verify current pricing)	Settlement	Onboarding	Notes
Razorpay	~2% + GST standard for domestic cards/netbanking; UPI subject to the prevailing MDR regime; international ~3%+	T+2 working days standard; T+1 on request/paid plans	Fast, fully online, 2–5 days for most businesses	Best developer experience in India. Also offers payouts, subscriptions and payroll. Deep documentation
Cashfree	Comparable to Razorpay; often competitive on payouts	T+1 available	Online, quick	Strong payouts and vendor-disbursal product; good for marketplaces
PayU	~2% + GST	T+2	Moderate	Long-established; strong enterprise relationships
Stripe (India)	Higher for international; India availability and features have varied	Varies	Can be restrictive for Indian entities	**Verify current India availability and supported business types.** Excellent for an overseas entity billing globally
PhonePe / Paytm payment gateway	Competitive on UPI-heavy flows	T+1/T+2	Online	Strong where your customers pay predominantly by UPI
Instamojo, Zoho Checkout and similar	Varies	Varies	Easiest	Good for very small volumes and one-off payment links

⚠ **MDR, settlement cycles and onboarding rules change — verify directly**

Pricing above is indicative of published standard rates in early 2026 and is negotiable at volume. The MDR position for UPI and RuPay debit cards in particular is a matter of government and NPCI policy and has changed more than once. Settlement cycles are affected by RBI's payment aggregator framework. **Get current pricing in writing from the gateway and verify the regulatory position at rbi.org.in and npci.org.in.**

TEXT

GATEWAY ECONOMICS - WORKED, AND WHY IT MATTERS AT SCALE

SaaS company, Rs 2,40,00,000 annual collections through a gateway.
Mix: 55% UPI, 30% cards, 15% netbanking.

Assume (ILLUSTRATIVE - get your own quoted rates):

UPI	0.00% + GST	(prevailing regime)
Cards	2.00% + 18% GST =	2.36% effective
Netbanking	1.80% + 18% GST =	2.12% effective

UPI	1,32,00,000	x 0.00%	=	Rs 0
Cards	72,00,000	x 2.36%	=	Rs 1,69,920
Netbanking	36,00,000	x 2.12%	=	Rs 76,320
ANNUAL GATEWAY COST				Rs 2,46,240

THREE LEVERS, IN ORDER OF IMPACT:

1. SHIFT THE MIX. Every Rs 10 lakh moved from cards to UPI saves Rs 23,600. Offer a 1% discount for UPI payment - it costs Rs 10,000 and saves Rs 23,600. Net saving Rs 13,600 per Rs 10 lakh shifted.
2. NEGOTIATE. Above roughly Rs 1 crore of annual volume, card MDR of 1.6-1.8% is achievable. On Rs 72 lakh of card volume, 2.00% → 1.70% saves Rs 21,600 a year.
3. CLAIM THE INPUT TAX CREDIT. The GST on the MDR is an input tax credit if you are registered. On Rs 2,46,240 of cost, roughly Rs 37,600 is GST and is recoverable. MANY SMALL COMPANIES NEVER CLAIM IT because the gateway invoice is never entered in the books.
   *** Download the monthly gateway GST invoice and book it. ***

CHARGEBACKS

A chargeback is a card-network-initiated reversal. The gateway debits you, you contest with evidence (delivery proof, IP log, signed acceptance, communication trail). Budget 0.1-0.5% of card volume. Keep: timestamped delivery logs, the customer's acceptance email, and the terms they agreed to at checkout. A chargeback rate above ~1% triggers scrutiny and can cost you the merchant account.

Subscription billing and e-mandates

Mechanism	How it works	Constraint
UPI AutoPay	Customer approves a recurring mandate in their UPI app	Per-transaction limits apply; above the prescribed limit an Additional Factor of Authentication is required for each debit. **Verify the current limit at npci.org.in**
Card-on-file e-mandate	Recurring card debits under the RBI e-mandate framework	Requires registration of the mandate, a **pre-debit notification** to the customer in advance of each debit, and AFA above the prescribed per-transaction limit. **Verify the current limit and notification period at rbi.org.in**
NACH / e-NACH	Bank account debit mandate, registered with NPCI	Best for larger B2B amounts; setup takes days; mandate rejection rates are non-trivial
Manual invoice + payment link	You invoice, they pay	Highest friction, highest control. **For B2B annual contracts this is usually right** — enterprise customers will not sign a mandate anyway

> **Card tokenisation**
> Under RBI's card-on-file tokenisation framework, merchants and payment aggregators generally cannot store actual card numbers; they store network-issued tokens instead. This is handled by your gateway, but it affects you in two ways: a customer changing cards must re-tokenise, and migrating gateways means your saved-card base does not move with you. Factor that into any decision to switch providers. Verify the current framework at **rbi.org.in**.

Getting Paid Internationally — The Operator's Summary

Most Indian software companies have at least one overseas customer, and the money arrives through a chain of banks that each take a cut. This section gives you the operating essentials; the dedicated freelancing and consulting guide covers the export-of-service tests, LUT mechanics and GST refund route in depth.

The routes money takes

Route	How it works	Typical all-in cost	Speed	Documentation
SWIFT wire to your current account	Customer's bank → correspondent bank → your AD Category-I bank	FX margin 0.5–2.5% + sending fee + ₹300–₹1,500 intermediary + receiving bank charges	1–5 working days	AD bank issues **FIRC** or **FIRA/e-FIRC**; purpose code required
Wise (formerly TransferWise)	Customer pays into a local account in their country; Wise settles to your Indian account through a partner bank	Transparent fee, typically 0.4–1.2% all-in; mid-market FX rate	Hours to 2 days	Confirm that you receive a **FIRA** — you need it for export proof. Verify the current India arrangement
Payoneer	Receiving accounts in USD/EUR/GBP; withdraw to your Indian bank	Receiving fee plus withdrawal FX margin; often ~1.5–2.5% all-in	1–3 days	Provides documentation; confirm it satisfies your AD bank
Marketplace payout (Upwork, App Store, Stripe on an overseas entity)	Platform aggregates and remits	Platform fee (5–30%) plus FX margin	Platform cycle	Platform statements plus bank advice; purpose code assigned by the bank
Overseas entity + intra-group transfer	Foreign subsidiary bills the customer; remits to the Indian company under a services agreement	FX plus transfer pricing compliance	—	**Transfer pricing study and Form 3CEB required.** Only worth it at scale

Purpose codes, FIRC and e-BRC

TEXT

```
WHAT YOUR BANK WILL ASK, AND WHAT YOU MUST KEEP

PURPOSE CODE
  Every inward remittance is tagged with an RBI purpose code that
  tells the system what the money is for. Software and IT services
  exports fall under the "P" series codes for software services
  and other business/professional services. YOUR BANK WILL ASK
  YOU TO DECLARE IT, usually by email or in an inward remittance
  form, within a few days of receipt.

  *** GET THIS RIGHT. *** A remittance mis-tagged as a gift, a
  capital receipt or a personal transfer:
    - is not evidence of an export of services
    - breaks your GST zero-rating / refund claim
    - creates a FEMA question later
  VERIFY the correct purpose code for your exact service with
  your AD bank and against the RBI purpose code list.

FIRC / FIRA
  Foreign Inward Remittance Certificate / Advice. Issued by your
  AD Category-I bank. It evidences that foreign currency was
  received, from whom, in what amount, and under what purpose
  code. You need it for:
    - GST zero-rated supply / refund claims
    - Income tax substantiation of export income
    - Any future FEMA or transfer pricing question
  Many banks now issue an e-FIRC/FIRA automatically; some charge
  Rs 100-500 per certificate and issue only on request.
  *** REQUEST IT FOR EVERY REMITTANCE AND FILE IT. ***

e-BRC (Electronic Bank Realisation Certificate)
  Generated on the DGFT portal (dgft.gov.in) from bank-reported
  realisation data. Required for most export incentive schemes
  and sometimes requested in GST refund processing.
  Check that your bank is actually transmitting data to DGFT -
  many do not do it automatically for services exporters.

SOFTEX
  Software export declarations under the FEMA export regulations.
  Applicability depends on the nature of the export and on whether
  you operate from an STPI/SEZ unit. VERIFY with your AD bank and
  with STPI whether Softex filing applies to you; the position
  differs for non-STPI units and has been simplified over time.

REALISATION PERIOD
  Export proceeds must be realised and repatriated within the
  period prescribed under FEMA (commonly 9 months from the date
  of export for most exporters - VERIFY the current period and
```

```
any extensions at rbi.org.in). An unrealised export invoice
sitting past the deadline is a FEMA issue, not just a bad debt.
```

The EEFC account

Aspect	Detail (verify at rbi.org.in)
What it is	An **Exchange Earners' Foreign Currency** account — a current account denominated in foreign currency, held with an AD Category-I bank in India
Who may open one	Any person resident in India who earns foreign exchange, including companies and individuals
Why it helps	You can retain receipts in USD/EUR instead of converting on arrival. You then (a) time your conversion rather than accepting the rate on the day the wire lands, and (b) pay foreign vendors — AWS, contractors, SaaS — directly in foreign currency, **avoiding a double conversion spread**
Constraints	No interest is payable on EEFC balances. There are conditions on the percentage of earnings that may be credited and on conversion of the balance, which have changed over time. **Verify the current conditions and any conversion requirement**
Practical rule	If your annual foreign receipts exceed roughly ₹1 crore (₹10,000,000) and you have meaningful foreign-currency costs, an EEFC account typically pays for itself in saved spread within a year

TEXT

```
WHAT FX SPREAD ACTUALLY COSTS YOU - WORKED

Annual USD receipts: USD 300,000 at an average USD/INR of 86.00
   Gross value at the mid-market rate    Rs 2,58,00,000

SCENARIO A - default bank rate, no negotiation
   Bank's spread on inward conversion    1.25%
   Lost to spread                        Rs  3,22,500
   SWIFT/intermediary charges
      12 wires x ~Rs 1,200               Rs    14,400
   TOTAL COST                            Rs  3,36,900

SCENARIO B - negotiated rate + EEFC
   Negotiated spread                     0.35%
   Lost to spread on the 70% converted
      (Rs 1,80,60,000 x 0.35%)           Rs    63,210
   30% retained in EEFC and spent
      directly on AWS/contractors -
      spread avoided entirely            Rs         0
      (would have cost ~0.9% twice on
       Rs 77,40,000 = Rs 1,39,320 saved)
   SWIFT/intermediary charges            Rs    14,400
   TOTAL COST                            Rs    77,610

   ANNUAL SAVING: Rs 2,59,290

HOW TO NEGOTIATE THE SPREAD
  1. Ask the RM for the "card rate" and the "offered rate" on a
     test amount. The gap is the spread.
  2. Quote a competing rate - Wise publishes its rate live.
  3. Ask for a spread commitment in paise, e.g. "mid + 0.15".
  4. For amounts above ~USD 25,000, ask the treasury desk to
     quote live rather than accepting the branch card rate.
  5. Get the agreed spread confirmed BY EMAIL. RMs change.
```

⚠ **FEMA and GST positions as at FY 2025-26 — verify**

Realisation periods, EEFC conditions, purpose code lists and Softex applicability are all set by RBI/DGFT circulars and Master Directions and change. The GST treatment of your overseas billing — whether it is a zero-rated export of service, and whether the "intermediary" provisions or the place-of-supply rules apply — is fact-specific and has been litigated. Confirm with a GST practitioner and with your AD bank. Sources: **rbi.org.in**, **dgft.gov.in**, **gst.gov.in**.

Collections and Receivables

Revenue recognised is not revenue received. In Indian services businesses, 60–90 day payment behaviour is normal even against Net 30 terms, and the company that chases systematically gets paid before the one that chases apologetically. Collections is a process, not a personality trait.

The ageing report

TEXT

```
ACCOUNTS RECEIVABLE AGEING - as at 31 March 2026
(review this EVERY MONDAY, not every month)

Customer            Invoice      Date      Amount    Current  1-30  31-60  61-90   90+
-------------------------------------------------------------------------------------
Vertex Retail       ACM/0042  05-Apr-26  19,82,400  19,82,400     -      -      -
Northwind Tech      ACM/0031  18-Feb-26   8,26,000          -  8,26,000  -      -
Hilltop Logistics   ACM/0024  12-Jan-26   4,72,000          -      -  4,72,000  -
Hilltop Logistics   ACM/0019  03-Dec-25   4,72,000          -      -      -  4,72,000
Orion Media         ACM/0011  22-Sep-25   6,49,000          -      -      -      - 6,4
Delta Systems       ACM/0038  28-Mar-26   2,36,000   2,36,000     -      -      -
-------------------------------------------------------------------------------------
TOTAL                                    46,37,400  22,18,400 8,26,000 4,72,000 4,72,0
% of total                                            47.8%   17.8%   10.2%  10.2%  14

DERIVED METRICS
  Total AR                                Rs 46,37,400
  Revenue for the last 90 days            Rs 61,40,000
  DSO = (AR / revenue in period) x days
      = (46,37,400 / 61,40,000) x 90      = 68 days
  TARGET for a services company                45-55 days
  → You are carrying ~15-20 extra days of revenue as a
     free loan to your customers. At Rs 2.4 crore of annual
     revenue that is roughly Rs 10-13 lakh of working capital.

ACTION TRIGGERS - automate these
  Day  0  Invoice issued + emailed to AP and to the sponsor
  Day  +3 Delivery confirmation: "confirming you received this"
  Day -7  (i.e. 7 days before due) Polite reminder
  Day  +1 past due    Reminder 1 - assume an oversight
  Day  +15 past due   Reminder 2 - escalate to the sponsor
  Day  +30 past due   Reminder 3 - firm, cite the contract,
                      copy your director
  Day  +45 past due   Suspension notice under the contract
  Day  +60 past due   Legal notice / MSME Samadhaan / Sec. 138
  Day  +180           Provide for the debt in the books
```

The dunning sequence — four escalating email templates

TEXT

TEMPLATE 1 — DAY +1 PAST DUE (assume an oversight, stay warm)

Subject: Invoice ACM/2026-27/0031 — due 18 March

Hi Priya,

Hope the quarter close went smoothly.

Invoice ACM/2026-27/0031 for Rs 8,26,000 was due on 18 March and I do not see it in our account yet. I have attached a copy in case it needs to be re-circulated.

If it is already in your payment run, just let me know the expected date and I will stop chasing. If anything is missing from our side — a PO reference, a GST detail, a vendor-portal upload — tell me and I will fix it today.

Best,
Ananya
Acme Engineering Labs | +91 98xxx xxxxx

═══

TEMPLATE 2 — DAY +15 (escalate to the sponsor, introduce specifics)

Subject: Overdue: Invoice ACM/2026-27/0031 (Rs 8,26,000) — 15 days

Hi Priya, copying Rakesh.

Invoice ACM/2026-27/0031 for Rs 8,26,000 is now 15 days past its due date of 18 March. The work it covers — Sprint 11 and 12 — was delivered on 28 February and signed off by Rakesh on 2 March.

Could you confirm one of the following today:
  (a) the invoice is approved and scheduled for payment on [date]
  (b) the invoice is held pending something specific, and what
  (c) the invoice has not been received by AP

Our terms are Net 30 and the contract provides for interest at 1.5% per month on overdue amounts from the due date. I would much rather not apply it, so a payment date would help.

Rakesh — if there is an internal approval stuck somewhere, a nudge from you would resolve this quickly.

Best,
Ananya

```
================================================================================
TEMPLATE 3 — DAY +30  (firm, cite the contract, name consequences)

Subject: FORMAL REMINDER — Invoice ACM/2026-27/0031 overdue 30 days

Priya, Rakesh — copying Suresh Nair, Director, Acme Engineering Labs.

Invoice ACM/2026-27/0031 dated 18 February 2026 for Rs 8,26,000
remains unpaid, 30 days past the due date of 18 March 2026. No
dispute has been raised regarding the invoice or the underlying
deliverables within the 7-day period provided in Clause 6.3 of our
Master Services Agreement dated 4 June 2025, and the deliverables
were accepted in writing on 2 March 2026.

Accordingly:
  1. Interest at 1.5% per month is accruing from 19 March 2026
     under Clause 6.5. As at today this is Rs 12,390.
  2. Under Clause 6.6 we are entitled to suspend services on seven
     days' written notice where an undisputed invoice remains
     unpaid for more than 45 days. That date is 2 May 2026.
  3. Acme Engineering Labs Private Limited is a registered micro
     enterprise under the MSMED Act, 2006 (Udyam Registration No.
     UDYAM-KR-xx-xxxxxxx). Under Section 15 of that Act, payment
     for accepted goods or services is due within 45 days, and
     Section 16 provides for compound interest at three times the
     RBI bank rate on delayed payments. Section 43B(h) of the
     Income-tax Act, 1961 may also affect the deductibility of
     this expense in your hands if it remains unpaid.

Please confirm a payment date by close of business on [date, 3
working days out]. I would prefer to resolve this between us.

Regards,
Ananya Rao
Director, Acme Engineering Labs Private Limited


================================================================================
TEMPLATE 4 — DAY +45  (suspension notice + final opportunity)

Subject: NOTICE OF SUSPENSION OF SERVICES — MSA dated 4 June 2025

To: Vertex Retail Systems Limited
    Attn: Rakesh Menon, VP Technology; Priya Shah, Accounts Payable
    Copy: compliance@vertexretail.example

Dear Sirs,
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Invoice ACM/2026-27/0031 dated 18 February 2026 for Rs 8,26,000
remains wholly unpaid, 45 days past the contractual due date.
No dispute has been raised within the period prescribed in
Clause 6.3 of the Master Services Agreement dated 4 June 2025.

PLEASE TREAT THIS AS FORMAL NOTICE under Clause 6.6 of the MSA
that Acme Engineering Labs Private Limited will suspend all
services, access and support under the Agreement with effect from
[date, 7 days out], unless the outstanding amount of Rs 8,26,000
together with accrued interest of Rs 18,585 is received in full
before that date.

Suspension will include: withdrawal of production support,
suspension of the current sprint, and revocation of repository
and environment access. We will retain and protect your data in
accordance with Clause 11 and will restore services within two
working days of receipt of payment.

If payment is not received by [date + 14], we reserve the right,
without further notice, to:
  (i) file a reference with the Micro and Small Enterprises
      Facilitation Council through the MSME Samadhaan portal
      (samadhaan.msme.gov.in) under Section 18 of the MSMED Act,
      2006; and/or
  (ii) initiate proceedings for recovery, including under the
      Commercial Courts Act, 2015 following the statutory
      pre-institution mediation process.

We would much prefer to resolve this commercially. I am available
on +91 98xxx xxxxx at any time.

Yours faithfully,

Ananya Rao
Director
Acme Engineering Labs Private Limited
Encl: Invoice copy, signed acceptance dated 2 March 2026,
      Udyam Registration Certificate, MSA extract
```

✦ **What actually makes customers pay**

In order of effectiveness: **(1)** a named individual on your side owning the relationship with a named individual in their AP team; **(2)** suspension of service, which is the only consequence most customers genuinely care about; **(3)** escalation to the business sponsor, who has a budget problem if you stop; **(4)** the MSME 45-day rule, which creates a tax problem for *their* finance team; **(5)** interest, which rarely gets paid but moves you up the queue; **(6)** legal notices, which are slow and relationship-ending. Use them in that order.

Section 43B(h) and the MSME 45-day rule — your strongest lever

TEXT

```
THE MSME PAYMENT RULES WORKING IN YOUR FAVOUR
(verify at msme.gov.in and incometax.gov.in)

MSMED ACT, 2006
  Sec. 15  A buyer must pay a micro or small enterprise supplier
           within the period agreed in writing, and in any case
           NOT LATER THAN 45 DAYS from the day of acceptance or
           deemed acceptance.
  Sec. 16  If the buyer fails, it is liable to pay COMPOUND
           INTEREST WITH MONTHLY RESTS at THREE TIMES the bank
           rate notified by RBI, from the appointed day.
  Sec. 18  The supplier may refer the dispute to the Micro and
           Small Enterprises Facilitation Council (MSEFC) for
           conciliation and then arbitration. Filed online at
           samadhaan.msme.gov.in. NO COURT FEE.
  Sec. 19  A buyer appealing an MSEFC award must DEPOSIT 75% of
           the awarded amount with the court before the appeal
           is entertained. This is a very powerful deterrent.

SECTION 43B(h), INCOME-TAX ACT 1961
  An expenditure payable to a MICRO or SMALL enterprise is
  deductible only in the year in which it is ACTUALLY PAID, if
  payment is made beyond the time limit specified in Sec. 15 of
  the MSMED Act. In other words:

  *** IF YOUR CUSTOMER DOES NOT PAY YOU WITHIN 45 DAYS, THEY
      CANNOT CLAIM YOUR INVOICE AS AN EXPENSE IN THAT YEAR. ***

  This hits their taxable profit directly. A Rs 8,26,000 invoice
  disallowed at a 25.17% effective rate costs them Rs 2,07,900
  of extra tax in that year. It is often cheaper for them to pay
  you than to delay.

HOW TO USE IT PROPERLY
  1. GET UDYAM REGISTERED. It is free, online, takes 15 minutes
     at udyamregistration.gov.in, and needs only PAN and Aadhaar.
     Without it you are not a "micro or small enterprise" for
     these purposes.
  2. PUT YOUR UDYAM NUMBER ON EVERY INVOICE, in the header, next
     to your GSTIN.
  3. Add a line to the invoice:
     "Acme Engineering Labs Private Limited is a registered Micro
      Enterprise under the MSMED Act, 2006 (Udyam Reg. No.
      UDYAM-KR-xx-xxxxxxx). Payment is due within 45 days of
      acceptance under Section 15 of the said Act."
  4. State it in the MSA too, with a representation that you will
     notify any change in status.
  5. Mention it in Reminder 3, not Reminder 1. It is a lever, not
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```
      an opening gambit.

ALSO RELEVANT, FROM THE OTHER SIDE:
  Form MSME-1 - a company must file a half-yearly return with
  MCA disclosing outstanding payments to micro and small
  enterprises beyond 45 days. YOU have this obligation towards
  YOUR micro/small vendors. Due dates have historically been
  31 October and 30 April. VERIFY at mca.gov.in.
```

⚠ **Verify your MSME classification — limits changed 1 April 2025**

The revised classification effective **1 April 2025** uses both investment in plant, machinery or equipment **and** turnover: **Micro** — investment up to ₹2.5 crore and turnover up to ₹10 crore; **Small** — investment up to ₹25 crore and turnover up to ₹100 crore; **Medium** — investment up to ₹125 crore and turnover up to ₹500 crore. Note that **only micro and small** enterprises get the Section 15 / Section 43B(h) protection — a medium enterprise does not. A services company's "investment in plant and machinery or equipment" includes computers and equipment. Verify the current limits at **udyamregistration.gov.in** and **msme.gov.in**.

Bounced cheques — Section 138 of the Negotiable Instruments Act

1. **The cheque must be dishonoured**
   Returned unpaid for insufficiency of funds or because it exceeds the arranged amount. Keep the **bank's return memo** — it is the foundation of the case.

2. **Serve a demand notice within 30 days**
   From the date you receive information of dishonour. The notice must demand payment of the cheque amount. Send by registered post with acknowledgement due **and** by email, to the correct registered address.

3. **Wait 15 days**
   The drawer has 15 days from receipt of the notice to pay.

4. **File the complaint within 30 days**
   Of the expiry of that 15-day period, before the Magistrate having jurisdiction. Delay beyond this is generally fatal unless condoned.

5. **Outcome**

Punishable with imprisonment up to two years, or a fine up to twice the cheque amount, or both. In practice, most matters settle once the complaint is filed, because a criminal summons is taken seriously.

6

Interim compensation

Courts may direct interim compensation of up to 20% of the cheque amount during the trial under Section 143A, and up to 20% as a deposit on appeal under Section 148. Verify the current provisions.

i

Why a post-dated cheque is still worth asking for

A plain unpaid invoice is a civil debt with a slow remedy. A dishonoured cheque is a **criminal** complaint under Section 138 with a defined and relatively fast process. For a customer with a history of delay, ask for a post-dated cheque or a security cheque at contract signing. Many will give one; the ones who refuse have told you something useful. Confirm the current procedure and limitation periods with an advocate — Section 138 practice is technical and strict on timelines.

Recovery options compared

Route	Cost	Time	Best for	Relationship impact
Suspension of service	Nil	Immediate	Ongoing engagements	Recoverable
MSME Samadhaan / MSEFC reference	**No court fee**; your time	3–12 months	Any micro/small supplier against any buyer. **Start here**	Damaged but survivable
Section 138 NI Act complaint	₹25,000–₹1,00,000 in legal fees	6–24 months, usually settles earlier	Dishonoured cheque only	Ended
Commercial court suit (Commercial Courts Act, 2015)	Court fee (ad valorem, state-dependent) + ₹1–5 lakh legal	1–3 years	Claims above the specified value with documentary proof	Ended
Arbitration under the contract	₹2–15 lakh for a sole arbitrator	6–18 months	Larger disputes where the contract provides for it	Ended
IBC Section 9 operational creditor petition	₹1.5–5 lakh	6–18 months	Undisputed debt above the prescribed threshold (**₹1 crore** as at early 2026 — verify at **ibbi.gov.in**) against a solvent company that will settle rather than face insolvency	Ended. Powerful, but a genuine pre-existing dispute will get it dismissed
Write it off	The debt	Immediate	Amounts below roughly ₹1–2 lakh where legal cost exceeds recovery	—

Credit policy and security deposits

Customer type	Terms to offer	Security
New, unknown, small	50% advance, 50% on delivery	Advance *is* the security
New, mid-size private company	30% advance, milestones, Net 15	Advance + a security cheque
Listed company / MNC subsidiary	Net 30–45; they will not negotiate below their standard	None needed; their process is slow but reliable
Government / PSU	Their standard terms, often Net 60–90 with bank guarantee requirements	Budget 90–180 day DSO and price accordingly
Startup customer (pre-Series A)	Monthly in advance, no exceptions	Advance. Their runway is your credit risk
Repeat customer, clean history	Net 30–45	None
Repeat customer, two late payments	Revert to advance, in writing, calmly	Advance

Bookkeeping

Books are not for the tax department. They are the only instrument that tells you whether the business works. A services company that cannot say its gross margin by client within two days of month end is flying blind, and every decision about pricing, hiring and investment is a guess.

Accrual versus cash accounting

	Accrual	Cash
Revenue recognised	When earned — when the service is delivered	When money is received
Expense recognised	When incurred	When paid
Required for	**Every company under the Companies Act, 2013** — Section 128 requires books on an accrual basis and double entry. Not optional	Permitted for individuals and firms in certain cases under the Income-tax Act; not for companies
Shows	True profitability and the working capital position	Cash position only
Risk	You can be "profitable" and insolvent at the same time	You can be "loss-making" in a month you prepaid annual insurance

✦ **Run both views**

Keep accrual books because the law requires it and because they tell you the truth about profitability. Keep a separate 13-week cash forecast because cash is what actually kills companies. They answer different questions and you need both. See Section 9.

A chart of accounts for an Indian software services company

TEXT

```
CHART OF ACCOUNTS - SERVICES / SAAS COMPANY (India)
Numbering: 1xxx Assets, 2xxx Liabilities, 3xxx Equity,
           4xxx Income, 5xxx COGS, 6xxx Opex, 7xxx Other

1000  CURRENT ASSETS
 1010   Bank - HDFC Current (Operating)
 1011   Bank - HDFC Current (Payroll)
 1012   Bank - ICICI Current (Tax Reserve)
 1015   Bank - EEFC USD
 1020   Fixed Deposits
 1030   Cash in Hand (petty cash)
 1100   Trade Receivables - Domestic
 1105   Trade Receivables - Export
 1110   Provision for Doubtful Debts            (contra)
 1120   Unbilled Revenue / Work in Progress
 1200   Input Tax Credit - CGST
 1201   Input Tax Credit - SGST
 1202   Input Tax Credit - IGST
 1205   GST Cash Ledger
 1210   TDS Receivable (tax deducted by customers)
 1215   Advance Tax Paid
 1220   Income Tax Refund Due
 1300   Prepaid Expenses - Insurance
 1301   Prepaid Expenses - Software Subscriptions
 1302   Prepaid Expenses - Rent
 1310   Advances to Suppliers
 1320   Advances to Employees
 1330   Security Deposits - Office
 1331   Security Deposits - Utilities

1500  NON-CURRENT ASSETS
 1510   Computers and Laptops
 1511   Accumulated Depreciation - Computers    (contra)
 1520   Furniture and Fixtures
 1521   Accumulated Depreciation - Furniture    (contra)
 1530   Office Equipment
 1531   Accumulated Depreciation - Office Eqpt  (contra)
 1540   Intangible Assets - Software Licences
 1541   Accumulated Amortisation - Software     (contra)
 1550   Capital Work in Progress
 1560   Deferred Tax Asset

2000  CURRENT LIABILITIES
 2010   Trade Payables - Vendors
 2011   Trade Payables - MSME (track separately for Sec. 43B(h)
                              and Form MSME-1)
 2020   Accrued Expenses
 2030   Salaries Payable
```

```
 2031   Bonus and Incentive Payable
 2040   Statutory Dues - TDS u/s 192 (salary)
 2041   Statutory Dues - TDS u/s 194J (professional)
 2042   Statutory Dues - TDS u/s 194C (contract)
 2043   Statutory Dues - TDS u/s 194I (rent)
 2050   Statutory Dues - EPF Employee Contribution
 2051   Statutory Dues - EPF Employer Contribution
 2052   Statutory Dues - EPS
 2053   Statutory Dues - EDLI and Admin Charges
 2055   Statutory Dues - ESIC Employee
 2056   Statutory Dues - ESIC Employer
 2060   Statutory Dues - Professional Tax
 2065   Statutory Dues - Labour Welfare Fund
 2070   GST Payable - CGST
 2071   GST Payable - SGST
 2072   GST Payable - IGST
 2073   GST Payable - Reverse Charge
 2080   Provision for Income Tax
 2090   Deferred Revenue / Income Received in Advance
 2095   Customer Advances

2500  NON-CURRENT LIABILITIES
 2510   Term Loan - Bank
 2520   Vehicle Loan
 2530   Provision for Gratuity
 2540   Provision for Leave Encashment
 2550   Deferred Tax Liability
 2560   Unsecured Loan from Director

3000  EQUITY
 3010   Equity Share Capital
 3020   Preference Share Capital (CCPS)
 3030   Securities Premium
 3040   Retained Earnings / Surplus
 3050   Share Application Money Pending Allotment
 3060   ESOP Outstanding Reserve

4000  REVENUE
 4010   Service Revenue - Time and Material (Domestic)
 4011   Service Revenue - Time and Material (Export)
 4020   Service Revenue - Fixed Price (Domestic)
 4021   Service Revenue - Fixed Price (Export)
 4030   Subscription Revenue - Monthly
 4031   Subscription Revenue - Annual
 4040   Implementation and Onboarding Revenue
 4050   Support and AMC Revenue
 4090   Discounts and Rebates                    (contra)
 4095   Credit Notes Issued                      (contra)
```

```
5000  COST OF REVENUE  (keep this tight - it drives gross margin)
 5010   Delivery Salaries - Engineering
 5011   Delivery Salaries - Employer PF/ESIC share
 5012   Delivery - Gratuity and Leave Provision
 5020   Subcontractor and Freelancer Costs
 5030   Cloud Hosting - AWS / Azure / GCP
 5031   Third-party APIs and Data
 5032   Production Software Licences
 5040   Customer Support Costs
 5050   Payment Gateway Charges
 5060   Project Travel (billable or directly attributable)

6000  OPERATING EXPENSES
 6100   SALES AND MARKETING
  6110   Sales Salaries and Incentives
  6120   Digital Advertising
  6130   Events, Conferences and Sponsorships
  6140   Content and Design
  6150   Sales Tools (CRM, enrichment, outreach)
  6160   Travel - Sales
 6200   RESEARCH AND DEVELOPMENT
  6210   Product and Engineering Salaries (non-delivery)
  6220   Development Tools and Non-production Software
  6230   Non-production Cloud and Sandboxes
 6300   GENERAL AND ADMINISTRATIVE
  6310   Founder and Management Remuneration
  6311   Director Sitting Fees
  6320   Finance and Admin Salaries
  6330   Rent - Office / Coworking
  6331   Electricity, Water, Maintenance
  6332   Internet and Telephone
  6340   Professional Fees - Audit
  6341   Professional Fees - CA (tax, GST, payroll)
  6342   Professional Fees - Company Secretary
  6343   Professional Fees - Legal
  6344   Professional Fees - Consultants
  6350   Insurance - Group Health
  6351   Insurance - Directors and Officers
  6352   Insurance - Professional Indemnity / Cyber
  6353   Insurance - Property / Fire
  6360   Bank Charges and Commission
  6361   Foreign Exchange Loss / (Gain)
  6370   Recruitment and Background Verification
  6371   Training and Certification
  6372   Employee Welfare and Team Events
  6380   Office Supplies and Printing
  6381   Repairs and Maintenance
  6390   Rates, Taxes and Government Fees
  6391   Business Promotion
```

```
  6395   Miscellaneous Expenses       (keep this under 0.5% of
                                      total opex or you are
                                      not classifying properly)

7000  OTHER INCOME AND EXPENSE
 7010   Interest Income on Deposits
 7020   Interest Expense on Loans
 7030   Depreciation and Amortisation
 7040   Provision for Doubtful Debts (expense)
 7050   Bad Debts Written Off
 7060   Profit / (Loss) on Sale of Assets
 7070   Prior Period Items
 7900   Income Tax Expense - Current
 7910   Income Tax Expense - Deferred

DESIGN RULES
 - Separate DELIVERY salaries (5010) from R&D salaries (6210).
   Without this you cannot compute gross margin, and gross margin
   is the single most important number in a software business.
 - Track MSME payables separately (2011). You need it for
   Sec. 43B(h) and Form MSME-1.
 - Never book anything to "Miscellaneous" twice. If it recurs,
   it deserves an account.
 - Keep COGS to things that scale with revenue. Everything that
   would continue if revenue stopped belongs in Opex.
```

The month-end close checklist

TEXT

```
MONTH-END CLOSE - TARGET: COMPLETE BY DAY 7 OF THE NEXT MONTH

DAY 1-2  TRANSACTIONS
  [ ] All sales invoices for the month raised and recorded
  [ ] All vendor bills received and recorded (chase missing ones)
  [ ] All employee expense claims submitted and approved
  [ ] All bank accounts reconciled to the last day of the month
  [ ] Credit card statements reconciled and expenses booked
  [ ] Payment gateway settlement reports reconciled to receipts
     (gross collections vs net settlement vs fees vs GST on fees)
  [ ] Petty cash counted and reconciled

DAY 3-4  ACCRUALS AND ADJUSTMENTS
  [ ] Accrue revenue earned but not invoiced (unbilled WIP)
  [ ] Accrue expenses incurred but not billed by the vendor
  [ ] Amortise prepaid expenses for the month
     (insurance, annual SaaS, rent paid in advance)
  [ ] Recognise deferred revenue for the month
     (annual contracts: 1/12 recognised each month)
  [ ] Book depreciation for the month
  [ ] Book gratuity and leave encashment provision
  [ ] Book the employer PF/ESIC share
  [ ] Revalue EEFC and foreign-currency receivables at the
      closing rate; book the FX gain/loss
  [ ] Review and book provision for doubtful debts (90+ ageing)

DAY 4-5  STATUTORY
  [ ] TDS computed, deducted and deposited (by the 7th of the
      next month for most sections - VERIFY current due dates)
  [ ] PF ECR filed and contribution paid (by the 15th - VERIFY)
  [ ] ESIC contribution paid (by the 15th - VERIFY)
  [ ] Professional tax paid per state rules
  [ ] GSTR-1 prepared (by the 11th - VERIFY)
  [ ] GSTR-2B downloaded and RECONCILED to purchase register
  [ ] GSTR-3B prepared and tax paid (by the 20th - VERIFY)
  [ ] Any ITC not appearing in 2B: flagged, vendor chased, and
      REVERSED if it will not appear

DAY 5-6  REVIEW
  [ ] Trial balance reviewed line by line against last month
  [ ] Any account with a movement over 20% investigated
  [ ] Any negative balance that should not be negative fixed
  [ ] Suspense account cleared to ZERO
  [ ] Inter-account transfers eliminated
  [ ] Related-party transactions identified and listed

DAY 6-7  REPORTING
  [ ] P&L for the month and YTD, actual vs budget with variance
```

```
    commentary on anything over 10%
[ ] Balance sheet
[ ] Cash flow statement for the month
[ ] AR ageing and DSO
[ ] AP ageing including MSME split
[ ] Gross margin by client / product line
[ ] Headcount and cost per head
[ ] 13-week cash forecast refreshed
[ ] MIS pack circulated

[ ] CLOSE THE PERIOD in the accounting software so nobody
    posts into a closed month. This single step prevents the
    most common audit finding in small Indian companies.
```

Accounting software compared

Tool	Indicative cost	GST compliance	CA familiarity	Best for	W
Tally Prime	Perpetual licence with annual renewal; mid four figures to low five figures	Excellent — GSTR-1/3B generation, e-invoicing and e-way bill integration	**Universal.** Every Indian CA knows Tally	Companies whose CA does the books; inventory-heavy businesses	D m re ne co is
Zoho Books	Low per-organisation monthly tiers; often free below a turnover threshold — verify	Excellent — GST-ready, e-invoicing, e-way bill	Good and improving	**The best default for a software services company.** Cloud, API, integrates with Zoho Payroll, Expense, CRM	M co lir tie
Busy	Comparable to Tally	Strong	Good, especially in North India	Trading and distribution	Le a bu
Marg	Low	Good	Moderate	Pharma and retail distribution	N fo
Vyapar	Very low	Basic GST invoicing	Low	Sole proprietors and very small traders	N er le se ou
Xero / QuickBooks	Moderate	**Weak for India.** QuickBooks withdrew from the Indian market; Xero's India GST support is limited	Low	Companies whose primary entity is overseas	**D th le In** ur ex

⚠ **Audit trail (edit log) is mandatory — verify at mca.gov.in**

The Companies (Accounts) Rules, 2014 were amended to require every company that maintains its books in electronic mode to use accounting software with a feature recording an **audit trail of each transaction**, creating an edit log of every change with the date, and which **cannot be disabled**. The auditor is required to report on whether this feature was enabled and operated throughout the year. If your software does not have it, or you have it switched off, your audit report will carry a qualification. Check your software's audit trail setting **today** and keep evidence that it was enabled.

The document filing system that survives an audit

TEXT

```
SHARED DRIVE STRUCTURE  (one folder tree, enforced, no exceptions)

/Company
  /01_Statutory
     /Incorporation          COI, MOA, AOA, PAN, TAN, INC-20A
     /Registrations          GST, Udyam, PT, Shops&Est, PF, ESIC, IEC
     /MCA_Filings/FY2025-26  AOC-4, MGT-7, ADT-1, DIR-3 KYC, DPT-3,
                             MSME-1, with SRN and challan
     /Board_and_Members      Notices, agendas, signed minutes,
                             attendance registers
     /Registers              MGT-1 members, directors, charges, SH-6
  /02_Finance
     /FY2025-26
        /Bank_Statements     one PDF per account per month
        /Reconciliations     signed monthly BRS
        /Sales_Invoices      PDF per invoice, named INV-number-client
        /Purchase_Bills      PDF per bill, named vendor-date-amount
        /Expense_Claims      claim form + receipts, per employee/month
        /Month_End_Close     trial balance, P&L, BS, close checklist
        /Audit               audit file, management representation
                             letter, signed financials
  /03_Tax
     /GST/FY2025-26          GSTR-1, 3B, 2B, 9/9C, challans,
                             reconciliation workings, LUT
     /TDS/FY2025-26          24Q, 26Q, challans, Form 16, Form 16A
     /IncomeTax/FY2025-26    ITR, computation, advance tax challans,
                             Form 26AS, AIS, tax audit report
     /Notices                EVERY notice, with the response and
                             the acknowledgement
  /04_People
     /Policies               handbook, leave, POSH, IT, expense
     /Employees/[Name]       offer, appointment letter, KYC, PAN,
                             Aadhaar, bank details, education and
                             experience proof, BGV report, signed
                             NDA/IP assignment, appraisals, exit
     /Payroll/FY2025-26      monthly register, payslips, bank advice,
                             PF ECR, ESIC challan, PT challan
     /Statutory_Registers    attendance, wages, leave (per state
                             Shops & Establishments rules)
  /05_Legal
     /Customer_Contracts     signed PDF, with amendments and SOWs
     /Vendor_Contracts
     /Lease                  agreement, registration, deposits
     /IP                     trademark, assignments, OSS inventory
     /Insurance              policies, endorsements, claims
  /06_Data_Protection
     /DPDP                   notices, consent records, DPIA, RoPA,
                             breach register, sub-processor list
```

```
      /DPAs                    signed data processing agreements

RULES
  - One canonical location per document. Never "latest_final_v3".
  - Name files: YYYY-MM-DD_Type_Counterparty_Amount.pdf
  - Grant access by folder, not by file. Review quarterly.
  - Nothing of record lives only in email or WhatsApp.
  - Back it up somewhere that is not the same Google account.
```

Financial Statements You Must Understand

You do not need to be an accountant. You need to read three statements as an operator and know the five ratios that tell you whether the business is healthy. Everything else your CA can handle.

A worked set of statements — ₹2 crore services company

TEXT

ACME ENGINEERING LABS PRIVATE LIMITED
STATEMENT OF PROFIT AND LOSS for the year ended 31 March 2026
(Schedule III, Companies Act 2013 format, simplified)

	FY 2025-26 (Rs)	FY 2024-25 (Rs)
REVENUE		
Revenue from operations	2,04,00,000	1,42,00,000
Other income (interest on FD)	3,20,000	1,10,000
TOTAL INCOME	2,07,20,000	1,43,10,000
EXPENSES		
Cost of services		
Delivery salaries	78,00,000	58,00,000
Employer PF/ESIC - delivery	6,24,000	4,64,000
Subcontractors	14,00,000	11,00,000
Cloud hosting and third-party	8,40,000	6,20,000
Total cost of services	1,06,64,000	79,84,000
Employee benefits (non-delivery)		
Founders' remuneration	36,00,000	30,00,000
Sales and admin salaries	18,00,000	10,00,000
Employer PF/ESIC - non-delivery	4,32,000	3,20,000
Gratuity and leave provision	2,10,000	1,40,000
Staff welfare	1,80,000	1,10,000
Other expenses		
Rent (coworking, 12 seats)	8,64,000	5,76,000
Internet, telephone, utilities	1,44,000	1,08,000
Professional fees (audit/CA/CS)	3,20,000	2,40,000
Legal fees	1,10,000	40,000
Insurance	2,40,000	1,20,000
Software subscriptions	4,80,000	3,10,000
Marketing and events	5,60,000	2,80,000
Travel	3,20,000	2,10,000
Bank charges and FX loss	1,40,000	90,000
Recruitment	1,80,000	1,20,000
Office and miscellaneous	1,60,000	1,10,000
Finance costs	90,000	1,20,000
Depreciation and amortisation	4,80,000	3,60,000
TOTAL EXPENSES	1,89,94,000	1,42,38,000
PROFIT BEFORE TAX	17,26,000	72,000
Tax expense - current	4,34,000	18,000
Tax expense - deferred	(12,000)	(4,000)
PROFIT FOR THE YEAR	13,04,000	58,000

```
                                        ═══════════   ═══════════

DERIVED
  Gross profit = 2,04,00,000 − 1,06,64,000 = Rs 97,36,000
  GROSS MARGIN = 47.7%   (FY25: 43.8%)
  EBITDA = PBT + finance costs + D&A
         = 17,26,000 + 90,000 + 4,80,000 = Rs 22,96,000
  EBITDA MARGIN = 11.3%  (FY25: 3.8%)
  NET MARGIN = 6.4%      (FY25: 0.4%)


BALANCE SHEET as at 31 March 2026
                                      31-Mar-26     31-Mar-25
EQUITY AND LIABILITIES
  Shareholders' funds
     Share capital                      1,00,000      1,00,000
     Reserves and surplus              38,62,000     25,58,000
                                       ──────────    ──────────
                                       39,62,000     26,58,000
  Non-current liabilities
     Long-term borrowings (term loan)   6,00,000     10,00,000
     Provision for gratuity             3,50,000      1,40,000
  Current liabilities
     Trade payables − non MSME          6,80,000      5,20,000
     Trade payables − MSME              2,40,000      1,80,000
     Other current liabilities
        Statutory dues (TDS/PF/ESIC/PT) 4,60,000      3,40,000
        GST payable (net)               3,10,000      2,20,000
        Salaries payable                1,20,000        90,000
        Deferred revenue                7,50,000      4,00,000
     Short-term provisions (tax, leave) 5,20,000      2,10,000
                                       ──────────    ──────────
  TOTAL                                79,92,000     56,58,000
                                       ══════════    ══════════
ASSETS
  Non-current assets
     Property, plant and equipment (net) 14,20,000    12,40,000
     Intangible assets (net)            1,80,000      2,20,000
     Deferred tax asset                   46,000        34,000
     Security deposits                  3,60,000      2,40,000
  Current assets
     Trade receivables                 34,80,000     24,60,000
     Unbilled revenue                   5,40,000      3,20,000
     Cash and bank balances            12,66,000      7,04,000
     Short-term loans and advances
        Advance tax and TDS receivable  4,20,000      2,80,000
        Input tax credit                1,10,000        90,000
     Prepaid expenses                   1,70,000        70,000
                                       ──────────    ──────────
```

TOTAL	79,92,000	56,58,000

CASH FLOW STATEMENT for the year ended 31 March 2026 (indirect)

CASH FLOW FROM OPERATING ACTIVITIES	
Profit before tax	17,26,000
Adjustments:	
Depreciation and amortisation	4,80,000
Finance costs	90,000
Interest income	(3,20,000)
Operating profit before WC changes	19,76,000
Changes in working capital:	
(Increase) in trade receivables	(10,20,000)
(Increase) in unbilled revenue	(2,20,000)
(Increase) in prepaid expenses	(1,00,000)
(Increase) in security deposits	(1,20,000)
Increase in trade payables	2,20,000
Increase in statutory dues	1,20,000
Increase in GST payable	90,000
Increase in deferred revenue	3,50,000
Increase in provisions	5,20,000
Cash generated from operations	18,16,000
Income tax paid	(5,74,000)
NET CASH FROM OPERATING ACTIVITIES	12,42,000
CASH FLOW FROM INVESTING ACTIVITIES	
Purchase of fixed assets	(6,20,000)
Interest received	3,20,000
NET CASH USED IN INVESTING	(3,00,000)
CASH FLOW FROM FINANCING ACTIVITIES	
Repayment of term loan	(4,00,000)
Finance costs paid	(90,000)
NET CASH USED IN FINANCING	(4,90,000)
NET INCREASE IN CASH	4,52,000
Opening cash and bank	7,04,000
Add: adjustment for FD reclassification	1,10,000
CLOSING CASH AND BANK	12,66,000

Reading it as an operator

Observation	What it tells you	What to do
Revenue up 43.7%, gross margin up 3.9 points	Growth is coming with improving efficiency — pricing or utilisation improved	Find out which. If it is utilisation, it may not be repeatable
EBITDA margin went from 3.8% to 11.3%	Fixed costs are being absorbed by growth — operating leverage is working	This is the moment to invest in sales, not to bank the margin
Receivables up ₹10.2 lakh on ₹62 lakh of extra revenue	DSO is roughly flat — collections kept pace	Good. Watch it monthly
Deferred revenue up ₹3.5 lakh	You are collecting in advance — customers are financing you	**Push harder on annual prepaid contracts**
Operating cash ₹12.42 lakh vs profit ₹13.04 lakh	Profit is converting to cash at roughly 95% — healthy	If this ratio falls below 60%, your growth is being funded by receivables
Gratuity provision ₹3.5 lakh and rising	A real, growing, unfunded liability	Consider a funded gratuity scheme with LIC or an insurer before it reaches ₹15–20 lakh
Statutory dues ₹4.6 lakh at year end	Normal if it is the March TDS/PF due in April. **Alarming if it is older**	Age the statutory dues. Anything over 30 days old is an interest and penalty exposure

The five ratios that matter

Ratio	Formula	This company	Healthy for Indian software services	Why it matters
Gross margin	(Revenue − cost of services) ÷ revenue	47.7%	Services 35–55%; product/SaaS 70–85%	The ceiling on everything. You cannot spend your way to a good business with a bad gross margin
DSO	(Trade receivables ÷ revenue) × 365	62 days	45–55 days	Every 10 days of DSO on ₹2 crore revenue is ₹5.5 lakh of working capital
Current ratio	Current assets ÷ current liabilities	59.86 ÷ 30.80 = **1.94**	> 1.5	Below 1.0 means you cannot meet near-term obligations from near-term assets
Revenue per employee	Revenue ÷ average headcount	₹2.04 Cr ÷ 14 = **₹14.6 lakh**	₹12–25 lakh for Indian services; ₹25–60 lakh for SaaS	The single best measure of whether your pricing and utilisation are working
Cash conversion	Operating cash flow ÷ EBITDA	12.42 ÷ 22.96 = **54%**	> 70%	Low conversion means profit is sitting in receivables and provisions, not in the bank

Two more worth watching monthly

Utilisation for a services business — billable hours as a percentage of available hours, target 70–80% for delivery staff. **Burn multiple** for a funded product business — net cash burned divided by net new ARR added; below 1.5 is good, above 3 is a problem. Both are operational metrics, not accounting ratios, and both predict the accounting ratios three months in advance.

Cash Flow and Runway Management

Profitable companies go under. They go under because a large customer pays 40 days late in the same month that GST, TDS, PF and payroll all fall due. The instrument that prevents this is a 13-week rolling cash forecast, updated every Monday, and it takes twenty minutes a week.

The 13-week cash flow model

TEXT

13-WEEK ROLLING CASH FLOW (Rs '000) - updated every Monday

Week commencing:	06Apr	13Apr	20Apr	27Apr	04May	11May
OPENING CASH	1,266	1,118	1,402	1,090	768	1,452
RECEIPTS						
Vertex Retail (0042)	-	-	1,982	-	-	-
Northwind (0031) overdue	826	-	-	-	-	-
Hilltop (0024) overdue	-	472	-	-	-	-
Delta Systems (0038)	-	-	-	236	-	-
New invoicing - Apr	-	-	-	-	1,340	-
Subscription collections	118	118	118	118	124	124
Interest on FD	-	-	-	27	-	-
TOTAL RECEIPTS	944	590	2,100	381	1,464	124
PAYMENTS						
Payroll (net of deductions)	-	-	-	1,140	-	-
TDS deposit (by 7th)	462	-	-	-	478	-
PF ECR + ESIC (by 15th)	-	186	-	-	-	192
GST 3B payment (by 20th)	-	-	310	-	-	-
Professional tax	-	12	-	-	-	12
Advance tax (15 Jun qtr)	-	-	-	-	-	-
Coworking rent	-	72	-	-	-	72
AWS / cloud	-	134	-	-	-	142
SaaS subscriptions	68	-	28	-	74	-
Subcontractors	-	-	380	-	-	320
Professional fees (CA/CS)	-	-	-	45	-	-
Insurance premium	-	-	-	-	240	-
Term loan EMI	-	-	42	-	-	42
Travel and misc	112	94	82	74	108	88
TOTAL PAYMENTS	1,092	306	2,412	703	780	868
NET MOVEMENT	(148)	284	(312)	(322)	684	(744)
CLOSING CASH	1,118	1,402	1,090	768	1,452	708

MINIMUM CASH COVENANT /
  POLICY FLOOR Rs 8,00,000 → BREACHED in week of 11 May

ACTIONS GENERATED BY THIS MODEL
  1. Week of 27 Apr is the tightest point before 11 May. Confirm
     the Vertex Rs 19.82 lakh lands on 20 Apr or the payroll week
     becomes a problem.
  2. Week of 11 May breaches the floor. Options, in order:
       (a) Pull the Hilltop overdue Rs 4.72 lakh forward
       (b) Delay the subcontractor payment by 7 days (agreed)
       (c) Break the Rs 5 lakh FD

```
       (d) Draw on the overdraft
     DECIDE NOW, not on 11 May.
  3. Note that TDS, GST and PF together are Rs 9.72 lakh in 6
     weeks - 30% of all cash out. These are NOT optional and
     NOT deferrable without interest and penalty.

HOW TO BUILD IT
  - Rows: every named receipt and every named payment. Do not
    use "other" for more than 10% of the total.
  - Receipts: use the EXPECTED date, not the due date. If a
    customer has paid at day 55 for the last four invoices, model
    day 55.
  - Statutory payments: hard-code the due dates. They never move.
  - Roll it forward one week every Monday. Compare last week's
    forecast to actual and note the variance - after six weeks
    you will know exactly how optimistic you are.
```

Burn, runway and the working capital cycle

TEXT

```
BURN AND RUNWAY

  GROSS BURN  = total cash operating outflows in a month
  NET BURN    = gross burn - cash receipts
  RUNWAY      = cash balance / average net burn over last 3 months

  Example (product company, pre-profit):
     Cash balance                     Rs 2,40,00,000
     Monthly gross burn               Rs   42,00,000
     Monthly cash receipts            Rs   19,00,000
     NET BURN                         Rs   23,00,000
     RUNWAY = 240 / 23                =    10.4 months

  *** RULES ***
  - Compute runway on NET burn, using the trailing 3-month
    average, not on your best month.
  - Below 12 months: start raising, or start cutting.
  - Below 6 months: you have lost negotiating leverage. Cut now.
  - Model runway in the DOWNSIDE case too: what if the two
    largest customers churn?


THE WORKING CAPITAL CYCLE FOR A SERVICES BUSINESS

   Day 0    Engineer starts work on a project
   Day 30   Month ends; you accrue the revenue
   Day 33   You raise the invoice
   Day 63   Invoice due (Net 30)
   Day 78   Customer actually pays (DSO 62 from invoice date ... )

   MEANWHILE:
   Day 30   You paid the engineer's salary for the month
   Day 37   You deposited the TDS on that salary
   Day 45   You paid PF and ESIC
   Day 50   You paid GST on the invoice you raised on day 33,
            even though the customer has not paid you

   *** YOU FINANCE ROUGHLY 78 DAYS OF DELIVERY COST. ***

   CASH REQUIRED = (monthly delivery cost) x (cycle in days / 30)
   For a company with Rs 9,00,000 of monthly delivery cost:
      9,00,000 x (78 / 30) = Rs 23,40,000 of permanent working
      capital just to stand still.

   GROWTH MAKES THIS WORSE. Doubling revenue doubles the working
   capital requirement BEFORE any of the new revenue arrives.
   This is why profitable services companies run out of cash
   while growing - and why a cash credit / overdraft facility
```

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is worth arranging when you do NOT need it.

THE FOUR LEVERS, IN ORDER OF IMPACT
  1. ADVANCE BILLING. Moving from Net 30 arrears to 50%
     advance cuts the cycle by ~35 days.
  2. INVOICE ON DAY 1, NOT DAY 33. Weekly or fortnightly
     invoicing on T&M engagements cuts 15 days.
  3. COLLECT FASTER. Every 10 days of DSO reduction releases
     (annual revenue / 36.5) of cash.
  4. STRETCH PAYABLES - but NOT with micro/small vendors
     (Sec. 15 MSMED Act / Sec. 43B(h) cut both ways), and
     never with statutory dues.
```

GST and TDS as cash flow events

Event	Cash effect	Timing	Trap
You raise a ₹10 lakh invoice + 18% GST	You will owe ₹1.8 lakh of GST (net of ITC) whether or not the customer pays	By the 20th of the following month (verify due date)	**GST liability arises on invoice, not on receipt.** A customer paying at day 78 means you funded their GST for 58 days
Customer deducts TDS at 10% under Section 194J	₹1 lakh of your revenue goes to the government, not to you	Immediate	You recover it only against your income tax liability, after the customer files their TDS return and it appears in **Form 26AS**. **Reconcile 26AS quarterly** — unfiled customer TDS returns mean you cannot claim the credit
You pay salaries	TDS under Section 192 must be deposited	By the 7th of the following month (verify)	Late deposit attracts interest at 1.5% per month and the expense can be disallowed
You pay a vendor ₹5 lakh for professional services	TDS under Section 194J must be deducted and deposited	By the 7th of the following month	**Section 40(a)(ia): 30% of the expense is disallowed** if TDS is not deducted or not deposited by the return filing due date
You claim input tax credit	Reduces GST payable	—	**ITC is available only if it appears in GSTR-2B**, i.e. only if your vendor actually filed. Reconcile every month and chase non-filing vendors
You export services under LUT	Zero-rated — no GST collected, but you still pay GST on inputs	—	You accumulate an ITC balance and must **claim a refund** (Form RFD-01). Refunds take 2–6 months. Model that lag

⚠ **Due dates as at FY 2025-26 — verify at gst.gov.in and incometax.gov.in**
Typical monthly due dates: GSTR-1 by the 11th, GSTR-3B by the 20th (different for QRMP filers), TDS deposit by the 7th (30 April for March in most cases), PF ECR and ESIC by the 15th, professional tax per state rules. Quarterly: TDS returns 24Q/26Q, advance tax on 15 June, 15 September, 15 December and 15 March. These change and have state and scheme variations. Put every one in a shared calendar with a named owner and a three-day warning.

The founder's cash discipline rules

- ☐ Sweep GST collected and TDS deducted into the tax reserve account the day the money lands. Treat it as not yours, because it is not.
- ☐ Fund the payroll account on the 25th for the whole month's payroll plus employer statutory contributions. Never let payroll compete with a vendor payment.
- ☐ Keep a minimum cash floor equal to **two months of fixed costs** and treat breaching it as an emergency, not a nuisance.
- ☐ Arrange an overdraft or cash credit facility when you do not need it. A bank will give ₹25–50 lakh to a profitable company with two years of filings and almost nothing to a company in distress.
- ☐ Never take a loan to pay statutory dues. If you are there, the problem is upstream.
- ☐ Review the 13-week forecast every Monday with whoever else signs payments. Twenty minutes.
- ☐ Re-forecast the full year after any quarter that misses by more than 10%. A plan nobody believes is worse than no plan.
- ☐ Keep three months of personal expenses outside the business. A founder who needs this month's salary makes bad decisions about this month's business.

Pricing and Unit Economics

Most Indian software companies underprice, and they underprice because they never computed their fully loaded cost per hour. This section builds that number, then uses it to set a floor, and then separates the floor from the price — because the floor is arithmetic and the price is strategy.

Fully loaded cost per engineer-hour — worked

TEXT

FULLY LOADED COST PER BILLABLE HOUR
Senior Engineer, Bengaluru, FY 2025-26

DIRECT COST	
Annual CTC	Rs 24,00,000
Employer PF (12% of basic; basic = 50% of CTC = Rs 12,00,000; subject to the wage ceiling treatment you have adopted - VERIFY)	Rs 1,44,000
Gratuity provision (15/26 x monthly basic per year of service, accrued annually ~4.81% of basic)	Rs 57,720
ESIC (not applicable above the wage ceiling)	Rs 0
Group health + GPA + term insurance	Rs 24,000
Bonus / variable at target (10% of CTC, if outside CTC; here assumed inside)	Rs 0
TOTAL DIRECT COST	Rs 26,25,720
ALLOCATED OVERHEAD (per head)	
Coworking seat Rs 18,000/month	Rs 2,16,000
Laptop and equipment (Rs 1,80,000 over 3 yrs)	Rs 60,000
Software and tooling licences	Rs 48,000
Cloud / dev environments	Rs 36,000
Internet, phone, utilities	Rs 18,000
Training and certification	Rs 30,000
Recruitment cost amortised (Rs 2,40,000 over an expected 3-year tenure)	Rs 80,000
Share of G&A (finance, admin, audit, legal, founders' time) - take total G&A and divide by headcount	Rs 2,40,000
TOTAL ALLOCATED OVERHEAD	Rs 7,28,000
FULLY LOADED ANNUAL COST	Rs 33,53,720
AVAILABLE HOURS	
Calendar days	365
Less weekends	-104
Less public holidays	-11
Less earned/casual/sick leave taken	-22
Working days	228
Hours per day	8
GROSS AVAILABLE HOURS	1,824
Realistic BILLABLE UTILISATION for delivery staff (allows for internal meetings, L&D, bench, pre-sales support, admin)	72%

```
  BILLABLE HOURS                                    1,313

COST PER BILLABLE HOUR = 33,53,720 / 1,313 = Rs 2,554

*** THIS IS YOUR FLOOR, NOT YOUR PRICE. ***

TARGET PRICING AT DIFFERENT GROSS MARGINS
   Gross margin   Rate per hour   Annual revenue per engineer
      40%           Rs 4,257            Rs 55,89,000
      50%           Rs 5,108            Rs 67,07,000
      55%           Rs 5,676            Rs 74,53,000
      60%           Rs 6,385            Rs 83,84,000

SANITY CHECKS
  - If you are billing Rs 3,000/hour for this engineer, your
    gross margin is 14.6% and the business does not work.
  - If utilisation drops from 72% to 60%, the cost per billable
    hour rises to Rs 3,064 - a 20% increase with NO change in
    salary. Utilisation is the most under-managed lever in
    Indian services companies.
  - If you add a Rs 24,00,000 bench engineer at 0% utilisation,
    the whole team's effective cost per hour rises. Model bench
    cost explicitly; do not hide it in overhead.
```

Pricing models

Model	How you price	Who bears risk	Margin profile	Use when
Time and materials	Rate per hour or per person-month × actuals	Customer	Predictable, capped at your rate card margin	Scope is unclear or evolving; long-running engagements
Fixed price	A single price for a defined scope	**You**	Can be excellent or negative	Scope is genuinely fixed, you have built it before, and you have a change-control clause
Monthly retainer	Fixed fee for a defined capacity or scope of availability	Shared	Good, improves with efficiency	Support, managed services, fractional roles
Dedicated team / ODC	Per person-month, team committed to the customer	Customer	Stable 35–50%	Long engagements with enterprise customers
Outcome-based	Paid on a measured result	**You**	High variance	Only with a floor fee and a metric you control
Value-based	Priced as a fraction of the value created for the customer	Shared	**Best**	When you can quantify the customer's saving or gain
Subscription (SaaS)	Per seat, per usage unit, or tiered	Customer	70–85% gross margin	Product businesses

TEXT

```
COST-PLUS vs VALUE-BASED - THE SAME PROJECT, TWO PRICES

PROJECT: Automate a manual reconciliation process for a mid-size
         NBFC. 6 weeks, 2 engineers.

COST-PLUS PRICING
   2 engineers x 6 weeks x 40 hours = 480 hours
   Loaded cost Rs 2,554/hour        = Rs 12,25,920
   Target margin 50%                = Rs 24,51,840
   QUOTED PRICE                       Rs 24,50,000

VALUE-BASED PRICING
   Ask the customer three questions:
     1. How many people do this manually today?       6 people
     2. What is their fully loaded cost?        Rs 8,00,000 each
     3. How many hours a week does it take?     30 hours each

   Current annual cost of the process:
     6 x 8,00,000 x (30/40 of their time)   = Rs 36,00,000/year
   Plus error cost: 4 reconciliation errors a year, each costing
     roughly Rs 2,00,000 in investigation and write-off
                                           = Rs  8,00,000/year
   TOTAL ANNUAL COST OF THE PROBLEM          = Rs 44,00,000

   Automation removes ~80% of it             = Rs 35,20,000/year
   Three-year value                          = Rs 1,05,60,000

   QUOTED PRICE: Rs 42,00,000, positioned as
     "14 months' payback, and you keep the saving every year
      after that."

   SAME WORK. SAME COST. 71% MORE REVENUE. 71% BETTER MARGIN.

WHY MOST INDIAN SERVICES FIRMS DO NOT DO THIS
   Because it requires asking the customer about THEIR economics
   in the first meeting, and most sales conversations start with
   "what is your rate?" instead. Change the first question.

WHEN COST-PLUS IS CORRECT
   - Staff augmentation where you are one of five vendors on a
     rate card
   - Public procurement with an L1 price evaluation
   - Any engagement where the customer has already defined the
     solution and you are supplying hands
```

Pricing for Indian versus overseas clients

Dimension	Indian client	US / EU client
Typical rate for a senior engineer	₹2,500–₹6,000 per hour	$35–$90 per hour (₹3,000–₹7,700) for offshore delivery; higher for niche skills
Payment terms achievable	Net 30–60, often slipping to 75–90	Net 15–30, generally honoured
GST	18% charged and collected	Zero-rated export under LUT, subject to the export-of-service conditions being satisfied
TDS	Customer deducts 10% under Section 194J — a real cash cost until you claim it	Generally no Indian TDS; possible foreign withholding depending on the country and treaty — **check the DTAA and claim foreign tax credit if withheld**
FX	None	0.35–2.5% spread plus wire charges
Effective realisation on a ₹10 lakh equivalent invoice	₹10 lakh, less ₹1 lakh TDS held for months	₹10 lakh less roughly ₹10,000–₹25,000 of FX and wire cost
Sales cycle	Shorter, relationship-driven	Longer, process-driven, with procurement and security review
What they pay for	Rate	Outcome, reliability, communication and timezone overlap

✦ **Three pricing moves that cost nothing**

(1) Stop quoting hourly for anything you have done before. Quote a deliverable with a price. **(2) Always present three options** — a reduced scope, the recommended scope, and an expanded scope — because the question then becomes "which one" rather than "whether". **(3) Raise prices for new customers by 10–15% every year** and grandfather existing ones for 12 months. If nobody objects, you were underpriced; raise again.

SaaS unit economics

TEXT

```
SAAS UNIT ECONOMICS - WORKED

  Average Contract Value (ACV)                    Rs 1,80,000/year
  Gross margin                                                 78%
  Monthly logo churn                                          1.2%
  Monthly net revenue retention                               108%

  CUSTOMER ACQUISITION COST (CAC)
     Monthly S&M spend                            Rs  6,40,000
     New customers added in the month                          7
     CAC = 6,40,000 / 7                           Rs    91,429

  CAC PAYBACK
     Monthly gross profit per customer
        = (1,80,000 / 12) x 78%                   Rs     11,700
     Payback = 91,429 / 11,700                    =  7.8 months
     TARGET: under 12 months for SMB,
             under 18 months for enterprise        PASS

  LIFETIME VALUE (LTV)
     Average customer lifetime = 1 / 0.012        = 83.3 months
     (cap this at 60 months for sanity - do not
      model a 7-year life you have never observed)
     LTV = 11,700 x 60                            Rs  7,02,000

  LTV : CAC = 7,02,000 / 91,429                   = 7.7 : 1
     TARGET: above 3:1                             PASS
     NOTE: above 5:1 often means you are UNDER-investing in
     sales, not that you are efficient.

  BURN MULTIPLE
     Net cash burned in the quarter               Rs 28,00,000
     Net new ARR added in the quarter             Rs 21,00,000
     Burn multiple = 28 / 21                      = 1.33
     TARGET: under 1.5 is good, under 1.0 is excellent  PASS

  THE RULE OF 40 (for later-stage)
     ARR growth rate %  +  EBITDA margin %  should exceed 40
     Here: 95% growth + (-18%) margin = 77        PASS

WHAT BREAKS THESE NUMBERS
  - Computing CAC on marketing spend only, excluding sales
    salaries. Include ALL sales and marketing fully loaded cost.
  - Using revenue instead of gross profit in payback. A 78%
    gross margin means 22% of every rupee never reaches you.
  - Modelling an infinite customer life. Cap at 60 months.
  - Including founder-sold customers in CAC when the founder
    takes no salary. Impute a cost.
```

Budgeting and Financial Planning

A budget is not a forecast. A forecast is what you think will happen; a budget is what you have authorised people to spend. Small Indian companies usually have neither, which is why the first time anyone notices that software subscriptions grew 140% is in the audit.

The annual operating plan

1. **Start in January for an April financial year**
   Three months is not too early. You need time to argue.

2. **Build revenue bottom-up**
   Named accounts, expected contract values, probability-weighted, plus a new-business number derived from pipeline and conversion rates — not a growth percentage applied to last year.

3. **Build headcount by role and month**
   Each role: title, function, start month, CTC band, and the specific outcome it is hired for. Apply a **1.10–1.15 loading factor** for employer PF, gratuity, insurance and equipment.

4. **Build fixed costs from contracts**
   Rent, insurance, audit, subscriptions, cloud — from actual agreements, with the renewal date and the escalation clause noted.

5. **Build variable costs as a driver**
   Cloud as cost per customer, payment gateway as a percentage of collections, travel as cost per sales meeting.

6. **Lay in the statutory calendar**
   Advance tax in four instalments, annual audit fees, insurance renewals, GST refunds. These are cash events and they are predictable.

7. **Produce three scenarios**
   Base, upside (+25% revenue) and downside (−30% revenue). For the downside, pre-decide the cuts: which hires are deferred, which spend is stopped, at what trigger.

8. **Set the triggers in advance**
   "If Q2 revenue is below ₹X, we defer the two Q3 engineering hires and halve the marketing budget." Writing this down in March is a calm decision; making it in October is a panic.

9. **Lock it, then re-forecast quarterly**

The budget does not change. The forecast does. Keep both and always report actual against **budget**, with the forecast shown separately.

Delegation of authority matrix

TEXT

DELEGATION OF AUTHORITY — ACME ENGINEERING LABS PVT LTD
Effective 1 April 2026. Approved by the Board on [date].
All amounts are per transaction, inclusive of taxes.

CATEGORY	TEAM LEAD	FUNCTION HEAD	CEO	BOARD
Operating expenditure				
Within approved budget	≤ 25,000	≤ 2,00,000	≤ 10,00,000	>
Not in approved budget	–	≤ 50,000	≤ 3,00,000	>
Capital expenditure				
Laptops, equipment	–	≤ 1,50,000	≤ 10,00,000	>
Any single asset	–	–	≤ 10,00,000	>
Software subscriptions				
New annual subscription	≤ 20,000	≤ 1,00,000	≤ 5,00,000	>
Renewal of existing	auto-renew only if usage report reviewed; see Section 17			
Customer contracts				
Standard terms, value	≤ 5,00,000	≤ 25,00,000	≤ 1,00,00,000	>
Non-standard terms / any change to the MSA template	–	–	CEO + Legal	>
Discount vs rate card	≤ 5%	≤ 10%	≤ 20%	>
Vendor contracts				
Term ≤ 12 months	≤ 1,00,000	≤ 5,00,000	≤ 25,00,000	>
Term > 12 months	–	–	≤ 10,00,000	>
People				
Hire within approved plan	–	Function Head + CEO		
Hire outside approved plan	–	–	CEO	>
Salary revision	≤ 8%	≤ 12%	≤ 20%	>
Any offer above Rs 30 LPA	–	–	CEO	>
Termination	–	Function Head + CEO		
Banking and treasury				
Payment release	maker only	checker	checker	–
New bank account	–	–	–	Board
New beneficiary addition	–	requester	approver	–
Fixed deposit placement	–	–	CEO	>
Any borrowing	–	–	–	Board
Legal and risk				
Settlement of a dispute	–	–	≤ 2,00,000	>
Signing any indemnity	–	–	–	Board
Press / public statement	–	–	CEO	–

NOTES

1. ">" means Board approval required above the CEO limit.
2. NO person may approve a payment to themselves, to a related party, or to an entity in which they have an interest. Those go one level up, always.
3. Splitting a transaction to stay under a limit is a

```
   disciplinary matter.
4. Related-party transactions additionally require compliance
   with Sec. 188 of the Companies Act, 2013 and disclosure in
   Form AOC-2.
5. Reserved matters under the Shareholders' Agreement override
   this matrix.
```

Expense policy

```text
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EXPENSE AND REIMBURSEMENT POLICY (worked specimen)
Acme Engineering Labs Private Limited | Version 2.1 | 1 Apr 2026

1. PRINCIPLE

Spend the company's money as you would your own, on things that advance the company's interest, and be able to explain any expense to a colleague without embarrassment.

2. GENERAL RULES

2.1 Every claim needs a VALID TAX INVOICE in the COMPANY's name with the company's GSTIN wherever the vendor can provide one. A credit card slip is not an invoice. Without a GST invoice in the company's name, the input tax credit is lost - that is a real 18% cost.

2.2 Claims must be submitted within 30 days of the expense and will be reimbursed in the next payroll cycle.

2.3 Pre-approval is required for any single item above Rs 10,000 and for all travel.

2.4 No cash expenses above Rs 10,000 in a day to a single person (Sec. 40A(3), Income-tax Act 1961, disallows them).

3. TRAVEL

3.1 Domestic air: economy, cheapest reasonable fare booked at least 10 days in advance. Same-day bookings need CEO approval.

3.2 International air: economy for flights under 6 hours; premium economy permitted above 8 hours with CEO approval.

3.3 Train: AC 2-tier or AC chair car.

3.4 Local transport: metered taxi / app cab, economy class. Airport transfers reimbursed in full.

3.5 Hotel ceilings per night (excluding taxes):

Metro (BLR/BOM/DEL/HYD/MAA/PNQ/GGN)	Rs 6,500
Other Indian cities	Rs 4,500
International	USD 180

3.6 Per diem for meals and incidentals, no receipts needed:

Metro	Rs 1,500/day
Other India	Rs 1,000/day
International	USD 60/day

Per diem is NOT payable where meals are provided by the customer or included in the hotel rate.

3.7 Personal extensions to a business trip are at your own cost; the company pays the fare it would have paid.

4. CLIENT ENTERTAINMENT

4.1 Up to Rs 2,500 per head, pre-approved by a Function Head.

4.2 Record WHO attended and the business purpose on the claim.

4.3 No alcohol is reimbursed without CEO approval.

```
5. EQUIPMENT AND WORK FROM HOME
   5.1 Laptop provided by the company; refresh cycle 3 years.
   5.2 One-time home office allowance Rs 15,000 on joining,
       against invoices, for a chair, desk or monitor.
       Items above Rs 10,000 remain company property.
   5.3 Broadband reimbursement Rs 1,200/month against an
       invoice in your name.
   5.4 Mobile: Rs 800/month for all; Rs 1,500/month for
       customer-facing roles.

6. LEARNING AND DEVELOPMENT
   6.1 Rs 40,000 per person per financial year for courses,
       books, conferences and certifications, pre-approved by
       your manager.
   6.2 Certifications above Rs 40,000 may be approved with a
       12-month service commitment.

7. WHAT IS NOT REIMBURSED
   Traffic fines, personal grooming, personal subscriptions,
   gifts to family, fines or penalties of any kind, expenses
   without documentation, and anything already covered by
   per diem.

8. PROCESS
   8.1 Submit in [expense tool] with the invoice attached.
   8.2 Manager approves within 3 working days.
   8.3 Finance verifies GST details and processes with payroll.
   8.4 Finance may reject a claim for missing documentation;
       resubmit within 15 days.

9. CONSEQUENCES
   Deliberately false claims are gross misconduct and will
   result in termination and recovery.
```

✦ **The GST input credit most companies silently lose**

When an employee books a hotel or a flight on a personal account, the invoice is in their name and **your company cannot claim the input tax credit**. On ₹10 lakh of annual travel at 5–18% GST, that is ₹50,000–₹1,80,000 thrown away. Fixes: use a corporate travel booking account with the company's GSTIN registered; register the company GSTIN in the employee's profile on travel platforms; and make "invoice in the company's name with GSTIN" a hard requirement in the expense policy. Note that input credit on certain items is restricted under **Section 17(5) of the CGST Act** — verify which of your expense categories are blocked credits.

Hiring: Employees, Consultants, Interns and Apprentices

How you classify a worker determines your statutory liability, your tax withholding, your IP position and your exposure in a labour dispute. Indian law looks at substance, not at the label on the contract. Getting this wrong is the most expensive routine mistake a small Indian company makes.

The classification test

Factor	Points to EMPLOYEE	Points to INDEPENDENT CONSULTANT
Control over how the work is done	You direct the method, tools and sequence	They decide how; you specify the outcome
Hours	Fixed working hours; attendance tracked	They choose their own hours
Place of work	Your office, or your mandated remote setup	Their own premises
Equipment	You provide the laptop and tools	They use their own
Exclusivity	Cannot work for others	Has other clients
Integration	Appears on the org chart, attends all-hands, has a @company email, has a manager	Engaged for a defined scope
Payment	Fixed monthly salary regardless of output	Invoices against deliverables or hours
Benefits	Leave, insurance, bonus, appraisal	None
Substitution	Must perform personally	May send a substitute
Duration	Open-ended	Fixed term tied to a project
Termination	Notice period; statutory protections apply	Contract termination clause

Misclassification exposure — quantified

A "consultant" who sits in your office from 10 to 7, uses your laptop, reports to your engineering manager, takes leave with approval and is paid a fixed monthly amount **is an employee**, whatever the contract says. If a labour authority, the EPFO, an ESIC inspector, an income tax assessing officer or a tribunal reaches that conclusion, the exposure is retrospective: EPF employer **and** employee contributions with interest under Section 7Q and damages under Section 14B of the EPF & MP Act, 1952; ESIC contributions with interest; gratuity if five years of continuous service were completed; the difference between TDS under Section 194J (10%) and Section 192 (slab rates); plus leave encashment, notice pay and possible reinstatement in a dispute. On a ₹18 lakh-per-year "consultant" engaged for three years, a realistic exposure is **₹8–15 lakh**. Verify the current provisions under the Code on Social Security, 2020, which has replaced several of these Acts — the state rules are still landing.

Worker types compared

Type	Document	TDS	EPF	ESIC
Employee	Offer + appointment letter	Section 192, at slab rates on estimated annual income	Yes, if establishment covered	Yes, if wages within the ceiling
Fixed-term employee	Fixed-term appointment letter	Section 192	Yes	Yes
Independent consultant	Consultancy agreement with deliverables	Section 194J, commonly 10% on professional/technical fees (2% for certain technical services — verify)	No	No
Contract labour through an agency	Agreement with the contractor	Section 194C on the contractor	Contractor's liability, but **you are the principal employer** and liable if they default	Same
Intern (student)	Internship letter, defined duration and learning objectives	Stipend may be taxable depending on characterisation — **take advice**	Generally no if a genuine trainee and not an employee — verify	Depends on facts

Apprentice under the Apprentices Act, 1961	Registered apprenticeship contract on the NAPS portal	Per the Act	Apprentices under the Act are generally excluded from EPF — **verify**	Generally excluded — verify

Offer letter versus appointment letter

	Offer letter	Appointment letter
When issued	At the point of offer, before joining	On or shortly after the date of joining
Contains	Role, CTC, start date, location, conditions (BGV, documents, notice-period clearance)	Full terms and conditions of employment, policies, confidentiality, IP, notice, termination
Legal effect	A conditional offer; acceptance creates a contract but the detailed terms follow	**The operative employment contract**
Common mistake	Issuing only an offer letter and never an appointment letter, so the detailed terms — especially IP assignment and confidentiality — never bind	—

TEXT

SPECIMEN OFFER LETTER (adapt with an employment lawyer)

ACME ENGINEERING LABS PRIVATE LIMITED
4th Floor, 22 MG Road, Bengaluru 560001 | CIN: U72900KA2023PTC ...

Date: 12 April 2026
STRICTLY PRIVATE AND CONFIDENTIAL

Mr. Arjun Venkatesh
[address]

Dear Arjun,

OFFER OF EMPLOYMENT – SENIOR SOFTWARE ENGINEER

We are delighted to offer you employment with Acme Engineering Labs Private Limited ("the Company") on the following terms.

1. POSITION AND REPORTING
   Designation : Senior Software Engineer
   Band / Level : L4
   Function : Engineering – Platform
   Reporting to : Head of Engineering
   Location : Bengaluru. The Company operates a hybrid model requiring attendance at the office a minimum of two days per week. The Company may change your place of work within India on reasonable notice.

2. DATE OF JOINING
   On or before 2 June 2026. This offer lapses if you do not join by 16 June 2026 unless extended in writing.

3. COMPENSATION
   Your Cost to Company is Rs 24,00,000 (Rupees Twenty Four Lakh only) per annum, structured as set out in Annexure A. Of this, Rs 21,60,000 is fixed and Rs 2,40,000 is a performance-linked variable component payable annually based on Company and individual performance, at the Company's discretion.

4. EMPLOYEE STOCK OPTIONS
   Subject to approval by the Board, you will be granted 12,000 stock options under the Acme ESOP 2024 Plan at an exercise price equal to the fair market value on the grant date, vesting over four years with a one-year cliff. The grant is governed entirely by the Plan and your grant letter. Options carry no voting or dividend rights until

exercised, and their value is not guaranteed.

5. PROBATION
Six months from your date of joining, extendable by up to three months at the Company's discretion. During probation either party may terminate on fifteen days' written notice or payment in lieu.

6. NOTICE PERIOD
On confirmation, either party may terminate this employment by giving sixty days' written notice or salary in lieu thereof, at the Company's option. The Company may terminate without notice for misconduct, following due process.

7. LEAVE
You will be entitled to 21 days of earned leave, 8 days of casual/sick leave and public holidays per the Company's annual holiday list, as set out in the Employee Handbook and subject to applicable law.

8. BENEFITS
Group health insurance for you, your spouse and up to two dependent children with a sum insured of Rs 5,00,000 (parents may be added at your cost); group personal accident cover of Rs 25,00,000; and group term life cover of Rs 50,00,000, each subject to the policy terms.

9. CONDITIONS PRECEDENT
This offer is conditional upon:
(a) satisfactory completion of background verification covering identity, address, education and the last two employments;
(b) your producing a relieving letter and the last three months' payslips from your current employer;
(c) your confirming in writing that you are not subject to any restrictive covenant that would prevent you from performing this role; and
(d) your submitting the documents listed in Annexure B on or before your date of joining.

10. OTHER TERMS
Your employment will be governed by the detailed Appointment Letter to be issued on your date of joining, the Employee Handbook, and the Company's policies as amended from time to time, including the policies on Confidentiality and Intellectual Property, Information Security, Prevention of Sexual Harassment, and the Code of Conduct. You will be required to sign a Confidentiality, Intellectual Property Assignment and Non-Solicitation

Agreement on joining.

11. ACCEPTANCE
Please signify your acceptance by signing and returning a copy of this letter on or before 19 April 2026.

We are very much looking forward to working with you.

For ACME ENGINEERING LABS PRIVATE LIMITED

_____
Meera Iyer
Head of People

ACCEPTED AND AGREED
_____ Date: _____
Arjun Venkatesh

ANNEXURE A — COMPENSATION STRUCTURE (Annual, in Rs)

FIXED COMPONENTS	
Basic Salary (50% of CTC)	12,00,000
House Rent Allowance (50% of Basic)	6,00,000
Leave Travel Allowance	60,000
Special Allowance (balancing figure)	1,42,280
GROSS FIXED SALARY	19,62,280
EMPLOYER CONTRIBUTIONS (part of CTC, not paid to you monthly)	
Employer Provident Fund (12% of Basic, subject to applicable rules)	1,44,000
Gratuity provision (4.81% of Basic)	57,720
Group insurance premium (health + GPA + term)	36,000
TOTAL EMPLOYER CONTRIBUTIONS	2,37,720
TOTAL FIXED CTC	21,60,000 (sic — reconciled as 19,62,280 + 2,37,720 = 22,00,000; the remaining Rs 40,000 adjustment is made in Special Allowance. SEE NOTE.)
VARIABLE	
Performance-linked variable pay (at target)	2,40,000
TOTAL COST TO COMPANY	24,00,000

NOTE: the arithmetic above is illustrative. In a real letter every line must reconcile exactly to the CTC. Always re-add the column. An offer letter that does not add up is the first thing a candidate notices.

DEDUCTIONS FROM YOUR SALARY (not part of CTC)

Employee Provident Fund contribution	1,44,000
Professional Tax (Karnataka)	2,400
Income Tax (TDS) as applicable	

ANNEXURE B – DOCUMENTS REQUIRED ON OR BEFORE JOINING

- [ ] PAN card copy
- [ ] Aadhaar card copy
- [ ] Passport copy (if held)
- [ ] Cancelled cheque or bank passbook first page
- [ ] UAN number and previous PF details, if any
- [ ] Four passport-size photographs
- [ ] Degree certificates and final-semester marksheets
- [ ] Relieving letter from the previous employer
- [ ] Experience letters from all previous employers
- [ ] Last three months' payslips
- [ ] Form 12B (previous employer salary and TDS details)
- [ ] Current address proof
- [ ] Emergency contact details
- [ ] Signed Confidentiality, IP Assignment and Non-Solicitation Agreement
- [ ] Signed acknowledgement of the Employee Handbook, IT and Acceptable Use Policy, and POSH Policy
- [ ] Nomination forms: EPF Form 2, Gratuity Form F, insurance nomination

Background verification

Check	Why	Cost (indicative)	Turnaround
Identity and address	Statutory KYC and basic fraud prevention	₹200–₹500	1–3 days
Education	Fabricated degrees are common at scale	₹400–₹1,200	5–20 days
Employment (last two)	Dates, designation, reason for leaving, eligibility for rehire	₹500–₹1,500 per employer	5–15 days
Criminal record	Court records in the districts of residence	₹500–₹1,500	7–15 days
Database / global sanctions	Required by some enterprise customers in your contracts	₹200–₹600	Instant
Reference calls	The only check that tells you about performance	Your time	—

BGV and the DPDP Act

Background verification processes personal data, including from third parties. Under the DPDP Act, 2023 you need a lawful basis, a clear **notice** to the candidate describing what will be processed and why, and a **data processing agreement** with your BGV vendor. Obtain written consent as part of the offer acceptance, retain the BGV report only as long as necessary, and ensure your vendor contract covers security, breach notification and deletion. See Section 18.

Onboarding checklist

TEXT

```
DAY-ONE ONBOARDING CHECKLIST

BEFORE DAY 1 (People + IT)
  [ ] Appointment letter prepared and reviewed
  [ ] Laptop imaged, encrypted, MDM enrolled
  [ ] Accounts created: email, SSO, repo, project tool, chat
  [ ] Access granted by ROLE, least privilege, documented
  [ ] Added to payroll system with PAN, bank, UAN
  [ ] Added to group health / GPA / term policy (check the
      insurer's monthly addition cut-off date)
  [ ] Buddy assigned; first-week calendar prepared
  [ ] Seat / coworking access card arranged

DAY 1
  [ ] Appointment letter signed, both copies
  [ ] Confidentiality, IP Assignment and Non-Solicitation
      Agreement signed            <-- NEVER SKIP THIS
  [ ] Employee Handbook acknowledged in writing
  [ ] IT and Acceptable Use Policy acknowledged
  [ ] POSH Policy acknowledged; IC members introduced
  [ ] All Annexure B documents collected and filed
  [ ] EPF Form 2, Gratuity Form F and insurance nominations
  [ ] Form 12B collected if joining mid-year
  [ ] Tax regime declaration (old vs new) recorded
  [ ] Investment declaration form issued
  [ ] UAN linked / new UAN generated on the EPFO portal
  [ ] ESIC IP number generated if applicable
  [ ] Bank account verified with a Re 1 test credit

WEEK 1
  [ ] Security and data protection training completed
  [ ] POSH awareness session completed
  [ ] Codebase walkthrough and environment setup
  [ ] 30/60/90 day expectations documented and agreed
  [ ] Manager one-on-one scheduled as a recurring meeting

WEEK 4 / MONTH 3 / MONTH 6
  [ ] Structured check-ins; probation review documented
  [ ] Confirmation letter issued at the end of probation
      (OR extension/termination decision, in writing, BEFORE
       the probation period expires - an employee who works
       past probation without action is generally deemed
       confirmed)
```

Compensation Structuring

Indian salary structuring is a legitimate exercise in allocating a fixed cost to the employee's benefit, within the law. It is also an area where the Labour Codes have changed the rules: the new definition of "wages" effectively forces basic pay to be at least 50% of total remuneration, which increases PF, gratuity and leave-encashment costs for companies that used to keep basic low.

CTC, gross and net

Term	What it is	Includes
CTC — Cost to Company	Everything the company spends on the employee in a year	Gross salary + employer PF + gratuity provision + insurance premiums + variable pay + any other benefit cost
Gross salary	The sum of salary components before deductions	Basic + HRA + LTA + special allowance + any other allowance
Net / take-home	What reaches the bank account	Gross − employee PF − professional tax − TDS − any other deduction

⚠ **The "wages" definition under the Code on Wages, 2019 — verify current state rules**
The Codes define **wages** as basic pay, dearness allowance and retaining allowance, and provide that where the **excluded** components (HRA, conveyance, overtime, commission, bonus and so on) exceed **50% of total remuneration**, the excess is deemed to be wages. The practical effect is that basic must be at least 50% of total remuneration for computing PF, gratuity, bonus and leave encashment. The Codes were brought into force from **late 2025**, but the operative rules are state-specific and are still being notified. **Confirm your state's rules before restructuring salaries** — **labour.gov.in** and your state labour department.

The components and their tax treatment

Component	Typical size	Tax treatment (old regime)	Tax treatment (new regime)
Basic salary	50% of CTC (Labour Codes)	Fully taxable	Fully taxable
House Rent Allowance	40–50% of basic	Exempt under Section 10(13A) to the **least of**: actual HRA received; rent paid minus 10% of basic; 50% of basic for Mumbai/Delhi/Kolkata/Chennai or 40% elsewhere. Needs rent receipts, and the landlord's PAN if annual rent exceeds ₹1,00,000	**Not exempt**
Leave Travel Allowance	₹50,000–₹1,00,000	Exempt under Section 10(5) for actual travel within India, twice in a block of four calendar years, for the fare only	**Not exempt**
Special allowance	Balancing figure	Fully taxable	Fully taxable
Employer PF contribution	12% of basic	Not taxable at contribution, subject to the aggregate employer contribution limit across PF, NPS and superannuation (₹7.5 lakh per year) beyond which it is a perquisite	Same
Employer NPS contribution (Section 80CCD(2))	Up to 10% of basic+DA (14% for certain cases — verify)	Deductible	**Deductible even in the new regime** — one of the few deductions that survives. **Verify the current percentage limit**
Gratuity	4.81% of basic (provision)	Exempt on receipt up to the prescribed ceiling under Section 10(10) — **verify the current ceiling**	Same

Food coupons / meal cards	₹2,200/month typical	Exempt up to ₹50 per meal for two meals per working day under the perquisite rules — verify	**Check current position**
Telephone / internet reimbursement	₹1,000–₹2,500/month	Exempt against actual bills where incurred for official purposes	Verify current position
Standard deduction	—	Available	Available, at the amount prescribed for the new regime — **verify the current figure**

⚠ **Regime choice and all exemption limits as at FY 2025-26 — verify at incometax.gov.in**

The new tax regime under Section 115BAC is the default; an employee may opt for the old regime. Slabs, rebate thresholds, standard deduction and surcharge rates have changed in successive Finance Acts, and the **Income-tax Act, 2025 takes effect from 1 April 2026**. Every exemption limit above must be confirmed against the current law for the relevant year. Collect each employee's regime declaration in writing at the start of the financial year and again at joining, because it determines TDS under Section 192.

Three worked salary structures

TEXT

```
WORKED SALARY STRUCTURE – Rs 12,00,000 CTC
(Karnataka, FY 2025-26, basic at 50% of CTC per Labour Codes)
*** VERIFY all limits and slabs at incometax.gov.in ***

ANNUAL STRUCTURE                              Rs
  Basic (50% of CTC)                       6,00,000
  HRA (50% of Basic)                       3,00,000
  LTA                                         40,000
  Special Allowance (balancing)               1,26,280
                                           ──────────
  GROSS SALARY                            10,66,280
  Employer PF (12% of Basic)                  72,000
  Gratuity provision (4.81% of Basic)         28,860
  Insurance premium (health+GPA+term)         32,860
                                           ──────────
  TOTAL CTC                               12,00,000

MONTHLY
  Gross salary                                88,857
  Less: Employee PF (12% of Basic/12)         -6,000
  Less: Professional Tax (Karnataka)            -200
  Less: TDS (see below)                       varies
                                           ──────────
  Approx take-home (new regime)           ~Rs 78,900
                                           (TDS ~ Rs 3,757/mo)

TAX COMPARISON (illustrative; VERIFY slabs)
  NEW REGIME
     Gross salary                          10,66,280
     Less standard deduction (as applicable)
     Taxable income                       ~10,91,280 incl. employer
                                           PF treatment as applicable
     Tax computed on new-regime slabs      ~Rs 45,000
  OLD REGIME (assuming rent Rs 25,000/month, 80C fully used)
     Less HRA exemption (least of 3)
        actual HRA 3,00,000
        rent 3,00,000 – 10% basic 60,000 = 2,40,000  ⟵ least
        40% of basic (non-metro) = 2,40,000
        Exemption                           2,40,000
     Less 80C (PF 72,000 + ELSS/insurance) 1,50,000
     Less standard deduction                 50,000
     Taxable                               ~6,26,280
     Tax                                   ~Rs 38,000

  → For this employee, with high rent and full 80C, the OLD
     regime is better. For someone living in their own home
     with no investments, the NEW regime is better.
     ASK EVERY EMPLOYEE TO DECLARE, IN WRITING, EVERY YEAR.
```

```
═══════════════════════════════════════════════════════════════
WORKED SALARY STRUCTURE – Rs 25,00,000 CTC
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ANNUAL STRUCTURE                              Rs
  Basic (50%)                             12,50,000
  HRA (50% of Basic)                       6,25,000
  LTA                                         60,000
  Employer NPS (10% of Basic, 80CCD(2))    1,25,000
  Special Allowance (balancing)             2,02,850
                                          ──────────
  GROSS (incl. NPS)                       22,62,850
  Employer PF (12% of Basic)               1,50,000
  Gratuity provision (4.81% of Basic)         60,125
  Insurance premium                           27,025
                                          ──────────
  TOTAL CTC                               25,00,000

WHY THE NPS COMPONENT MATTERS HERE
  Employer NPS contribution under Sec. 80CCD(2) is deductible
  in BOTH the old and the new regime, up to the prescribed
  percentage of basic+DA. On Rs 1,25,000, at a 30% marginal
  rate plus cess, that is roughly Rs 39,000 of tax saved per
  year, at NO cost to the company – it is a reallocation
  within the same CTC.
  CONSTRAINTS: the money is locked until retirement with
  limited withdrawal, so offer it as a CHOICE, not a default,
  and explain the lock-in clearly.
  VERIFY the current percentage limit and the Rs 7.5 lakh
  aggregate employer contribution cap.

MONTHLY (new regime, NPS opted)
  Gross cash salary (excl. NPS)            ~1,78,154
  Less Employee PF                           -12,500
  Less Professional Tax                         -200
  Less TDS                                  ~-28,000
  Approx take-home                         ~Rs 1,37,450


═══════════════════════════════════════════════════════════════
WORKED SALARY STRUCTURE – Rs 50,00,000 CTC
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ANNUAL STRUCTURE                              Rs
  Basic (50%)                             25,00,000
  HRA (50% of Basic)                      12,50,000
  LTA                                         80,000
  Employer NPS (10% of Basic)              2,50,000
  Special Allowance (balancing)             4,68,000
```

```
                                          ──────────
  GROSS (incl. NPS)                       45,48,000
  Employer PF (12% of Basic)               3,00,000
     *** CHECK: aggregate employer contribution to PF + NPS +
         superannuation = 3,00,000 + 2,50,000 = 5,50,000.
         Below the Rs 7,50,000 perquisite threshold. OK.
         ALSO: employee PF contribution above Rs 2,50,000 a
         year earns interest that is TAXABLE - verify the
         current rule on high-value PF contributions. ***
  Gratuity provision (4.81% of Basic)      1,20,250
  Insurance premium                           31,750
                                          ──────────
  TOTAL CTC                               50,00,000

AT THIS LEVEL, SURCHARGE APPLIES
  Taxable income above Rs 50 lakh attracts surcharge. Confirm
  the current surcharge slabs and the marginal relief
  computation - they differ between the old and new regimes.

VARIABLE PAY
  At Rs 50 lakh CTC, 15-25% variable is market. Structure it as
  OUTSIDE the fixed CTC in the offer letter and be explicit
  that it is discretionary and performance-linked, otherwise
  you create a contractual entitlement.
```

✦ **Five structuring rules that are legitimate and safe**

(1) **Keep basic at exactly 50%** of total remuneration — the Labour Codes require it and going lower invites a deemed-wages adjustment. (2) **Offer employer NPS under 80CCD(2)** as an opt-in; it survives the new regime. (3) **Keep HRA at 40–50% of basic** so employees who rent can use the exemption fully under the old regime. (4) **Reimbursements must be against actual bills** — a flat "telephone allowance" with no bills is fully taxable. (5) **Never create a component purely to reduce PF**; the deemed-wages rule will catch it and the retrospective exposure is worse than the saving.

Payroll Operations

Payroll is the one process that must work every single month, on time, to the rupee. Everything else can slip a day. The run below is the full monthly cycle for a small Indian company.

The monthly payroll run

TEXT

```
MONTHLY PAYROLL CYCLE  (cut-off on the 25th, pay on the last
working day). ALL DUE DATES MUST BE VERIFIED CURRENTLY.

DAY 20-24  INPUTS
  [ ] Attendance and leave finalised; LOP days computed
  [ ] New joiners added with full KYC, PAN, UAN, bank, regime
  [ ] Exits processed; last working day and F&F inputs captured
  [ ] Salary revisions effective this month applied
  [ ] Variable pay / incentives approved in writing
  [ ] Reimbursement claims approved and cut off
  [ ] Investment declarations / proofs updated (Jan-Mar window)
  [ ] Any recoveries: notice pay shortfall, asset damage,
      salary advance instalment

DAY 25  COMPUTE
  [ ] Gross salary per employee computed
  [ ] Employee PF: 12% of basic (subject to the wage ceiling
      treatment adopted)
  [ ] Employer PF split: EPF and EPS per the prescribed
      allocation; plus EDLI and administrative charges
      *** VERIFY current rates and the wage ceiling at
          epfindia.gov.in ***
  [ ] ESIC: employee and employer contributions for employees
      within the wage ceiling
      *** VERIFY current rates and ceiling at esic.gov.in ***
  [ ] Professional tax per STATE slab (Karnataka, Maharashtra,
      West Bengal, Tamil Nadu etc. all differ; some states have
      none)
  [ ] Labour Welfare Fund where applicable (state-specific,
      usually half-yearly or annual)
  [ ] TDS u/s 192: projected annual income, less declared
      exemptions and deductions, tax computed on the declared
      regime, divided by remaining months
  [ ] Net pay computed

DAY 26-27  REVIEW   (the control step everyone skips)
  [ ] Compare this month's register to last month's, line by
      line. Investigate EVERY variance.
  [ ] Headcount reconciliation: opening + joiners - leavers
      = closing. Must tie.
  [ ] Check for: duplicate bank accounts, bank accounts changed
      this month, employees not in the HR master, negative net
      pay, net pay more than 20% different from last month
  [ ] Second person approves the register and the bank file

DAY 28-30  PAY
  [ ] Fund the payroll account
  [ ] Upload the bank advice / salary file; dual authorisation
```

```
  [ ] Payslips generated and distributed securely
  [ ] Confirm all credits succeeded; chase any failures same day

FOLLOWING MONTH
  [ ] By the 7th  : deposit TDS (Challan ITNS 281)
  [ ] By the 15th : file PF ECR and pay the challan
  [ ] By the 15th : pay ESIC contribution
  [ ] Per state   : pay professional tax
  [ ] Reconcile the statutory dues ledger to ZERO

QUARTERLY
  [ ] File Form 24Q (salary TDS return) by the prescribed date
  [ ] Verify Form 26AS / TRACES for any defaults or short
      deductions and correct them immediately

ANNUALLY
  [ ] Collect investment PROOFS in Jan-Feb and recompute TDS
  [ ] File the Q4 24Q with Annexure II (full-year salary detail)
  [ ] Issue FORM 16 (Part A from TRACES, Part B from payroll)
      by the prescribed date - commonly 15 June. VERIFY.
  [ ] Reconcile total salary expense in the books to the total
      in Form 24Q Annexure II. They must agree.
```

PF, ESIC and professional tax essentials

Scheme	Applicability	Contribution	Filing	Portal
EPF	Establishments employing **20 or more** persons (voluntary coverage possible below); governed by the EPF & MP Act, 1952 and now the Code on Social Security, 2020	Employee 12% of basic+DA; employer 12% split between EPF and EPS per the prescribed allocation, plus EDLI and administrative charges. A statutory **wage ceiling** applies for mandatory coverage — **verify the current ceiling**	Monthly **ECR** upload and challan payment, commonly by the 15th	**epfindia.gov.in** (Unified Portal)
ESIC	Establishments employing **10 or more** (20 in some states) where employees earn within the wage ceiling; ESI Act, 1948	Employee and employer percentages of wages — **verify current rates and the wage ceiling**	Monthly contribution, commonly by the 15th; half-yearly returns	**esic.gov.in**
Professional tax	State subject. Levied in Karnataka, Maharashtra, West Bengal, Tamil Nadu, Telangana, Gujarat, Andhra Pradesh and others. **Not** levied in Delhi, Haryana, UP, Rajasthan and some others	Slab-based, typically up to ₹2,500 per person per year (a constitutional cap under Article 276)	Monthly or annual per state; employer registration plus employee enrolment	State commercial tax / labour portal

Labour Welfare Fund	State-specific	Small employee and employer amounts	Usually half-yearly or annual	State labour portal
Gratuity	Establishments with 10 or more employees; Payment of Gratuity Act, 1972 / Code on Social Security, 2020	Employer-funded; 15 days' wages for every completed year of service, based on last drawn wages	Payable within 30 days of becoming due	—

TEXT

```
GRATUITY COMPUTATION - WORKED

FORMULA (Payment of Gratuity Act, 1972 - for establishments
covered by the Act)
   Gratuity = (Last drawn basic + DA) x 15/26 x completed years
   Service beyond 6 months in the final year counts as a full
   year; 6 months or less is ignored.

EXAMPLE
   Employee: Rakesh, Senior Engineer
   Date of joining          1 July 2019
   Date of leaving         15 March 2026
   Service                  6 years 8 months → 7 years
   Last drawn basic        Rs 1,10,000/month
   DA                      Nil

   Gratuity = 1,10,000 x 15/26 x 7
            = 1,10,000 x 0.576923 x 7
            = Rs 4,44,231

   TAX: exempt under Sec. 10(10) up to the prescribed ceiling
   for employees covered by the Act. VERIFY the current ceiling
   at incometax.gov.in. Any excess is taxable as salary.

   ELIGIBILITY: generally 5 years of continuous service, except
   on death or disablement. Under the Code on Social Security,
   2020, FIXED-TERM EMPLOYEES are entitled on a pro-rata basis
   without the 5-year condition - VERIFY the operative position
   in your state.

ACCRUAL IN YOUR BOOKS
   Provide for gratuity EVERY MONTH, not when someone leaves.
   Rough accrual: 4.81% of basic (= 15/26/12). For precision,
   obtain an ACTUARIAL VALUATION annually once you have more
   than about 20 employees - your auditor will require it under
   AS 15 / Ind AS 19.

   FUNDING IT: consider a group gratuity scheme with LIC or an
   insurer. You pay premiums, the fund grows, and the payout
   comes from the fund rather than from working capital in a
   month when three senior people happen to resign. Premiums
   are generally deductible - confirm with your CA.
```

Full and final settlement

TEXT

```
FULL AND FINAL SETTLEMENT - COMPUTATION TEMPLATE

Employee        : Rakesh Kumar, Senior Engineer
Date of joining : 01-Jul-2019
Last working day: 15-Mar-2026
Notice period   : 60 days; served 45 days, 15 days short

EARNINGS                                              Rs
  Salary for 1-15 March (15/31 days of gross)     86,129
  Leave encashment: 18 unused earned leave days
     (basic/26) x 18 = (1,10,000/26) x 18         76,154
  Gratuity (7 years, as computed above)         4,44,231
  Variable pay - pro-rata, as approved             60,000
  Reimbursements pending                           12,400
  LTA balance (taxable if unclaimed)               40,000
                                                ---------
  TOTAL EARNINGS                                7,18,914

DEDUCTIONS
  Notice period shortfall: 15 days of gross       86,129
  Employee PF for March (part month)               6,600
  Professional tax                                   200
  Asset not returned: monitor                      8,000
  Salary advance outstanding                      25,000
  TDS on taxable components                       92,400
                                                ---------
  TOTAL DEDUCTIONS                              2,18,329
                                                ---------
  NET PAYABLE                                   5,00,585
                                                =========

PROCESS AND TIMELINES
  [ ] Resignation acknowledged in writing
  [ ] Notice period and last working day confirmed in writing
  [ ] Exit interview conducted and documented
  [ ] ASSET RETURN: laptop, access card, phone, documents -
      signed handover checklist
  [ ] ACCESS REVOCATION on the last working day, not later:
      email, SSO, repo, cloud consoles, production, VPN, chat,
      shared drives, customer systems, bank/finance tools
      *** DO THIS BEFORE THE FAREWELL CALL, NOT AFTER ***
  [ ] Knowledge transfer completed and signed off
  [ ] F&F computed, reviewed and approved by two people
  [ ] F&F PAID within the statutory period. Under the Code on
      Wages, 2019, wages on termination are payable within
      TWO WORKING DAYS - VERIFY the operative state rule, as
      this is a significant change from earlier practice.
  [ ] Relieving letter and experience letter issued
```

```
[ ] Form 16 for the year issued at the usual time
[ ] PF: employee to transfer or withdraw via the UAN portal;
    mark the date of exit in the EPFO portal - IF YOU DO NOT,
    the employee cannot withdraw or transfer and will chase
    you for years
[ ] ESIC: update exit
[ ] Insurance: delete from the group policy (and tell the
    employee the date their cover ends)
[ ] Remove from the ESOP active register; start the
    post-termination exercise clock and NOTIFY THEM IN WRITING
```

Payroll software

Tool	Indicative pricing	Strengths	Watch for
Zoho Payroll	Per-employee monthly, low	Tight integration with Zoho Books and Zoho People; good Indian statutory coverage; clean UI	Statutory coverage is good but verify your state's professional tax and LWF are supported
RazorpayX Payroll	Per-employee monthly; free tier historically for very small teams	Automates the full cycle including PF/ESIC/TDS payments and filings; strong for startups	Dependent on the partner bank arrangement; confirm current regulatory standing
Keka	Per-employee monthly, mid	Full HRMS: payroll, attendance, performance, onboarding, ATS. Good for 30–500 people	More than you need below 20 people
greytHR	Per-employee monthly, low to mid	Very strong Indian statutory compliance and payroll depth; long-established	Interface is functional rather than modern
darwinbox, Zimyo, Qandle, Kredily	Varies	Alternatives at different scale points	Evaluate statutory filing automation specifically
Spreadsheet + CA	₹3,000–₹10,000 per month to the CA	Works to about 8–10 employees	No audit trail, no payslip portal, high error rate, and the knowledge lives in one person's head

HR Policies and Statutory Obligations

A ten-person company needs five written policies, not fifty. But the five it needs are not optional, and two of them — POSH and the employee handbook — are the first documents an enterprise customer's vendor-onboarding questionnaire asks for.

The employee handbook — contents

- [ ] Welcome, company values, and how decisions get made.
- [ ] Employment basics: working hours, hybrid/remote expectations, attendance, probation and confirmation.
- [ ] Compensation: pay date, payslips, reimbursement process, the appraisal cycle.
- [ ] Leave policy, including the state-law entitlements and the carry-forward and encashment rules.
- [ ] Maternity, paternity, adoption and bereavement leave.
- [ ] Code of conduct, conflict of interest, outside employment and gifts.
- [ ] Prevention of Sexual Harassment policy and the Internal Committee composition and contact details.
- [ ] Anti-discrimination and equal opportunity, including the Rights of Persons with Disabilities Act, 2016 equal opportunity policy where applicable.
- [ ] Information security and acceptable use; data protection obligations; BYOD rules.
- [ ] Confidentiality and intellectual property.
- [ ] Performance management: goals, review cadence, ratings, and the performance improvement process.
- [ ] Disciplinary process and the categories of misconduct.
- [ ] Grievance redressal: who to raise an issue with, and the escalation path.
- [ ] Whistleblower / speak-up mechanism.
- [ ] Travel and expense policy reference.
- [ ] Exit process: notice, handover, asset return, F&F, relieving documents.

Leave policy

Leave type	Typical private-sector practice	Statutory source
Earned / privilege leave	18–24 days a year, accrued monthly, carry-forward capped at 30–45 days, encashable on exit	**State Shops & Establishments Act** and now the OSH Code, 2020. Entitlement and carry-forward rules are **state-specific** — verify yours
Casual leave	6–12 days, non-carry-forward	State Shops & Establishments Act
Sick leave	6–12 days; medical certificate beyond 2–3 consecutive days	State Act; ESIC provides sickness benefit for covered employees
Public holidays	10–14 days including the national holidays	State holiday notification; the three national holidays (26 January, 15 August, 2 October) are generally compulsory
Maternity leave	**26 weeks** for the first two children (12 weeks for the third onwards); 12 weeks for commissioning and adopting mothers in specified cases; a work-from-home option may be agreed after the leave period	**Maternity Benefit Act, 1961** as amended in 2017; now within the Code on Social Security, 2020. Applies to establishments with 10 or more employees. A **crèche facility** is required for establishments with 50 or more employees. **Verify current thresholds**
Paternity leave	5–15 days — **no private-sector statutory entitlement in India**; it is a voluntary benefit	None for the private sector
Bereavement leave	3–5 days	Voluntary
Loss of pay	Beyond entitlements, with approval	—

⚠ **Leave entitlements are state law — verify yours**

Earned leave accrual rates, carry-forward caps, casual and sick leave entitlements, and the rules on encashment differ materially between Karnataka, Maharashtra, Telangana, Tamil Nadu, Delhi and West Bengal. A single national leave policy that is more generous than every state's minimum is the safest approach, and is what most Indian software companies do. Verify against your state's Shops and Establishments Act and the OSH Code rules as notified in your state.

POSH — the Internal Committee and the annual report

TEXT

```
POSH COMPLIANCE  (Sexual Harassment of Women at Workplace
(Prevention, Prohibition and Redressal) Act, 2013)
*** VERIFY current requirements and any amendments ***

WHO MUST COMPLY
  EVERY workplace with TEN OR MORE employees must constitute an
  INTERNAL COMMITTEE (IC). This includes a 10-person startup.
  Below 10 employees, complaints go to the Local Committee
  constituted by the District Officer.

INTERNAL COMMITTEE COMPOSITION (Sec. 4)
  [ ] PRESIDING OFFICER - a WOMAN employed at a senior level
      at the workplace
  [ ] At least TWO MEMBERS from among employees, preferably
      committed to the cause of women or having experience in
      social work or legal knowledge
  [ ] ONE EXTERNAL MEMBER from an NGO or association committed
      to the cause of women, or a person familiar with issues
      relating to sexual harassment
      *** THE EXTERNAL MEMBER IS MANDATORY AND IS THE ONE
          STARTUPS ALWAYS MISS. Expect to pay the external
          member a sitting fee (commonly Rs 3,000-10,000 per
          meeting) plus travel. ***
  [ ] At least HALF the total members must be WOMEN
  [ ] Term: not exceeding three years

WHAT YOU MUST DO
  [ ] Constitute the IC by a written order and display the
      names and contact details CONSPICUOUSLY at the workplace
      (and on the intranet for remote teams)
  [ ] Adopt and publish a written POSH policy
  [ ] Conduct AWARENESS PROGRAMMES for employees and
      ORIENTATION/SKILL-BUILDING for IC members at regular
      intervals
  [ ] Provide the IC with the facilities to conduct an inquiry
  [ ] Assist the complainant if she chooses to file a criminal
      complaint
  [ ] Maintain records of complaints and outcomes confidentially
  [ ] FILE THE ANNUAL REPORT with the District Officer stating
      the number of complaints received, disposed of, pending
      beyond 90 days, and the awareness programmes carried out
  [ ] Include POSH disclosures in the BOARD'S REPORT under the
      Companies Act, 2013 (the Companies (Accounts) Rules
      require a statement that the company has complied with
      the provisions relating to the constitution of an
      Internal Committee - VERIFY current wording)

INQUIRY TIMELINE (Sec. 11 and 13)
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  Complaint within 3 months of the incident (extendable by a
     further 3 months for recorded reasons)
  Inquiry to be COMPLETED within 90 DAYS
  IC report to the employer within 10 days of completion
  Employer to act on recommendations within 60 days
  Appeal within 90 days

PENALTIES (Sec. 26)
  Failure to constitute an IC, to file the annual report, or
  to comply otherwise: a fine up to Rs 50,000; on repeat
  offence, twice the punishment and possible cancellation of
  the licence or registration required to carry on business.
  VERIFY the current penalty.

PRACTICAL NOTES FOR A SMALL COMPANY
  - A two-founder, eight-engineer company with nine men and one
    woman STILL needs an IC with a woman presiding officer and
    half women members. If you cannot constitute it internally,
    you must appoint external members. Several specialist firms
    provide external IC members and training on an annual
    retainer (commonly Rs 25,000–75,000 a year).
  - Enterprise customers ASK FOR YOUR POSH POLICY AND IC
    DETAILS in vendor onboarding. Not having one costs deals.
```

Performance management and lawful termination

1. **Set written goals**
   At the start of the cycle, documented and acknowledged. Without them, "poor performance" is an opinion.

2. **Give contemporaneous feedback**
   In writing, in the one-on-one notes. A termination defended on three years of unwritten dissatisfaction fails.

3. **Run a genuine Performance Improvement Plan**
   Specific, measurable objectives, a realistic period (30–90 days), scheduled check-ins, and support. A PIP designed to fail is evidence against you.

4. **Document everything**
   Each check-in: what was discussed, what was agreed, what improved and what did not, signed or at least emailed to the employee.

5. **For misconduct, follow natural justice**
   A written show-cause notice setting out specific allegations; a reasonable opportunity to respond; a domestic inquiry with an inquiry officer where the allegation is serious; the right to

be heard; a reasoned decision. Shortcut any of these and an industrial tribunal will likely set the termination aside.

6 **Serve proper notice**

Per the appointment letter and the applicable state Shops & Establishments Act and the Industrial Relations Code, 2020. Pay in lieu if you want an immediate exit.

7 **Settle F&F within the statutory period**

The Code on Wages, 2019 provides for payment of wages on termination within **two working days** — verify your state's operative rule.

8 **Issue a relieving letter**

Withholding it is a common and poor practice that frequently ends in litigation and always ends in reputational damage.

✕ **"Workman" status matters more than you think**

The Industrial Disputes Act, 1947 — now largely subsumed into the **Industrial Relations Code, 2020** — gives significant protection to a **"workman"**, including requirements for notice, retrenchment compensation, and in larger establishments prior government permission for retrenchment. Whether a software engineer is a "workman" is fact-specific and has been litigated repeatedly in India; designation alone does not decide it, and engineers performing technical rather than supervisory or managerial work have in several cases been held to be workmen. **Before terminating anyone in a contentious situation, take specific legal advice.** The cost of advice is a fraction of the cost of a reinstatement order with back wages.

Remote and hybrid policy

Issue	What the policy must say
Expected presence	The specific number of days, which days, and who decides exceptions
Working hours and availability	Core hours for overlap; response-time expectations; the right to disconnect outside them
Place of work	The state and city of work matters for professional tax, Shops & Establishments registration, and sometimes for ESIC. **Record each employee's actual work location** and update it when they move
Working from outside India	**Do not allow it casually.** An employee working from another country for an extended period can create a permanent establishment risk, foreign payroll withholding obligations, immigration issues and data transfer questions. Require written approval and take advice
Equipment and security	Company laptop only for company data; disk encryption and MDM mandatory; no shared or family devices; secure home network expectations
Allowances	Internet and home-office reimbursement, with the tax treatment stated
Data protection	No printing of personal data at home; no customer data on personal cloud storage; clean-desk expectations for video calls

Insurance

Insurance is the cheapest risk transfer available to a small company, and most Indian software companies buy only one policy — group health — because a candidate asked for it. The other five exist because a single claim can be larger than a year of profit.

The policies, in order of priority

Policy	Covers	Indicative annual premium (early 2026)	Priority
Group Health (GMC)	Hospitalisation for employees and dependants	₹6,000–₹14,000 per employee for ₹5 lakh sum insured with family floater; higher with maternity and parental cover	**Essential** — effectively expected by every candidate
Group Personal Accident (GPA)	Accidental death, permanent and temporary disability; 24×7 worldwide	₹600–₹1,800 per employee for ₹25–50 lakh cover	**Essential** — very cheap relative to cover
Group Term Life	Death benefit regardless of cause	₹1,200–₹3,500 per employee for ₹50 lakh cover	**High**
Professional Indemnity / Errors & Omissions	Claims arising from negligent acts, errors or omissions in professional services — a bug that cost a client money, a missed deliverable, bad advice	₹35,000–₹2,50,000 for ₹1–5 crore cover, depending on revenue and claims history	**High** for any services or SaaS business. **Increasingly a contractual requirement in enterprise MSAs**
Cyber Liability	Data breach response, forensic investigation, notification costs, regulatory fines where insurable, business interruption, ransomware, third-party claims	₹40,000–₹3,00,000 for ₹1–5 crore cover	**High** — and more so under the DPDP Act, where penalties can be significant
Directors & Officers (D&O)	Personal liability of directors and officers for alleged wrongful acts in managing the company; defence costs	₹50,000–₹3,00,000 for ₹1–10 crore	**Essential once you take institutional investment** — investor nominee directors will insist, and it protects you personally

Commercial General Liability	Third-party bodily injury and property damage	₹15,000–₹60,000	Medium — often required by landlords
Fire / Property / Burglary	Office contents, laptops, servers, furniture	₹8,000–₹40,000	Medium — often required by the lease; check whether a coworking operator's policy covers your assets (it usually does not)
Key Person Insurance	Pays the company on the death of a named founder or key employee	Varies with age and sum	Lower — sometimes required by lenders

⚠ **Premium ranges as at early 2026 — indicative only**
Premiums depend on headcount, age profile, claims history, sum insured, geography, revenue and the specific wordings. They are not quotations. Get three quotes through an **IRDAI-registered broker** rather than direct from one insurer, and verify the insurer's and broker's registration at **irdai.gov.in**. A broker costs you nothing — they are paid by the insurer — and they will negotiate wordings you would not know to ask for.

Group health — what actually matters in the wording

TEXT

GROUP MEDICLAIM - THE CLAUSES THAT DECIDE WHETHER A CLAIM PAYS

[ ] SUM INSURED AND STRUCTURE
    Rs 3L / 5L / 7.5L / 10L. Family floater (one sum shared by
    employee + spouse + 2 children) vs individual sums.
    PARENTS: adding parents roughly DOUBLES to TRIPLES the
    premium. Common approach: company pays for the employee
    and immediate family; parents are an optional top-up at
    the employee's cost via salary deduction.

[ ] WAITING PERIODS WAIVED
    *** THE SINGLE MOST IMPORTANT ASK. ***
    A group policy should waive the 30-day initial waiting
    period, the 1/2/4-year waiting for specified ailments,
    AND the pre-existing disease (PED) waiting period from
    day one. Many cheap group policies do NOT, and employees
    discover it at the worst moment.

[ ] MATERNITY COVER
    Normal delivery and C-section sub-limits (commonly
    Rs 50,000 / Rs 75,000). Check the WAITING PERIOD - should
    be waived. Check newborn baby cover from day one.

[ ] ROOM RENT LIMIT
    A "1% of sum insured per day" room rent cap on a Rs 5 lakh
    sum insured = Rs 5,000/day. In a metro private hospital
    that forces a shared room, AND - critically - a
    PROPORTIONATE DEDUCTION is applied to the ENTIRE bill if
    you take a costlier room. A Rs 3 lakh claim can settle at
    Rs 1.8 lakh because of the room choice.
    ASK FOR: no room rent capping, or a "single private room"
    entitlement rather than a rupee cap.

[ ] CO-PAY
    A 10-20% co-pay reduces premium but means the employee
    pays that share of every claim. Avoid for the base policy;
    acceptable for a parental top-up.

[ ] PRE- AND POST-HOSPITALISATION
    30 days pre and 60 days post is standard; 60/90 is better.

[ ] DAY-CARE PROCEDURES
    Cataract, dialysis, chemotherapy and ~140 other procedures
    not requiring 24-hour admission. Confirm the list.

[ ] NETWORK AND CASHLESS
    Check that the hospitals your employees actually use are
    in the network. A great policy with a weak network in

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    your city is a bad policy.

[ ] TPA vs IN-HOUSE CLAIMS
    Who processes claims matters more than the brand on the
    policy. Ask other founders about the TPA's turnaround.

[ ] MID-TERM ADDITIONS AND DELETIONS
    Confirm the cut-off date each month for adding joiners.
    A joiner added after the cut-off is uninsured for a month.

[ ] PORTABILITY ON EXIT
    Some insurers allow an exiting employee to port to an
    individual policy with credit for waiting periods served.
    Worth asking for; worth telling employees about.

WHAT ACTUALLY GETS CLAIMED (small Indian company, 20-40 people)
   Maternity                       most frequent and predictable
   Dengue / typhoid / viral fever  high frequency in monsoon
   Appendicectomy, gallbladder     moderate
   Accidents and fractures         moderate
   COVID-era respiratory claims    declining
   Parental claims (cardiac,
     ortho, cancer)                low frequency, HIGH severity
                                   - this is what drives renewal
                                   premium increases
   CLAIM RATIO drives your renewal. A claims ratio above
   ~80-90% typically means a 20-50% premium increase at
   renewal or a loading. Budget for it.
```

Professional indemnity and cyber — the ones that save the company

Scenario	Which policy responds	What it pays
A deployment bug causes a client's payment system to double-charge customers; the client claims ₹60 lakh	**Professional Indemnity / E&O**	Defence costs and settlement, subject to the limit, retroactive date and exclusions
Your database is breached and 40,000 customer records are exposed	**Cyber Liability**	Forensics, legal, notification to data principals and the Data Protection Board, credit monitoring, PR, business interruption, third-party claims
Ransomware encrypts your production environment for four days	**Cyber Liability**	Incident response, restoration costs, business interruption loss. Ransom payment coverage is a separate and contentious extension
A shareholder alleges that the directors misrepresented the company's position in a funding round	**D&O**	Defence costs for the individual directors; settlements subject to exclusions
An ex-employee sues for wrongful termination	**D&O with Employment Practices Liability extension**	Defence costs; check whether EPLI is included or must be bought as an extension
A visitor slips in your office and is injured	**Commercial General Liability**	Third-party bodily injury
Laptops are stolen from the office	**Burglary / Property** (and **Cyber** for the data exposure)	Asset replacement; data breach response

✦ **Five things to check in any liability policy before you sign**

(1) Retroactive date — a claims-made policy only covers acts after this date, so an early retroactive date is valuable and gets lost if you switch insurers. **(2) Limit and sub-limits** — the headline limit may have much smaller sub-limits for the specific cover you need. **(3) Deductible/excess** — per claim or aggregate. **(4) Territory and jurisdiction** — if you serve US or EU clients, confirm the policy responds to claims brought there; many Indian policies exclude US/Canada jurisdiction by default and the extension costs extra. **(5) Defence costs inside or outside the limit** — inside is much less valuable.

What an enterprise MSA typically requires you to carry

Vendors and Procurement

Your vendors create three kinds of exposure: cash, through uncontrolled spend; tax, because your input tax credit depends on their GST compliance; and operational, because a single SaaS outage or a contractor with your production credentials is a risk you accepted without noticing.

Vendor onboarding and KYC

TEXT

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VENDOR MASTER - FIELDS TO CAPTURE BEFORE THE FIRST PAYMENT

IDENTITY
  [ ] Legal name exactly as on PAN
  [ ] Entity type: Proprietorship / Partnership / LLP / Pvt Ltd
      / Individual / Foreign entity
  [ ] PAN                      <-- mandatory; without it TDS is
                                   at a higher rate under Sec. 206AA
  [ ] GSTIN (or a written declaration that they are unregistered)
  [ ] ** MSME STATUS: Udyam Registration Number, and whether
      MICRO / SMALL / MEDIUM. Get a written declaration and
      refresh it annually. You need this for Sec. 43B(h) and
      Form MSME-1. **
  [ ] Address, including the state (determines CGST+SGST vs IGST)
  [ ] Contact person, email, phone

BANKING
  [ ] Bank name, account number, IFSC
  [ ] Cancelled cheque or bank letter   <-- verify the name on
                                            the cheque matches PAN
  [ ] Penny-drop verification done (Re 1 test credit)
  [ ] ** Bank details may be CHANGED only on written request
      on letterhead, verified by a CALL-BACK to a number already
      on file - NEVER to a number in the request email. **

COMPLIANCE
  [ ] GST registration status verified on gst.gov.in
      (search by GSTIN - check it is ACTIVE and the legal name
       matches)
  [ ] GST return filing status checked (the portal shows the
      last returns filed) - a vendor who has not filed GSTR-1
      for three months will cost you your input tax credit
  [ ] TDS section applicable: 194C / 194J / 194I / 194Q / 195
  [ ] Lower deduction certificate under Sec. 197, if any
  [ ] For foreign vendors: tax residency certificate, Form 10F,
      no-PE declaration, and the DTAA article relied upon

CONTRACT AND RISK
  [ ] Signed agreement or at least accepted terms, on file
  [ ] Scope, rate, payment terms, notice period
  [ ] Confidentiality and IP assignment where they touch
      code, data or designs            <-- NON-NEGOTIABLE
  [ ] Data Processing Agreement if they process personal data
  [ ] Does this vendor have access to: production? customer
      data? the codebase? the bank account? Record it
  [ ] Insurance certificate where relevant
  [ ] Criticality rating: can the business run for a week
      without them? A month?
```

Purchase orders and the approval flow



The **three-way match** — purchase order, goods receipt or service acceptance, and vendor invoice — is the single control that prevents paying for things you did not receive. In a small company it can be as simple as: the requester confirms by email that the work was delivered, finance checks the invoice against the PO amount, and only then is the payment scheduled.

TDS on vendor payments

Section	Nature of payment	Typical rate	Threshold
194C	Payment to a contractor (including a software development contractor engaged on a works basis)	1% for individual/HUF; 2% for others	Single payment and annual aggregate thresholds apply
194J	Professional or technical services, royalty, non-compete fees	10% for professional services; a lower rate for certain technical services and for call centres	Annual threshold applies
194I	Rent	Lower rate for plant and machinery; higher rate for land, building and furniture	Annual threshold applies
194Q	Purchase of goods by a buyer above a turnover threshold	Low percentage on value above the threshold	Applies only above the prescribed buyer turnover
194H	Commission or brokerage	As prescribed	Annual threshold
195	Any sum chargeable to tax paid to a **non-resident**	Rate per the Act or the DTAA, whichever is beneficial	**No threshold.** Requires Form 15CA and, in most cases, Form 15CB from a CA
206AA	Where the payee has not furnished PAN	Higher of the specified rate or 20%	—

✕ **Rates, thresholds and sections change every Finance Act — verify at incometax.gov.in**

TDS rates and thresholds have been revised repeatedly, including significant rationalisation in recent Finance Acts, and the **Income-tax Act, 2025** takes effect from 1 April 2026 with renumbered provisions. Do not hard-code rates in your payment process. Two consequences of getting it wrong: **Section 40(a)(ia)** disallows 30% of the expense where TDS was not deducted or not paid by the return due date; and **Section 201** makes you an assessee-in-default liable for the tax, interest at 1% / 1.5% per month, and penalty. Confirm every rate with your CA before the first payment to a new vendor category.

Your ITC depends on your vendor's filings

TEXT

THE GSTR-2B RECONCILIATION - DO THIS EVERY MONTH

WHY: Under Sec. 16(2)(aa) of the CGST Act, input tax credit is available only if the invoice has been furnished by the SUPPLIER in their GSTR-1 and appears in YOUR GSTR-2B. Your vendor's non-filing becomes YOUR cash cost.

MONTHLY PROCESS

1. Download GSTR-2B from gst.gov.in (auto-generated, usually available after the 14th)
2. Export your purchase register from your accounting system
3. Match on: GSTIN + invoice number + invoice date + taxable value + tax amount
4. Categorise every difference:

   CATEGORY A - In books, NOT in 2B
      Cause: vendor has not filed GSTR-1, or filed with the wrong GSTIN, or reported it as B2C
      ACTION: email the vendor the SAME DAY with the invoice details. Withhold the GST portion of the payment if the invoice is not yet paid. DO NOT CLAIM the ITC in 3B this month.

   CATEGORY B - In 2B, NOT in books
      Cause: you have not received or recorded the invoice
      ACTION: get the invoice and book it. This is FREE MONEY you are leaving on the table - small companies routinely miss Rs 50,000-2,00,000 a year here.

   CATEGORY C - Value or tax mismatch
      ACTION: identify whether it is a rounding difference, a credit note, or an error. Correct one side.

   CATEGORY D - Blocked credit under Sec. 17(5)
      Motor vehicles (with exceptions), food and beverages, outdoor catering, health services, club memberships, rent-a-cab, works contract for immovable property, goods lost/stolen/written off, personal consumption.
      ACTION: do NOT claim. Book the GST as a cost.
      *** VERIFY the current Sec. 17(5) list - it has been amended. Note that food/beverage and health services became allowable where provision is OBLIGATORY under a law - and group health insurance for employees may qualify in some circumstances. Take advice. ***

5. Claim only what is in 2B and not blocked
6. Maintain the reconciliation as a document - it is the

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      first thing asked for in a GST audit or notice

VENDOR LEVERAGE THAT WORKS
   Add to your standard vendor terms:
   "The Vendor shall file its GSTR-1 within the prescribed time
    and shall ensure that all invoices raised on the Company are
    reflected in the Company's GSTR-2B. The Company may withhold
    an amount equal to the GST component of any invoice until
    the corresponding credit is reflected in the Company's
    GSTR-2B, and may set off against any amount payable any
    input tax credit denied to the Company on account of the
    Vendor's non-compliance, together with interest."
   This clause is standard in larger Indian companies and is
   accepted without argument by most vendors.
```

SaaS subscription sprawl

Control	How	Typical saving
Single subscription register	One sheet: tool, owner, cost, billing cycle, renewal date, number of licences, number of *active* users, business justification	Visibility alone finds 15–30% of waste
Virtual card per vendor	One card number per subscription; cancelling the card cancels the renewal	Eliminates zombie renewals
Quarterly usage review	Pull seat utilisation from each tool; downgrade or remove unused seats	10–25% of licence spend
Annual over monthly	Annual billing typically saves 15–20%, but only for tools you are certain about	15–20% on committed tools
Renewal calendar with a 45-day warning	Negotiate before auto-renewal, not after	10–30% at renewal
GST invoice in the company's name	Register your GSTIN with every vendor, including foreign SaaS where they support it	18% of the Indian-vendor spend
Offboarding step	Every exit must remove the person from every paid tool	Prevents paying for departed employees for months

⚠ **GST on imported services — reverse charge**

When you buy services from a supplier located outside India (AWS from a foreign entity, a US SaaS tool, an overseas contractor), GST is generally payable by **you** under the **reverse charge mechanism**. You pay it in cash and then claim it as input tax credit in the same or a later period, subject to eligibility. Many small companies simply never account for this and then face a demand with interest. Build a monthly import-of-services register. Also check the applicability of the **equalisation levy** and TDS under **Section 195** on such payments, and whether **Form 15CA/15CB** is required. Verify all of this with your CA — it is one of the most commonly missed areas.

Office, Assets and IT

Where you work, what you own and how you secure it become contractual obligations the moment you sign an enterprise customer. The security questionnaire they send is a list of controls, and you can either have them or lose the deal.

Registered office versus operating office

	Registered office	Operating office
What it is	The address on record with the MCA where statutory notices are served; must be capable of receiving communication	Where people actually work
Legal requirement	Mandatory from incorporation (Section 12, Companies Act 2013); the company's name and address must be displayed outside, and on letterheads and invoices	None, but the state where you operate drives Shops & Establishments, professional tax and GST registration
Changing it	Within the same city: board resolution + **Form INC-22**. To another city/state: additional approvals including, for an inter-state change, Regional Director approval. Verify the current procedure at **mca.gov.in**	Update your Shops & Establishments registration and GST additional place of business
Can it be a home?	Yes, with a No Objection Certificate from the owner and a utility bill	Subject to local municipal rules on commercial use of residential property
Can it be a coworking space?	Yes, if the operator provides an NOC and a valid address proof. Many do; some charge for it	—

Coworking versus a lease

Dimension	Coworking	Direct lease
Cost per seat per month	₹7,000–₹22,000 depending on city and operator	₹4,000–₹12,000 equivalent once fit-out and operating costs are amortised
Commitment	1–12 months typical	3–9 years with a lock-in
Upfront cash	1–2 months' deposit	**6–10 months' rent as deposit** plus fit-out of ₹1,200–₹3,500 per sq ft
Includes	Internet, electricity, housekeeping, meeting rooms, reception, pantry	Nothing — all separately contracted and managed
Scaling	Add or drop seats monthly	Fixed; you pay for empty desks
GST input credit	Available on the coworking invoice	Available on rent; **blocked under Section 17(5) on works contract and construction for immovable property** — your fit-out GST is largely a sunk cost
Break-even	—	A direct lease typically beats coworking above roughly **35–50 seats** with a 3+ year horizon

Lease clauses to negotiate

1. **Lock-in period**
   Market is 12–36 months. You are liable for the full lock-in rent even if you leave. Negotiate the shortest lock-in and a right to assign or sublet to a reputable assignee with consent not unreasonably withheld.

2. **Security deposit**
   Often 6–10 months in Indian commercial leases. Negotiate down to 3–6 and insist on **interest-free refundable within 30 days** of handover, with a right to adjust the last months' rent against the deposit if it is not refunded.

3. **Escalation**
   Typically 5% annually or 15% every three years. Push for 5% every two years, or a cap.

4. **Rent-free fit-out period**

Ask for 45–90 days of rent-free time to complete fit-out. On a ₹5 lakh monthly rent, 60 days is ₹10 lakh.

5 **Maintenance charges (CAM)**
Get the rate per sq ft fixed with a cap on annual increase, and a list of what it includes. Open-ended CAM is a recurring surprise.

6 **What is chargeable area**
Indian leases charge on
super built-up
area with a loading of 25–45% over carpet area. Confirm the carpet area and the loading factor in writing; the effective rate per usable square foot is what matters.

7 **Exit and notice**
A right to terminate after the lock-in on 3–6 months' notice. Without it you are committed for the full term.

8 **Fit-out restoration**
Landlords often require restoration to bare shell at exit, which can cost ₹300–₹800 per sq ft. Negotiate "hand over in as-is condition, normal wear and tear excepted" or agree a fixed restoration sum upfront.

9 **Power backup, parking, air-conditioning hours**
Specify the DG backup capacity, the number of parking slots, and the HVAC operating hours — extended hours are usually chargeable.

10 **Registration and stamp duty**
A lease over 11 months generally requires registration under the Registration Act, 1908. Stamp duty and registration charges are state-specific and significant; agree who pays, in writing.

11 **Force majeure and interruption**
Post-2020, negotiate rent abatement if the premises are unusable for reasons beyond your control.

Asset register and depreciation

TEXT

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FIXED ASSET REGISTER - MINIMUM FIELDS

Asset ID | Description | Serial no. | Category | Vendor |
Invoice no. | Purchase date | Cost (excl. GST) | GST (ITC
claimed Y/N) | Useful life | Depreciation method | Accumulated
depreciation | Net book value | Location | Assigned to |
Condition | Insured Y/N | Disposal date | Disposal value

TWO SETS OF DEPRECIATION - YOU NEED BOTH
  COMPANIES ACT, 2013 (Schedule II) - for the financial
  statements. Based on USEFUL LIFE. Indicative useful lives:
     Computers and data processing units     3 years
     Servers and networks                    6 years
     Office equipment                        5 years
     Furniture and fittings                 10 years
     Electrical installations               10 years
     Intangibles (software)      amortised over useful life
  Residual value is commonly taken at 5% of cost.
  *** VERIFY Schedule II at mca.gov.in - lives are prescribed
      and the company must justify any departure. ***

  INCOME-TAX ACT, 1961 (Sec. 32 + Rule 5) - for the tax
  computation. Based on the WRITTEN DOWN VALUE method on
  BLOCKS OF ASSETS. Indicative rates:
     Computers and software                 40%
     Furniture and fittings                 10%
     Plant and machinery (general)          15%
  *** VERIFY current rates at incometax.gov.in. The 2025 Act
      may renumber these provisions. ***
  HALF-YEAR RULE: an asset put to use for LESS THAN 180 DAYS
  in the year gets HALF the normal depreciation that year.
  -> Buying laptops in February instead of September halves
     your first-year tax depreciation. Plan capex accordingly.

WORKED - Rs 1,80,000 laptop bought 10 July 2025
  COMPANIES ACT (SLM, 3-year life, 5% residual)
     Depreciable amount = 1,80,000 - 9,000 = 1,71,000
     Annual = 57,000 ; FY25-26 (265 days) = Rs 41,384
  INCOME TAX (WDV, 40%, used > 180 days)
     FY25-26 = 1,80,000 x 40%            = Rs 72,000
     WDV carried forward                 = Rs 1,08,000
  The difference between the two creates a DEFERRED TAX
  item. Your auditor will compute it; you should know why
  it exists.

PHYSICAL VERIFICATION
  Count every asset at least annually, tag them with an asset
  ID sticker, and reconcile to the register. Your auditor will
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ask for the verification report. For a distributed team,
require a photo of the asset tag during the annual exercise.
```

Laptops, BYOD and device management

Policy area	Recommended position for a software company
Company device vs BYOD	**Company-issued devices only** for anyone touching code, customer data or production. BYOD acceptable for phones with a containerised work profile
Refresh cycle	3 years, matching the Schedule II useful life. Budget ₹1.2–2 lakh per engineer
Full disk encryption	Mandatory. FileVault on macOS, BitLocker on Windows, LUKS on Linux. **Record that it is enabled** — security questionnaires ask
MDM / endpoint management	Jamf, Kandji, Microsoft Intune, Hexnode or similar. Enables remote wipe, patch enforcement, screen-lock policy and compliance reporting
Password manager and SSO	Company-wide password manager plus SSO for everything that supports it. Mandatory MFA
Local data	No customer personal data stored locally; work only in approved cloud workspaces
Removable media	Blocked by policy and, where possible, by MDM
Asset return on exit	Signed handover checklist; recovery of the net book value from F&F where the device is not returned, with the policy stating this in advance
Lost or stolen device	Report within 4 hours; remote wipe; FIR where required; assess whether it is a reportable personal data breach under the DPDP Act

The information security baseline customers will ask for

TEXT

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VENDOR SECURITY QUESTIONNAIRE - WHAT YOU WILL BE ASKED,
AND THE MINIMUM CREDIBLE ANSWER FOR A 20-PERSON COMPANY

GOVERNANCE
  [ ] A written Information Security Policy, approved by the
      Board, reviewed annually
  [ ] A named person accountable for security (can be a founder)
  [ ] Annual security awareness training for all staff, with
      completion records
  [ ] Background verification for all employees
  [ ] Signed confidentiality and acceptable-use agreements

ACCESS CONTROL
  [ ] SSO with mandatory MFA for all company systems
  [ ] Role-based access, least privilege, documented
  [ ] Quarterly access review with evidence
  [ ] Joiner / mover / leaver process with same-day revocation
  [ ] Privileged access to production restricted, logged, and
      separate from day-to-day accounts
  [ ] No shared accounts; no credentials in code or chat

DATA
  [ ] Encryption in transit (TLS 1.2+) and at rest (AES-256)
  [ ] Data classification scheme and a retention schedule
  [ ] Backups: frequency, retention, encryption, and a
      DOCUMENTED RESTORE TEST at least quarterly
  [ ] Secure deletion procedure
  [ ] Data residency: where customer data physically sits

APPLICATION AND INFRASTRUCTURE
  [ ] Secure SDLC: code review required, no direct commits to
      main, secrets scanning, dependency scanning
  [ ] Separate dev / staging / production environments
  [ ] Infrastructure as code with change history
  [ ] Logging and monitoring with alerting
  [ ] Annual third-party VAPT (vulnerability assessment and
      penetration test) with a remediation report
      - costs roughly Rs 1,00,000-4,00,000 for a typical web
        application and API

INCIDENT AND CONTINUITY
  [ ] Documented incident response plan with roles and
      escalation
  [ ] CERT-In incident reporting obligations understood and
      built into the plan - VERIFY the current CERT-In
      directions, including the reporting timeline and the
      log retention requirement, at cert-in.org.in
  [ ] Business continuity and disaster recovery plan with an
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      RTO and RPO, tested annually
  [ ] Breach notification process under the DPDP Act

THIRD PARTIES
  [ ] Sub-processor list maintained and published
  [ ] Data Processing Agreements with every processor
  [ ] Vendor risk assessment for anyone touching customer data

CERTIFICATIONS - WHEN THEY BECOME NECESSARY
  SOC 2 Type II   : typically demanded by US enterprise buyers.
                    Rs 15-40 lakh for the first year including
                    readiness, tooling and the audit; 6-12
                    months of effort.
  ISO/IEC 27001   : more common for EU and Indian enterprise.
                    Rs 5-15 lakh for a small company.
  DO NOT START EITHER until a real deal depends on it. Until
  then, a well-written security policy pack plus a recent VAPT
  report clears most mid-market questionnaires.
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Data Protection and the DPDP Act, 2023

India now has a comprehensive personal data protection law. The Digital Personal Data Protection Act, 2023 was passed in August 2023, the Rules were notified in late 2025 with phased compliance deadlines, and it applies to any company processing digital personal data in India — including a ten-person startup processing employee and customer data.

✕ **Verify the Rules, the phase-in timeline and every obligation at meity.gov.in**
The DPDP Rules were notified in **late 2025** with **phased commencement**: some provisions on notification, others after defined periods. The Data Protection Board of India is being constituted. Penalty amounts, the Significant Data Fiduciary criteria, the consent manager framework and the cross-border transfer restrictions are all set by the Act and the Rules and may be further specified by notification. **Confirm the current status and your applicable deadline before building your compliance programme.** This section describes the framework, not a legal opinion.

The vocabulary

Term	Meaning	You are usually…
Data Principal	The individual to whom the personal data relates	Your employees, your customers' end users, your website visitors
Data Fiduciary	Any person who, alone or with others, determines the purpose and means of processing	**You**, for your own employee and customer data
Data Processor	Any person who processes personal data on behalf of a Data Fiduciary	**You**, when you process your enterprise customer's data under their instructions
Significant Data Fiduciary	A Data Fiduciary notified by the Central Government based on volume and sensitivity of data, risk to data principal rights, electoral democracy, security of the State and public order	Unlikely for a small company, but check the notified criteria
Consent Manager	A registered entity enabling data principals to give, manage, review and withdraw consent through an interoperable platform	Not you, unless you register as one

What the Act actually requires

1. **Notice**
   Before or at the time of seeking consent, give a clear notice in plain language stating the personal data to be processed, the purpose, how to exercise rights, and how to complain to the Data Protection Board. The notice must be available in English and in the languages specified in the Eighth Schedule to the Constitution — verify the current requirement.

2. **Consent**
   Must be free, specific, informed, unconditional and unambiguous, with a clear affirmative action, and limited to the data necessary for the specified purpose. Pre-ticked boxes and bundled consent do not work.
   Consent must be as easy to withdraw as to give.

3. **Legitimate uses**
   Certain processing is permitted without consent, including where the data principal voluntarily provides data for a specified purpose, for employment purposes, for compliance with law, for

medical emergencies and for specified State functions.
The employment-related legitimate use is the provision most relevant to a small company's HR data.
Verify its exact scope.

4 **Purpose limitation and data minimisation**
Process only for the stated purpose, only the data necessary, and
erase it
when the purpose is served or consent is withdrawn, unless retention is required by law.

5 **Accuracy and security**
Ensure completeness and accuracy where the data is used to make a decision affecting the principal or is disclosed to another fiduciary. Implement reasonable security safeguards.

6 **Data principal rights**
Access to a summary of personal data processed and processing activities; correction, completion, updating and erasure; grievance redressal through the fiduciary before approaching the Board; and nomination of a person to exercise rights in the event of death or incapacity.

7 **Breach notification**
Notify
both
the Data Protection Board and
each affected data principal
of a personal data breach, in the form and manner and within the timeline prescribed by the Rules. Verify the current timeline.

8 **Children's data**
For a data principal below 18 years, obtain
verifiable consent of the parent or lawful guardian
, and do not undertake tracking, behavioural monitoring or targeted advertising directed at children. Certain classes of fiduciaries and purposes may be exempted by notification.

9 **Significant Data Fiduciary obligations**
If notified as one: appoint a
Data Protection Officer based in India
who reports to the board or governing body, appoint an independent data auditor, and conduct periodic Data Protection Impact Assessments and audits.

10 **Cross-border transfer**
Transfer outside India is permitted except to countries restricted by the Central Government by notification. Sectoral laws imposing stricter localisation (for example RBI's payment data storage

direction) continue to apply.

11 **Grievance redressal**

Publish the contact details of the Data Protection Officer or a designated person who can answer questions about processing.

⚠ **Penalties**

The Act provides for significant financial penalties imposed by the Data Protection Board, including for failure to take reasonable security safeguards to prevent a breach and for failure to notify a breach. The maximum penalties specified in the Schedule to the Act run to very large amounts relative to a small company's balance sheet. **Verify the current Schedule and the Board's constitution and procedure at meity.gov.in.** There is also a penalty for a data principal who files a false or frivolous complaint.

A practical compliance roadmap for a small company

TEXT

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DPDP COMPLIANCE - 90-DAY ROADMAP FOR A 10-40 PERSON COMPANY

WEEKS 1-3  DISCOVER
  [ ] Build a RECORD OF PROCESSING ACTIVITIES (RoPA). For each
      system, record:
         What personal data | Of whom | Why | Legal basis |
         Where stored | Who can access | Retention period |
         Shared with whom | Transferred outside India?
  [ ] Typical inventory for a software company:
         HR          : candidate CVs, BGV reports, employee
                       KYC, PAN, Aadhaar, bank, salary,
                       medical claims, performance records
         Customers   : contact details, billing data, support
                       tickets, usage logs
         Product     : END-USER data belonging to your
                       customers - YOU ARE A PROCESSOR here
         Marketing   : website analytics, cookies, newsletter
                       lists, CRM
         Vendors     : contractor PAN, bank, contact details
  [ ] Classify: which data is yours as Fiduciary, which is
      your customer's where you are a Processor

WEEKS 4-6  DECIDE AND DOCUMENT
  [ ] Determine the lawful basis for each processing activity.
      Employment data generally relies on the employment
      legitimate use rather than consent - VERIFY the scope.
  [ ] Write and publish:
         - Privacy Notice (website, product, in plain language)
         - Employee Privacy Notice (separate; issue at joining)
         - Cookie notice and consent mechanism
         - Data Retention Schedule
         - Data Principal Rights Request procedure with an SLA
         - Personal Data Breach Response Plan
  [ ] Name a Data Protection contact and publish the email
      (e.g. privacy@yourcompany.in)

WEEKS 7-9  CONTRACT AND CONTROL
  [ ] Execute DATA PROCESSING AGREEMENTS with every processor:
      cloud, analytics, email, CRM, payroll, BGV vendor,
      support desk, and any contractor touching personal data
  [ ] Publish a SUB-PROCESSOR LIST and a notification process
      for changes
  [ ] Apply technical controls: encryption, access control,
      logging, MFA, retention/deletion automation
  [ ] Update the employment contract and the handbook with
      data protection obligations
  [ ] Train every employee; record completion
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WEEKS 10–12  OPERATE
  [ ] Run a test data-principal access request end to end and
      time it
  [ ] Run a tabletop breach exercise: who is called, who
      decides, who notifies the Board, who notifies principals,
      within what timeline
  [ ] Set a calendar: annual policy review, quarterly access
      review, annual training, retention purge
  [ ] Maintain a BREACH REGISTER even for incidents you judge
      non-notifiable, with the reasoning recorded

ONGOING
  [ ] Privacy-by-design review for every new feature that
      touches personal data
  [ ] DPA before onboarding every new vendor
  [ ] Review the Rules and notifications as further phases
      commence
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DPDP and GDPR — the interaction when you serve EU clients

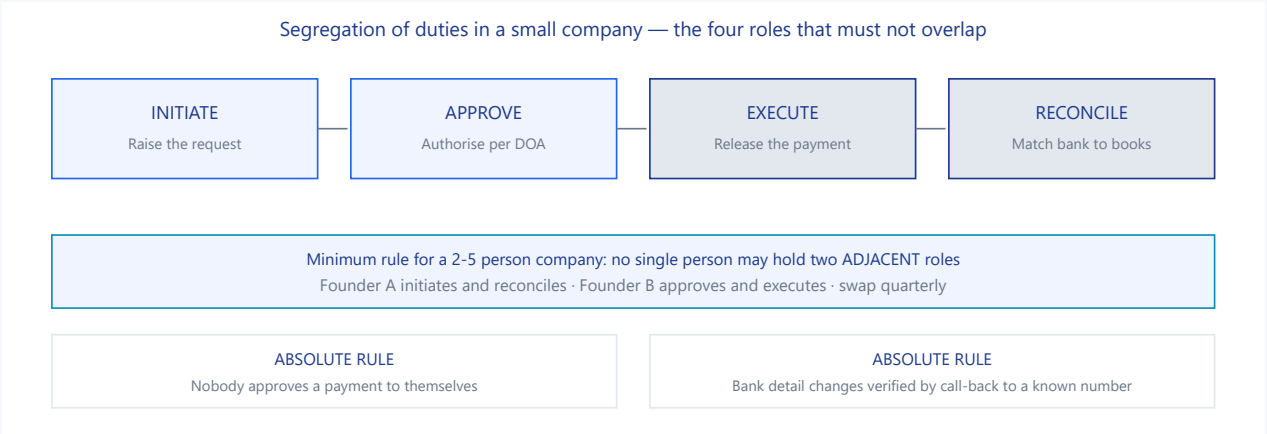
Dimension	DPDP Act, 2023 (India)	GDPR (EU)
Scope	Digital personal data processed in India, and processing outside India in connection with offering goods or services to data principals in India	Processing of personal data of individuals in the EU, including by controllers/processors outside the EU offering goods or services to or monitoring them
Lawful bases	Consent and specified **legitimate uses** — a narrower, enumerated list	Six bases including **legitimate interests**, which is broader and requires a balancing test
Special categories	No separate category of sensitive personal data in the Act	Article 9 special categories with additional conditions
Data principal / subject rights	Access to a summary, correction, erasure, grievance redressal, nomination	Access, rectification, erasure, restriction, **portability**, objection, rights related to automated decision-making
Breach notification	To the Board and to **every affected principal**, per the Rules	To the supervisory authority within 72 hours; to data subjects only where high risk
DPO	Mandatory only for a Significant Data Fiduciary; must be based in India	Mandatory in specified cases
Cross-border transfer	Permitted except to restricted countries notified by the Government	Requires an adequacy decision, Standard Contractual Clauses, BCRs or a derogation
Penalties	Financial penalties under the Schedule to the Act	Up to the higher of €20 million or 4% of global annual turnover

✦ **Build to the stricter standard once**

If you serve EU customers, build your programme to GDPR and you will largely satisfy DPDP, with three India-specific additions: (1) breach notification to **every affected data principal**, which GDPR requires only for high-risk breaches; (2) the **notice in multiple Indian languages** requirement as specified in the Rules; and (3) **verifiable parental consent** for anyone under 18, where GDPR's threshold is 13–16 depending on the member state. Running two parallel programmes in a small company is not sustainable. Run one, built to the higher bar, with a mapping document showing how it satisfies each law.

Risk, Continuity and Fraud

In a ten-person company, one person often raises the invoice, approves the payment, releases it and reconciles the bank. That is not a control environment; it is a trust arrangement. Trust is necessary but it is not a control, and the frauds below are all committed against companies whose founders would have said "that could never happen here".



Segregation of duties scaled down to a company that cannot afford four finance people.

The frauds that actually happen to Indian small companies

Fraud	How it works	The control that stops it
Business email compromise / invoice interception	An attacker compromises or spoofs a vendor's email, sends a "we have changed our bank account" message with a genuine-looking invoice, and your finance person updates the beneficiary. Typical Indian loss: ₹3–40 lakh	**Call-back verification to a phone number already on file** — never a number in the email. Mandatory two-person approval for any beneficiary bank change. A 24-hour cooling-off on new beneficiaries
CEO fraud / urgent transfer	A WhatsApp message or email purporting to be from the founder: "I'm in a meeting, urgently transfer ₹4.8 lakh to this account for a vendor advance, will explain later"	A standing rule, stated to every employee at onboarding: **no payment is ever requested over chat, and no payment is ever urgent enough to skip approval.** Verify by calling the founder
Fake vendor	An employee creates a vendor that does not exist, with their own or a relative's bank account, and raises small invoices for "consulting" or "maintenance"	Vendor master onboarding separated from payment approval. Annual vendor master review. Check for vendors sharing a bank account, address or phone number with an employee
Payroll ghost	An employee who left remains on payroll, or a fictitious employee is added, with the bank account redirected	Monthly headcount reconciliation (opening + joiners − leavers = closing) signed by someone outside payroll. Flag any duplicate bank account across the payroll file
Expense claim inflation	Edited invoices, duplicate submissions across months, personal expenses claimed as business	Original tax invoices only; duplicate-detection on amount and date; random sampling of 10% of claims each month
UPI / OTP social engineering	A caller impersonating the bank or a customer gets an employee to approve a collect request or share an OTP	Training. A standing rule that **nobody from the bank will ever ask for an OTP**, and that UPI collect requests are never approved for incoming money

Customer payment diversion	An attacker emails *your customer* from a lookalike domain with changed bank details on your invoice	Register lookalike domains; enable SPF, DKIM and DMARC with a reject policy; put a line on every invoice: "our bank details never change; verify any change by calling +91 xxxxx"
Ransomware	Encryption of production and backups, with a demand	Offline or immutable backups; tested restores; MFA on everything; endpoint protection; least-privilege production access
Departing employee data theft	Bulk download of the customer list, codebase or designs in the notice period	Monitoring of bulk downloads; restriction of export rights; access reduction during notice period; a signed exit declaration; and the IP assignment agreement you had them sign on day one

Controls that fit a company of ten

- ☐ Maker-checker on every bank payment, with the two roles held by different people.
- ☐ No payment to a beneficiary added in the last 24 hours without a second verbal confirmation.
- ☐ Vendor bank-detail changes only on letterhead, verified by call-back to a number already on file, approved by two people, with the change logged.
- ☐ Monthly bank reconciliation performed by someone who does not release payments.
- ☐ Monthly headcount-to-payroll reconciliation signed by a founder.
- ☐ Quarterly review of the vendor master, looking for dormant vendors, shared bank accounts and address matches with employees.
- ☐ Quarterly access review across banking, cloud, repository and finance systems.
- ☐ Same-day access revocation on exit, executed from a checklist, before the farewell.
- ☐ Annual physical verification of fixed assets.
- ☐ A written delegation of authority matrix that everyone has seen.

- [ ] A no-blame reporting channel: anyone can email a founder directly about anything that looks wrong, and it will be investigated without consequence to the reporter.

- [ ] Cyber insurance with crime/funds-transfer-fraud cover, because controls fail.

Business continuity

TEXT

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BUSINESS CONTINUITY – WHAT A SMALL COMPANY ACTUALLY NEEDS

1. BACKUPS – THE 3-2-1 RULE
   3 copies of the data, on 2 different media, 1 off-site.
   For a cloud-native company:
      - Production database: automated daily snapshots,
        30-day retention, plus weekly snapshots at 12 months
      - A copy in a DIFFERENT cloud account or region, with
        separate credentials (so a compromise of one account
        does not destroy the backups)
      - Object storage with versioning and object lock /
        immutability where available
      - Code: the repository plus a periodic mirror
      - Documents: Google Workspace or M365 with retention
        policies, plus a third-party backup (native
        recycle-bin retention is NOT a backup)

   *** TEST THE RESTORE QUARTERLY. ***
   Record: date, what was restored, how long it took, whether
   the data was complete, who did it. An untested backup is a
   hypothesis, and every founder who has lost data discovered
   it at exactly the wrong moment.

2. KEY-PERSON RISK
   For each of: production access, bank access, domain
   registrar, cloud root account, code signing keys, customer
   relationships – name a PRIMARY and a BACKUP person.
   [ ] Cloud root account credentials in a shared vault with
       break-glass procedure and MFA recovery codes stored
       securely offline
   [ ] Domain registrar: company account, not a founder's
       personal account. Auto-renew ON. 2FA with recovery
       codes stored. *** Expired domains kill companies. ***
   [ ] DNS, SSL certificate renewal, and payment-method
       expiry: calendared with 30-day warnings
   [ ] Bank: at least two authorised signatories
   [ ] A documented "if I am unreachable for two weeks" note
       from each founder

3. SINGLE POINTS OF FAILURE TO ELIMINATE
   [ ] One person who knows how deployment works
   [ ] One customer above 30% of revenue
   [ ] One cloud region with no failover plan
   [ ] One bank account
   [ ] One email domain with no secondary contact method
   [ ] Documentation that lives only in someone's head

4. RTO AND RPO – decide and write them down
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   RTO (Recovery Time Objective): how long can we be down?
   RPO (Recovery Point Objective): how much data can we lose?
   For a typical B2B SaaS: RTO 4 hours, RPO 1 hour.
   Your architecture and backup frequency must match the
   numbers you promise customers in the SLA.

5. THE INCIDENT PLAYBOOK  (one page, printed, on the wall)
   DETECT    Who can declare an incident? Anyone.
             How? Post in #incidents and call the on-call.
   TRIAGE    Incident Commander named within 10 minutes.
             Severity assigned: SEV1 (customer-impacting
             outage or data breach) / SEV2 / SEV3.
   COMMUNICATE
             SEV1: status page updated within 30 minutes;
             customer email within 2 hours; hourly updates.
             Internal: a single channel, no side conversations.
   CONTAIN   Stop the bleeding before diagnosing the cause.
   ASSESS    Is personal data involved? If yes, the DPDP
             breach clock starts AND CERT-In reporting
             obligations may apply. VERIFY current CERT-In
             directions and timelines at cert-in.org.in.
   RECOVER   Restore service. Verify data integrity.
   REVIEW    Blameless post-mortem within 5 working days,
             written, with owned action items and dates.

   CONTACTS TO HAVE ON THE PRINTED PAGE
      Cloud provider support (with the support plan level)
      Cyber insurer's 24x7 incident hotline
      External forensic/IR firm (agreed in advance)
      Legal counsel
      CERT-In reporting channel
      Every founder's personal mobile number
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Scaling the Back Office

Every founder eventually asks whether to hire a finance person or keep outsourcing. The answer depends less on revenue than on transaction volume, headcount and how many hours a week the founders are spending on things a ₹60,000-a-month person could do better.

What to outsource, what to own

Function	Outsource to	Bring in-house at	Never outsource
Bookkeeping and ledger entry	CA firm or an accounting services provider	~₹5–8 crore revenue or 150+ transactions a month	—
GST returns	CA	Rarely — keep with the CA	—
TDS computation and returns	CA or payroll provider	—	—
Payroll processing	Payroll software or a provider	—	**Salary decisions**
Statutory audit	**Must be an independent auditor** appointed under Section 139	—	—
Company secretarial (MCA filings, minutes, registers)	Practising Company Secretary	~100+ people or post-Series B	—
Legal — contracts	Law firm for templates; in-house review thereafter	~₹25–50 crore revenue	**Deciding what you will and will not agree to**
Accounts receivable and collections	—	From day one	**Own it.** A third party will not chase your customers the way you will
Vendor payments and banking	—	From day one	**Never give an external party payment-release rights**
Financial planning and MIS	Virtual CFO initially	~₹10–20 crore revenue	**The decisions the MIS informs**

Professional fee ranges

Service	Micro (<₹1 Cr revenue, <10 people)	Small (₹1–5 Cr, 10–40 people)	Growing (₹5–25 Cr, 40–150 people)
Bookkeeping (monthly)	₹4,000–₹10,000	₹12,000–₹30,000	₹35,000–₹90,000
GST returns (monthly)	₹1,500–₹4,000	₹4,000–₹12,000	₹12,000–₹30,000
TDS returns (quarterly)	₹2,000–₹5,000	₹5,000–₹12,000	₹12,000–₹25,000
Payroll processing (monthly)	₹3,000–₹8,000	₹100–₹250 per employee	₹80–₹200 per employee
Statutory audit (annual)	₹20,000–₹50,000	₹60,000–₹2,00,000	₹2,50,000–₹10,00,000
Income tax return + computation	₹8,000–₹20,000	₹25,000–₹75,000	₹1,00,000–₹4,00,000
Tax audit (if applicable)	₹15,000–₹35,000	₹40,000–₹1,25,000	₹1,50,000–₹5,00,000
Company secretarial (annual retainer)	₹15,000–₹35,000	₹40,000–₹1,20,000	₹1,50,000–₹5,00,000
Virtual CFO (monthly)	—	₹40,000–₹1,25,000	₹1,50,000–₹4,00,000
Legal retainer (monthly)	—	₹25,000–₹75,000	₹1,00,000–₹3,00,000
Total annual professional fees	**₹1–2 lakh**	**₹4–12 lakh**	**₹18–60 lakh**

⚠ **Fee ranges are market observations as at early 2026 — not quotations**
Professional fees vary enormously by city, by firm tier, by complexity (foreign subsidiaries, transfer pricing, multiple GST registrations, funded-company reporting) and by relationship. A Big 4 statutory audit of a Series A company will be several multiples of the "growing" column. Always get a written engagement letter stating scope, deliverables, timelines and what is excluded.

When to hire your first finance person

Signal	Threshold
Founder hours on finance and admin	More than **8–10 hours a week** — at that point the hire pays for itself in founder time alone
Transaction volume	More than **150–200** bank and ledger transactions a month
Headcount	More than **25–30** people, where payroll, reimbursements and statutory compliance become a job
Revenue	More than **₹5–8 crore**, where the cost of errors exceeds the cost of a person
External reporting	Any institutional investor requiring monthly MIS on a deadline
Collections	More than **20–25 open invoices** at any time

TEXT

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THE HIRING SEQUENCE FOR A BACK OFFICE

STAGE 1 (0–15 people, under Rs 2 crore)
   Founder + external CA + payroll software.
   Founder time: 6–8 hours/week.
   Annual professional fees: Rs 1–2 lakh.
   WHAT BREAKS: nothing, if you are disciplined. Everything,
   if you are not.

STAGE 2 (15–40 people, Rs 2–8 crore)
   HIRE: Finance Executive / Accounts Executive
   CTC: Rs 4,50,000 – 8,00,000
   DOES: bookkeeping entry, bank reconciliation, invoicing,
         AR follow-up, expense claims, vendor payment prep,
         coordination with the CA, document filing
   KEEP OUTSOURCED: GST, TDS, audit, CS, tax planning
   Founder time drops to 2–3 hours/week.

STAGE 3 (40–100 people, Rs 8–25 crore)
   ADD: Finance Manager OR a Virtual CFO
   CTC: Rs 12,00,000 – 25,00,000  (or VCFO at Rs 1.5–4 lakh/mo)
   DOES: month-end close, MIS, budgeting, cash flow forecasting,
         pricing analysis, audit management, investor reporting
   ALSO ADD: HR Executive at ~40 people (payroll inputs,
         onboarding, policies, POSH coordination, engagement)
   CTC: Rs 5,00,000 – 9,00,000

STAGE 4 (100+ people, Rs 25 crore+)
   ADD: Controller / Head of Finance, an AR/AP executive,
        a People Manager, and often an in-house counsel
        or a Company Secretary.

THE SYSTEMS TO HAVE IN PLACE BEFORE YOU HIT 25 PEOPLE
   [ ] Cloud accounting with the audit trail enabled
   [ ] Payroll software with an employee self-service portal
   [ ] An HRMS or at least a single employee master with
       joining date, CTC, location, manager, assets, access
   [ ] An expense claim tool (or a disciplined form + policy)
   [ ] A documented approval matrix
   [ ] A contract repository with renewal dates
   [ ] A compliance calendar with named owners
   [ ] A shared drive with an enforced folder structure
   [ ] SSO with MFA across every business system
   [ ] A single subscription register
   [ ] Monthly MIS produced by day 7 without heroics
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Frequently Asked Questions

I am a two-person company. Do I really need a separate current account, or can I keep using my savings account?

You need a current account, and the reasons are practical rather than theoretical. First, a private limited company is a separate legal person — it cannot bank in your personal name at all, and mixing the two creates a director's loan, potential **Section 2(22)(e)** deemed dividend exposure where the company has accumulated profits, and a governance finding in every audit. Second, banks' terms for savings accounts restrict business transactions, and high-volume business credits into a savings account get flagged and sometimes frozen. Third, you cannot receive foreign remittances cleanly without a current account and an AD Category-I relationship that will issue FIRCs. Fourth, payment gateways will not onboard you. If you are a sole proprietor rather than a company, a current account in the trade name is still the right answer, and you will need the GST certificate or Shops & Establishments registration to open it.

My biggest client always pays at 75–90 days against Net 30 terms. What can I actually do?

Work the levers in order. **(1) Price it in.** If they are costing you 50 extra days of working capital, a 4–6% price premium on renewal is rational and defensible — say so openly. **(2) Change the billing rhythm.** Move from monthly-in-arrears to fortnightly invoicing, or to a monthly retainer billed in advance. This shifts the whole cycle forward by 20–30 days without changing their payment behaviour at all. **(3) Get Udyam registered** and put your registration number and the MSMED Act Section 15 language on every invoice. Their finance team cares, because **Section 43B(h)** means they cannot deduct your invoice as an expense in the year if they pay beyond 45 days. **(4) Find the actual bottleneck** — it is usually a specific approval step or a vendor-portal upload that nobody told you about. Ask your sponsor to walk you through their AP process. **(5) Put a suspension clause in the next contract.** It is the only clause that reliably changes behaviour. Escalate to MSME Samadhaan only if the relationship is already lost.

Can I hire someone as a "consultant" to avoid PF and ESIC?

You can hire a genuine consultant, and you cannot relabel an employee. Indian authorities apply a substance test: control over how the work is done, fixed hours, your equipment, exclusivity, integration into the team, a fixed monthly payment regardless of output, and benefits like leave all point to employment regardless of what the contract says. If an EPFO inspection, an ESIC inspection, an income tax assessment or a labour tribunal concludes that your "consultants" are employees, the liability is retrospective: both halves of the PF contribution with interest under Section 7Q and damages under Section 14B, ESIC contributions with interest, gratuity where five years of continuous service were completed, the gap between Section 194J withholding at 10% and Section 192 at slab rates, and leave and notice entitlements. On a ₹18 lakh-a-year person over three years, that is realistically ₹8–15 lakh. Genuine consultants work from their own premises, set their own hours, have other clients, invoice against deliverables, and can send a substitute. If that does not describe the person, hire them properly and build the cost into the price you charge your customers.

How much cash should a small services company keep in the bank?

A minimum of **two months of total fixed costs** — payroll, employer statutory contributions, rent, insurance, subscriptions, professional fees — as an absolute floor, and three to four months as a target. Add to that an explicit provision for the next quarter's statutory payments, which is why a separate tax reserve account matters. Then test the number against your actual working capital cycle: if you finance 78 days of delivery cost before collecting, you need roughly 2.6 months of delivery cost permanently tied up before you have any buffer at all. Two practical additions: arrange an overdraft or cash credit facility while you are profitable and do not need it, because it costs almost nothing to hold and is unobtainable in distress; and keep any surplus above four months in a sweep-in fixed deposit so it earns something while staying liquid.

Our GSTR-2B does not match our purchase register and there is a ₹2.4 lakh gap. What do I do?

Split the gap into four buckets and treat each differently. **In your books but not in 2B**: the vendor has not filed GSTR-1, filed against the wrong GSTIN, or reported it as B2C. Email them the same day with the invoice details, and **do not claim that credit in GSTR-3B** — Section 16(2)(aa) makes credit conditional on it appearing in 2B. If the invoice is unpaid, withhold the GST portion until it appears. **In 2B but not in your books**: you have not recorded an invoice. Get it and book it; this bucket is usually free money small companies leave behind. **Value mismatches**: usually a credit note, a rounding difference, or a data-entry error — identify and correct one side. **Blocked credits under Section 17(5)**: never claimable; book the GST as a cost. Then build the discipline: reconcile every month after the 14th, keep the reconciliation file as a document because it is the first thing a GST notice asks for, and add a clause to your vendor terms allowing you to withhold the GST component until the credit reflects. Verify the current Section 17(5) list and Section 16 conditions at gst.gov.in — both have been amended.

What is the minimum set of HR policies a ten-person company must actually have?

Five, and they are all enforceable obligations rather than nice-to-haves. **(1) A POSH policy with a constituted Internal Committee**, mandatory at ten or more employees, including an external member, with the IC details displayed and the annual report filed with the District Officer. **(2) An appointment letter template** containing confidentiality, IP assignment and non-solicitation — without this, your company may not own code written by your own employees. **(3) A leave policy** that meets or exceeds your state's Shops and Establishments Act entitlements. **(4) An information security and acceptable use policy**, because every enterprise customer's vendor onboarding asks for it. **(5) A privacy notice and data protection policy** under the DPDP Act, covering both employee and customer data. Everything else — performance management, travel, remote work — can start as a page in a handbook and grow. Note that the four Labour Codes brought into force in late 2025 change several underlying entitlements and the state rules are still landing; have a labour-law consultant review your policy pack against your state's current rules.

Group health insurance is quoting ₹9,000 per employee. Is that reasonable, and what should I check?

₹9,000 per employee for a ₹5 lakh family floater is in the normal range for a small Indian company in early 2026, but the premium tells you very little — the wording decides whether claims actually pay. Check six things. **(1) Are all waiting periods waived**, including the 30-day initial, the specified-ailment waiting and the pre-existing disease waiting? If not, the policy is much cheaper and much worse. **(2) Is there a room rent cap?** A "1% of sum insured per day" cap on ₹5 lakh is ₹5,000 a day, and exceeding it triggers a **proportionate deduction on the entire bill** — a ₹3 lakh claim can settle at ₹1.8 lakh. **(3) Is there a co-pay? (4) Is maternity covered, with what sub-limit, and is the waiting period waived?** This is the most frequently used benefit in a young workforce. **(5) Who is the TPA and what is their claim turnaround?** Ask other founders. **(6) What is the monthly cut-off for adding joiners?** Go through an IRDAI-registered broker and get three quotes with the wordings side by side; the broker costs you nothing.

I want to give employees a laptop allowance instead of buying laptops. Is that better?

Usually not, for three reasons. **Tax**: a cash allowance is fully taxable salary in the employee's hands, so a ₹1.5 lakh allowance costs the employee ₹45,000–₹58,000 in tax at higher slabs, while a company-provided laptop used for work is not a taxable perquisite. **GST and depreciation**: when the company buys, the invoice is in the company's name so you claim the input tax credit (18% on ₹1.5 lakh is ₹27,000) and you depreciate the asset at 40% WDV for tax purposes. With an allowance you get neither. **Security and control**: you cannot mandate full-disk encryption, MDM enrolment, patching or remote wipe on a device you do not own, and you cannot credibly answer an enterprise customer's security questionnaire. The combined value of the ITC and the employee's tax saving usually exceeds the administrative cost of owning the asset. Buy the laptops, put them in the fixed asset register, and keep a signed asset handover and return checklist.

We received a GST notice. What do I do first?

Do four things in order and do not ignore it. **(1) Diarise the deadline immediately.** Most GST notices carry a short response window — sometimes 7, 15 or 30 days — and an unanswered notice escalates to a best-judgment assessment under Section 62 or a demand under Sections 73/74, which is far harder and more expensive to unwind. **(2) Identify exactly which notice it is** and what it is about: ASMT-10 is a scrutiny of returns, DRC-01A is a pre-show-cause intimation, DRC-01 is a show cause notice, REG-17 is a cancellation notice, GSTR-3A is for non-filing. The form number tells you the gravity and the route. **(3) Send it to your CA the same day** with the underlying data — the relevant returns, the reconciliation, the invoices. **(4) Respond on the portal within the deadline**, in writing, with documents attached, even if the response is a request for extension. Separately, understand the root cause, because the same notice will recur next year otherwise: the three most common triggers for small companies are a GSTR-1 versus GSTR-3B mismatch, an ITC claim exceeding GSTR-2B, and a GSTR-3B versus e-way bill or e-invoice mismatch.

An employee resigned and is asking for their PF. What is my obligation?

Your obligation is to update their **date of exit** in the EPFO employer portal, and to do it promptly. Until the exit date is marked, the employee cannot withdraw or transfer their balance, and this is one of the most common reasons ex-employees chase former employers for years. The withdrawal or

transfer itself is the employee's own action through the EPFO member portal using their UAN, with KYC (Aadhaar, PAN, bank account) seeded and verified. They can either transfer the balance to the new employer's account — which is the better option for them, since continuity of service matters for pension eligibility — or withdraw, subject to the withdrawal rules and the tax treatment, which depends on the period of continuous service. Also complete: ESIC exit update, deletion from the group insurance policy with the end date communicated to them, Form 16 for the year at the usual time, and the relieving and experience letters. Verify the current EPFO process and any changes to the exit-marking requirement at **epfindia.gov.in**.

Does the DPDP Act really apply to a ten-person startup?

Yes. The Act applies to the processing of digital personal data within India, and to processing outside India in connection with offering goods or services to data principals in India. A ten-person company processes employee KYC, PAN, Aadhaar, bank and salary data; candidate CVs and background verification reports; customer contact and billing data; and support tickets. That is all personal data and you are the Data Fiduciary for it. Separately, if you build software that handles your customers' end-user data, you are a Data Processor for that and your customer will require a Data Processing Agreement. The practical minimum for a small company: a record of processing activities, a published privacy notice, an employee privacy notice, a data retention schedule, DPAs with every vendor that touches personal data, a process for responding to data principal requests, a breach response plan, and annual training. The Rules were notified in late 2025 with **phased deadlines**, so confirm which phase applies to you at **meity.gov.in**. Small companies are not exempt; they are simply less likely to be notified as Significant Data Fiduciaries, which is a separate and heavier tier.

Should I use a neobank like RazorpayX or Open as my main business account?

Use one for workflow, not as your banking relationship. These platforms provide genuinely excellent payouts, approval chains, payroll integration and auto-reconciliation, and they will save you real hours each month. But they are not RBI-licensed banks — they sit on top of a partner bank's current account or a prepaid instrument, and several Indian fintech platforms have had to re-architect or suspend services following RBI directions on prepaid instruments and on specific partner banks. The practical approach: keep your primary current account and your main balance with a scheduled commercial bank where you also have the forex desk relationship, retain and periodically use the underlying net banking credentials, and use the neobank layer for vendor payouts and payroll workflow. Keep enough in the bank account that a disruption at the platform layer is an inconvenience rather than a crisis, and make sure at least two people know how to make a payment directly from the bank's own net banking.

What is the real annual cost of running compliance for a 25-person company?

Budget **₹5–10 lakh a year** all in, excluding internal staff. A realistic breakdown for a ₹4 crore revenue, 25-person services company in early 2026: bookkeeping ₹2.4–3.6 lakh; GST returns ₹0.8–1.2 lakh; TDS returns ₹0.3–0.5 lakh; payroll processing ₹0.4–0.7 lakh; statutory audit ₹0.8–1.5 lakh; income tax return and computation plus tax audit if applicable ₹0.6–1.5 lakh; company secretarial retainer covering AOC-4, MGT-7, ADT-1, DIR-3 KYC, DPT-3, MSME-1, board and general meeting documentation ₹0.5–1

lakh; POSH external member and training ₹0.3–0.6 lakh; insurance ₹2–3.5 lakh depending on which policies you carry. On top of that, software: accounting, payroll, expense and document management typically ₹1.5–3 lakh. The number that matters more is **founder time** — if you are spending more than eight hours a week on this, a ₹6 lakh finance executive is cheaper than your attention.

How do I stop subscription spend from quietly growing 40% a year?

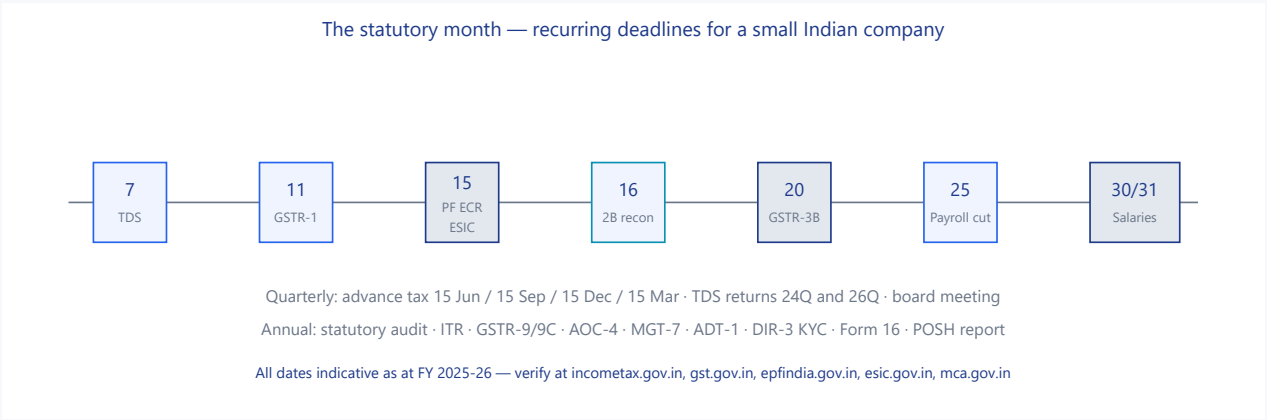
Four controls, in order of effectiveness. **(1) One register, one owner.** A single sheet listing every subscription with the tool, the internal owner, the cost, the billing cycle, the renewal date, licences purchased and licences *actually active*. Visibility alone typically surfaces 15–30% of waste. **(2) A virtual card per vendor.** Cancelling the card cancels the renewal, which removes the "we forgot to cancel and it auto-renewed for a year" problem entirely. **(3) A 45-day renewal warning on the calendar**, because every SaaS vendor will negotiate before renewal and none will refund after. **(4) A quarterly usage review** where each owner pulls active-seat data and justifies the licence count. Add two process rules: every new subscription requires approval per the delegation matrix with a named owner, and every employee exit triggers removal from every paid tool as a checklist item. Also register the company's GSTIN with every Indian vendor so you are claiming input tax credit — on ₹10 lakh of annual Indian SaaS spend that is ₹1.8 lakh you are otherwise donating.

We are about to sign our first enterprise customer and they have sent a 140-question security questionnaire. What is the fastest credible path?

Do not start a SOC 2 programme. For a first enterprise deal, the fastest credible path is a documented control set plus one piece of third-party evidence. **Within two weeks**: write and have the board approve an Information Security Policy, an Access Control Policy, an Incident Response Plan, a Backup and Recovery Procedure, and a Data Retention Schedule. Turn on SSO with mandatory MFA everywhere, enable full-disk encryption on every laptop with evidence, document a quarterly access review and actually run one, and complete a documented restore test from backup. **Within four to six weeks**: commission a third-party VAPT on your application and API — typically ₹1–4 lakh — and produce the report together with a remediation plan showing the high and critical findings closed. Sign DPAs with your sub-processors and publish the sub-processor list. That package clears the large majority of mid-market and many enterprise questionnaires. Start SOC 2 Type II or ISO 27001 only when a specific deal is explicitly blocked on it, because the first year costs ₹15–40 lakh and 6–12 months for SOC 2, or ₹5–15 lakh for ISO 27001 at small scale.

The Operating Calendar and New-Company Setup Checklist

Two artefacts to close with. The calendar goes into a shared company calendar with a named owner and a three-day warning on every entry. The setup checklist is what you work through in the first ninety days of operating.



The recurring statutory month. Put every box in a shared calendar with a named owner.

The operating calendar

TEXT

OPERATING CALENDAR - ALL DUE DATES MUST BE VERIFIED CURRENTLY

WEEKLY (every Monday)

- [ ] Bank reconciliation - all accounts, to zero unreconciled
- [ ] Cash position and 13-week forecast refreshed
- [ ] AR ageing reviewed; dunning actions triggered
- [ ] Invoices raised for anything delivered last week
- [ ] Payment run prepared (maker) and approved (checker)
- [ ] Pipeline review
- [ ] Leadership one-on-ones

MONTHLY

Day 1-5	Month-end close transactions and accruals
Day 7	TDS deposit for the previous month (Challan 281)
Day 10-11	GSTR-1 filed
Day 14-16	GSTR-2B downloaded and RECONCILED
Day 15	PF ECR filed and paid; ESIC contribution paid
Day 15-20	Professional tax paid per state rule
Day 20	GSTR-3B filed and tax paid
Day 7	MIS pack circulated (P&L, BS, cash flow, AR, metrics)
Day 25	Payroll inputs cut off; payroll computed and reviewed
Day 28-31	Salaries disbursed; payslips issued
Any day	Investor update email (same date every month)
Any day	Subscription register reviewed for new additions

QUARTERLY

15 Jun / 15 Sep / 15 Dec / 15 Mar

- [ ] Advance tax instalment paid

By the prescribed date after each quarter

- [ ] Form 24Q (salary TDS return) filed
- [ ] Form 26Q (non-salary TDS return) filed
- [ ] Form 26AS / TRACES checked for defaults; corrected

Within the quarter

- [ ] Board meeting held, pack circulated 72 hours ahead, minutes recorded within 30 days
- [ ] Budget re-forecast
- [ ] Access review across banking, cloud, repo, finance tools
- [ ] Backup RESTORE TEST documented
- [ ] Vendor master review
- [ ] Subscription usage review and licence right-sizing
- [ ] Insurance claims and headcount additions reconciled

HALF-YEARLY

- [ ] Form MSME-1 to MCA - outstanding payments to micro and small enterprises beyond 45 days (historically due 31 October and 30 April - VERIFY)
- [ ] ESIC return where applicable
- [ ] Labour Welfare Fund contribution per state

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═══════════════════ ANNUAL (financial year ending 31 March) ═══
  Jan – Feb
     [ ] Collect investment PROOFS from employees; recompute TDS
     [ ] Next-year budget and annual operating plan drafted
     [ ] Appraisal cycle planned
  March
     [ ] 15 Mar – final advance tax instalment
     [ ] Year-end cut-off: raise all invoices, book all bills
     [ ] Physical verification of fixed assets
     [ ] Confirm balances with major customers and vendors
     [ ] Review and clear the suspense account
     [ ] Decide on provisions: doubtful debts, gratuity, leave
  April
     [ ] 30 Apr – TDS deposit for March (VERIFY)
     [ ] New financial year: fresh invoice series starting 001
     [ ] Fresh tax regime declarations from every employee
     [ ] Statutory registers updated
     [ ] Insurance renewals initiated (45 days before expiry)
  May – July
     [ ] Statutory audit conducted; financials signed
     [ ] Form 16 issued to employees (commonly by 15 June)
     [ ] 15 Jun – first advance tax instalment
     [ ] FLA return to RBI by 15 July if any foreign investment
     [ ] Income tax return filed within the Sec. 139(1) due date
         *** FILING LATE FORFEITS LOSS CARRY-FORWARD ***
     [ ] Tax audit report (3CA/3CD) if applicable
     [ ] Annual General Meeting held within 6 months of year end
  September – November
     [ ] 30 Sep – DIR-3 KYC for every director (VERIFY)
     [ ] AOC-4 (financial statements) within 30 days of the AGM
     [ ] MGT-7 / MGT-7A (annual return) within 60 days of the AGM
     [ ] ADT-1 (auditor appointment) where applicable
     [ ] GSTR-9 annual return and GSTR-9C reconciliation
         statement where applicable (VERIFY thresholds and
         due date)
     [ ] DPT-3 (return of deposits / exempted receipts) –
         historically by 30 June (VERIFY)
  Any time in the year
     [ ] POSH annual report to the District Officer
     [ ] POSH and security awareness training for all staff
     [ ] Policy review: handbook, leave, IT, privacy, expense
     [ ] Data retention purge per the retention schedule
     [ ] Actuarial valuation of gratuity (once above ~20 people)
     [ ] DPDP: review notices, DPAs, sub-processor list, RoPA
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New-company operations setup checklist

WEEK 1–2: BANKING AND IDENTITY

- ☐ Board resolution for the bank account, naming signatories and the mode of operation with monetary limits.
- ☐ Current account opened; net banking with maker-checker configured; bulk payment facility enabled.
- ☐ Separate tax reserve account and payroll account opened.
- ☐ Corporate card or virtual cards arranged; founders' personal cards removed from company subscriptions.
- ☐ Company GSTIN registered with every SaaS vendor and travel platform.
- ☐ Email domain configured with SPF, DKIM and DMARC; lookalike domains registered.
- ☐ Domain registrar and cloud root accounts held in company accounts with MFA and stored recovery codes.

WEEK 2–4: FINANCE FOUNDATION

- ☐ Accounting software selected, chart of accounts set up, **audit trail feature verified as enabled**.
- ☐ Invoice template built and checked against Rule 46 of the CGST Rules; invoice series defined for the financial year.
- ☐ E-invoicing applicability checked against the current turnover threshold.
- ☐ Udyam registration obtained and the number added to the invoice template and the MSA.
- ☐ Payment gateway onboarded if you collect online; MDR and settlement cycle confirmed in writing.
- ☐ CA engaged with a written scope covering bookkeeping, GST, TDS and the annual return.
- ☐ Company Secretary engaged on an annual retainer for MCA filings and minutes.
- ☐ Compliance calendar built in a shared calendar with named owners and three-day warnings.
- ☐ Shared drive folder structure created and access configured by folder.

WEEK 4–8: PEOPLE

- ☐ Offer letter and appointment letter templates reviewed by an employment lawyer.
- ☐ Confidentiality, IP assignment and non-solicitation agreement template prepared and signed by every founder and employee.
- ☐ Shops and Establishments registration obtained for every location where people work.
- ☐ Professional tax employer registration and employee enrolment where the state levies it.
- ☐ EPF and ESIC registration obtained where thresholds are met, or voluntary coverage decided.
- ☐ Payroll software configured; first payroll run tested with a dummy cycle.
- ☐ Employee handbook drafted covering the five mandatory policy areas.
- ☐ POSH policy adopted, Internal Committee constituted **including an external member**, details displayed, training scheduled.
- ☐ Group health, GPA and term life policies placed through an IRDAI-registered broker.
- ☐ Onboarding checklist and day-one document list operational.

WEEK 6–12: CONTROLS, IT AND DATA

- ☐ Delegation of authority matrix written, approved by the board, and circulated.
- ☐ Expense policy published; expense tool or form in use.
- ☐ Vendor master built with PAN, GSTIN, MSME status, bank details and penny-drop verification.
- ☐ Vendor terms include the GST compliance and withholding clause.
- ☐ Fixed asset register created with asset tags; depreciation set up under both Schedule II and the Income-tax Act.
- ☐ Laptops encrypted and MDM-enrolled; SSO with mandatory MFA across all business systems.
- ☐ Backups configured to the 3-2-1 rule; first restore test completed and documented.
- ☐ Information security policy pack written; incident response playbook printed.
- ☐ Record of processing activities built; privacy notice and employee privacy notice published.

- [ ] Data processing agreements signed with every vendor that touches personal data; sub-processor list published.
- [ ] Professional indemnity and cyber liability cover placed if you have customers of any size.
- [ ] Overdraft or cash credit facility discussed with the bank while you still do not need it.

✓ **The one-page version**

Open three bank accounts and sweep GST and TDS into the tax one the day money lands. Reconcile the bank every Monday. Invoice on time, chase on a schedule, and put your Udyam number on every invoice. Keep accrual books with the audit trail enabled, close by day seven, and know your gross margin. Run a 13-week cash forecast. Compute your fully loaded cost per hour before you quote a price. Classify workers honestly. Pay statutory dues before anything else. Constitute the POSH Internal Committee. Buy professional indemnity and cyber cover. Never let one person initiate, approve, execute and reconcile. Verify every bank-detail change by calling a number you already had. And re-verify every rate, threshold and due date in this guide against the official portal before you act on it.